LIBERTY

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2025

Liberty Kenya Holdings Plc

Annual Financial Statements and Reports

For the year ended **31 December 2025**

Making Financial Freedom Possible For Kenyans

Regulated by Capital Markets Authority

Contents

Preparation of financial reports

The annual financial statements and reports of Liberty Kenya Holdings Plc group and company for the year ended 31 December 2025 were:

Prepared by: Obadiah Thuranira: Bsc, CPA

Supervised by: Luke Magambo: BA, CPA, CPS

Directorate and administration

Liberty Kenya Holdings Plc (LKH) is incorporated in Kenya under the Companies Act, 2015 as a limited liability company, and is domiciled in Kenya. Liberty Holdings Limited (LHL), a South African registered investment holding company owns 73,47% (2024: 73,47%) of LKH.

The company was listed on the Nairobi Securities Exchange on 21 April 2011.

Directors

Mr R Etemesi (Independent non-executive Chairman)
Appointed on 17 July 2025

Mr P Odera (Retired on 7 September 2025)

Mr M du Toit* (Non-executive)

Mr P Gethi (Non-executive)

Mr J Hubbard* (Non-executive)

Mr R Shah (Independent non-executive)

Ms R Mbai (Non-executive)

Ms C Mitchem (Independent non-executive)

Mr K Godden* (Group Chief Executive Officer)

**South African*

Company secretary

Mueni Mutunga (CPS No. 0787)

Qwasha Corporate Services LLP

The Pavillion, 5th Floor, Westlands

PO Box 27547 - 00100

Nairobi

Registered office

LR No 209/8592/2

Liberty House, Mamlaka Road,

P O Box 43963 - 00100,

Nairobi

Independent auditor

PricewaterhouseCoopers LLP

Certified Public Accountants

PWC Tower, Waiyaki Way,

PO Box 43963-00100.

Nairobi

Registration number

Company Registration Number: C.12/2010

Incorporated in the Republic of Kenya

Governance auditor

Dorion Associates

Thompson Estate, Diani Close

Compound 7, House 3,

Nairobi

Share registrar

Image Registrars Limited

Securities Registrars and Trustees

5th Floor, Barclays Plaza, Loita Street,

PO Box 9287 - 00100 GPO,

Nairobi

Principal lawyers

Coulson Harney Advocates (Bowmans)

5th Floor, ICEA Lion Centre,

Riverside Park, Chiromo Road,

PO Box 10643 - 00100

Nairobi

Legal auditor

Khan Githaiga Advocates LLP (Spenser West Kenya)

Brookside Grove, Brookside,

PO Box 1093 - 00606

Nairobi

Principal bankers

Stanbic Bank Kenya Limited

Stanbic Centre, Chiromo Road,

PO Box 72833 - 00100

Nairobi

Directors’ responsibility for financial reporting

for the year ended 31 December 2025

Directors' responsibility for and approval of the annual financial statements

For the year ended 31 December 2025

The directors are responsible for the preparation and presentation of the consolidated and separate financial statements of Liberty Kenya Holdings Plc (group and company) set out on pages 16 to 218 which comprise the group and company statements of financial position as at 31 December 2025, the group and company statements of comprehensive income, the group and company statements of changes in equity, the group and company statements of cash flows for the year, and notes to the financial statements, including material accounting policies and other explanatory information.

The directors’ responsibilities include: determining that the basis of accounting described on page 16 to 18 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in the circumstances, preparation and presentation of consolidated and separate financial statements in accordance with IFRS® Accounting Standards and in the manner required by the Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenya Companies Act, 2015 the directors are required to prepare financial statements for each financial year which give a true and fair view of the financial position of the group and the company as at the end of the financial year and of the profit or loss of the group and company for that year. It also requires the directors to ensure that the group and company keep proper accounting records which disclose with reasonable accuracy the financial position of the group and the company.

The directors accept responsibility for the annual consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with IFRS Accounting Standards and in the manner required by the Companies Act, 2015. The directors are of the opinion that the financial statements give a true and fair view of the financial position of the group and the company as at 31 December 2025 and of the group’s and the company’s financial performance and cash flows for the year then ended.

The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control. The directors have made an assessment of the group’s and the company’s abilities to continue as a going concerns and have no reason to believe the group and the company will not be a going concern for the next 12 months from the date of this statement.

Approval of the financial statements

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the board of directors on 11 March 2026.

R Etemesi
Chairman

K Godden
Group Chief Executive

Nairobi
11 March 2026

Directors' report

for the year ended 31 December 2025

The directors submit their report together with the audited group and company financial statements for the year ended 31 December 2025, in accordance with the Kenya Companies Act, 2015, which discloses the state of affairs of Liberty Kenya Holdings Plc (Liberty) and its subsidiaries (together the "group").

Principal activities

The group is engaged in the business of insurance and wealth management through its subsidiaries namely Liberty Life Assurance Kenya Limited, The Heritage Insurance Company Kenya Limited, and CFC Investments Limited. The group underwrites classes of long-term insurance and all general insurance classes in Kenya, as defined in the Kenyan Insurance Act except for micro insurance and permanent health. It also issues investment contracts in Kenya to provide customers with solutions for their savings and retirement needs.

The boards of both Liberty Kenya Holdings Plc and The Heritage Insurance Company Kenya Limited approved the sale of the 60% ownership in the Heritage Insurance Company Limited Tanzania. The sale was concluded in the first quarter of 2025. More details on the results of the sale are contained in note 41 to the financial statements.

The sale has not significantly impacted the group's financial results, however it supported a special ordinary dividend of KShs 0.6 per share.

Results

For the year ended 31 December 2025, total earnings attributable to ordinary shareholders amounted to KShs 456 million, compared to KShs 1 389 million achieved in 2024. The decline is attributable to a reduction in investment yields and negative claims experience in the period under review. The group did however deliver an increase in insurance revenue of 8.5%.

Dividends

A final dividend of KShs 0.50 per ordinary share, totalling KShs 268 million in respect of the year ended 31 December 2025 is recommended to shareholders to approve at the annual general meeting and payable no later than 30 June 2026.

Accounting policies

The accounting policies applied in the preparation of these annual financial statements are in terms of IFRS Accounting Standards. Full details are contained in the primary statements and various notes thereto. All accounting policies are consistent with those applied in the prior year group and company annual financial statements.

Share capital

There have been no changes to the authorised or issued share capital during the year.

Directors

The names of the directors who held office during the year and to the date of this report are set out on page 7. In accordance with the Company's Articles of Association, all directors unless retiring, offer themselves for re-election after every three years. Further, at least 1/3 of the directors retire annually. The retiring directors are determined by reference to the directors longest in office since election or appointment.

Director appointments and resignations during 2025 and up to the date of this report

Mr Richard Etemesi was appointed (17 July 2025) as the board chair during the year upon retirement of Mr P Odera (7 September 2025).

Interest of directors, including their families, in share capital of Liberty as at 31 December 2025

No directors have direct ownership interests in the share capital of Liberty Kenya Holdings Plc for 2025 or 2024.

There have been no other changes to the interests of directors, including their families, in the share capital as disclosed above as at 31 December 2025 to the date of approval of the annual financial statements, namely 11 March 2026.

Directors' related party transactions information

Shareholders are referred to note 36 of the group annual financial statements for disclosure pertaining to directors' related party transactions and key management compensation.

Relevant audit information

The directors in office at the date of this report confirm that;
- There is no relevant information of which the group's and company's independent auditor is unaware; and
- Every director has taken all the steps that they ought to have taken as a director to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

Terms of appointment of the Independent Auditor

PricewaterhouseCoopers LLP continues in office in accordance with the Company's Articles of Association and Section 719 of the Companies Act 2015.

The directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract which sets out the terms of the auditor's appointment and the associated fees on behalf of the shareholders. The agreed auditor's remuneration of KShs 20 million for the group and KShs 3 million for the company has been charged to profit or loss in the year.

Holding company

At 31 December 2025, the group's holding company, Liberty Holdings Limited, held 73,47% (2024: 73,47%) of Liberty Kenya Holding Plc's issued ordinary shares. The ultimate holding company is Standard Bank Group Limited, a South African registered holding company of various subsidiary companies that collectively is a financial services group.

Bancassurance

The group has bancassurance business agreements with Stanbic Bank Kenya Limited for the development, sale and promotion of insurance, investment, and health products through the bank's distribution capability.

In terms of the agreements, the entities in the group pay various amounts to Stanbic Bank Kenya Limited with respect to business sourced from Stanbic Bank distribution and clients. The amounts to be paid are in most cases dependent on source and type of business and are paid as per the agreements.

The bancassurance business agreements are evergreen agreements with a 24-month notice period for termination. As at the date of the approval of this report, neither party had given notice. As the bancassurance relationship provides commercial benefits to both Liberty and Stanbic Bank, a governance framework is in place to protect the interests of non-controlling shareholders.

Refer to related party disclosure in note 36 to the group annual financial statements for further details.

Subsidiaries

Details of the significant interests in directly-owned subsidiary companies are contained in note 7 to the annual financial statements.

Annual General Meeting resolutions

At the annual general meeting (AGM) held on 23 May 2025, LKH's shareholders passed the following resolutions for the purposes indicated:

RESOLUTION	VOTES			
	FOR		AGAINST	
	VOTES	%	VOTES	%
To consider and, if approved, adopt the Audited Financial Statements of the Company for the year ended 31 December 2024 together with the Directors' Report and Auditors' Report.	398 303 043	99.989	42 000	0.011
To consider and if thought fit, approve the recommendation by the board for the payment of a first and final dividend of KShs. 1.0 per ordinary share for the year ended 31 December 2024 incorporating a dividend of KShs. 0.5 per share on account of the exceptional financial performance in the year ended 31 December 2024. Subject to shareholder approval, the published book closure date is 14 June 2025, and payment will be made on or before 24 August 2025.	398 344 943	100.000	100	0.000
To consider and if thought fit, approve the recommendation by the board for the payment of a further special dividend of KShs. 0.6 per share on account of the proceeds received by the Company upon the disposal of Heritage Insurance Tanzania. Subject to shareholder approval, the published book closure date is 14 June 2025, and payment will be made on or before 24 August 2025.	398 344 933	100.000	110	0.000
In accordance with Article 101 of the Company's Articles of Association, Mr. Peter Gethi retires by rotation and being eligible, offer himself for re-election.	398 272 296	99.982	72 600	0.018
In accordance with Article 101 of the Company's Articles of Association. Ms. Rachel Mbai retires by rotation and being eligible, offers herself for re-election	398 301 818	99.989	46 615	0.011
To approve the Directors' Remuneration policy and the Directors Remuneration Report for the year ended 31 December 2024.	398 302 590	99.989	42 110	0.011
Stakeholder communication policy and Dispute resolution policy.	398 341 333	100.000	500	0.000
To re-appoint PricewaterhouseCoopers as Auditors of the Company, and to authorize the directors to fix their remuneration in accordance with Sections 721(4) and 724(1) of the Companies Act 2025, respectively.	398 344 190	100.000	543	0.000
To consider and if thought fit, to pass an ordinary resolution pursuant to Section 769 (1) of the Companies Act, 2015, that i. Mr. Rajesh Shah being a member of the Board Audit Committee, be elected to continue to serve as a member of the Board Audit Committee. ii. Mr. Jeffrey Hubbard being a member of the Board Audit Committee be elected to continue to serve as a member of the Board Audit Committee. iii. Ms. Rachel Mbai being a member of the Board Audit Committee and subject to her re-election under 5(i) above, be elected to continue to serve as a member of the Board Audit Committee.	398 344 323	100.000	610	0.000

5 446 registered shareholders with a total of 535 707 499 shares in Liberty Kenya Holdings Plc were eligible to vote. Total number of shares that participated were 398 345 043 shares. This represents a participation level of 74.36%.

Borrowing powers

In terms of the company's memorandum of incorporation the amount which the company may borrow is limited, but the limit can be extended by resolution of the shareholders.

Insurance

Liberty has placed cover for losses because of cyber, commercial crime and claims under professional indemnity as well as for directors' and officers' liability insurance. These covers were renewed at 31 December 2025 for the year 2026, as part of the Standard Bank Group Limited's insurance programme, in which the group participates.

Events after reporting date

There have been no significant events after the reporting date, being 31 December 2025, to the date of approval of the audited annual financial statements, namely 11 March 2026, which would require adjustment or disclosure in the financial statements.

Approval of the financial statements

The annual financial statements were approved and authorised for issue by the board of directors on 11 March 2026.

By order of the Board

M Mutunga
11 March 2026

Directors’ remuneration report

for the year ended 31 December 2025

Liberty Kenya Holdings Plc hereby presents the Directors’ remuneration report for the year ended 31 December 2025. This report is in compliance with the Liberty group’s remuneration policy, the Capital Markets Authority Code of Corporate Governance Guidelines on Director’s remuneration and the Companies Act, 2015. A key provision of the Company’s principles is that reward directly support the business strategy with clear and measurable linkage to business performance.

Our remuneration system seeks to recognise the contribution individuals make to the success of the Company and reflect value of the roles they are performing, as well as the level to which they perform them. Our approach to recognising our employees’ contribution to the business is based on the principles of:

Market: Our remuneration levels reflect the competitive market and compare favourably with relevant competitors for such skills.

Communication: We aim to give details of the component values of their total remuneration package and the criteria that may affect it.

Effectiveness: We aim to seek out best practice and ensure our remuneration programmes remain effective for the business and individuals.

Overall: Our remuneration components are reviewed regularly and are subject to external benchmarking to ensure that we continually offer competitive total reward packages. We are committed ensuring appropriate remuneration and recognition is applied in fair and consistent manner.

Information not subject to audit

Information not subject to audit comprise the following with respect to directors:

− Policy on Directors’ remuneration;

− Board evaluation;

− Changes to Directors’ remuneration during the year;

− Service contracts; and

− Approval of 2025 Directors’ remuneration report.

Information subject to audit (Auditable part)

Information subject to audit comprises of the amounts of each Directors’ emolument and compensation in the relevant years.

Details of Directors

Mr. Richard Etemesi	Independent - Non-Executive (Chairman) Appointed on 17 July 2025
Mr. Philip Odera	Independent - Non-Executive (Chairman) Retired 7 September 2025
Mr Mike du Toit	Non-Executive
Mr Peter Gethi	Non-Executive
Mr Jeff Hubbard	Non-Executive
Mr Rajesh Shah	Independent - Non-Executive
Ms Rachel Mbai	Non-Executive
Ms Catherine Mitchem	Independent - Non-Executive
Mr Kieran Godden	Group Chief Executive Officer

Non-executive Directors, subject to retirement by rotation, eligible to serve for an initial three-year term which may be renewed for further periods of three years. Non-executive Directors do not have service agreements.

Directors' appointment and retirement term

Director	Appointment	Retirement date by rotation at the AGM(1)
Mr Philip Odera (Retired)	2016	n/a
Mr. Richard Etemesi	2025	2028
Mr Mike du Toit	2008	2026
Mr Peter Gethi	2009	2028
Mr Jeff Hubbard	2017	2026
Mr Rajesh Shah	2020	2027
Ms Rachel Mbai	2020	2028
Ms Catherine Mitchem	2023	2027
Mr K Godden	2023	n/a

1 The Annual General Meeting is planned to be held on 29 May 2026.

The retirement dates are subject to change depending on casual vacancies filled in the year.

Remuneration Policy for the Non-Executive Chairman and Non-Executive Directors

The remuneration of the Non-Executive Chairman and Non- Executive Directors is determined by the Directors' Affairs and Remuneration Committee of the Company. These Board members receive annual fees and allowances for attending meetings. Non- Executive roles are not entitled to any performance-related pay or pension.

The fees for Non-Executive Directors are set at a level that is considered appropriate to attract individuals with the necessary experience and ability to oversee the business. Fees are paid in cash.

The amount of fees reflects the commensurate responsibility and time commitment given to the Board and Board Committees.

The Company's policy is to appoint the Non-Executive Directors for an initial three-year period, which may be extended for further 3-year term by Members at an Annual General Meeting. The initial appointments and any subsequent reappointments are subject to annual election or re-election by shareholders.

The appointment of non-executive Directors is subject to a formal appointment and induction process. The approval from the Capital Markets Authority is a prerequisite for the formal appointment of any director.

Executive Directors' remuneration

The remuneration of executive directors is determined by the Directors' Affairs and Remuneration Committee commensurate with market and levels of responsibility.

Board Evaluation

The performance of Board members and the Board collectively is based on board evaluations conducted periodically. The evaluation is in the form of a questionnaire that is completed individually and reviewed together. The questionnaire is designed to capture key matrices that are considered important for the strategic direction of the Group. Some of the key matrix assessments are as follows:

- Board composition and quality;
- Board meetings and procedures;
- Board strategy and risk management;
- Board and management relations; and
- Succession planning.

The list of the reward components are as follows:

1. Retainer fees

This is competitive, taking into account market rates of pay. Fees are reviewed by the Directors’ Affairs and Remuneration Committee every year using surveys of prevailing market movements. Any increases are determined in accordance with the business’s ability to fund the increase. Retainer fees are paid on a quarterly basis.

2. Attendance fees

Non-Executive Directors (excluding Liberty representatives) are paid an attendance fee in recognition of the time spent attending Board or Committee meetings as well as formal governance meetings for the subsidiary companies. These are also benchmarked on market rates and trends.

3. Insurance cover

The group provides Directors’ and Officers’ liability insurance cover in line with best practice.

4. Travel and accommodation when on company business

Liberty caters for travel and accommodation costs in line with its Travel and Entertainment policy in place for Directors attending to Board and Company related meetings and matters.

5. Consulting fees

With the permission of the chairman, non-executive directors can consult to the group at a pre-agreed compensation. No paid consulting fees were incurred during the year (2024: Nil).

Changes to Directors’ remuneration

There were no substantial changes to the director’s remuneration policy relating to the directors’ remuneration made during the year (2024: None).

For the financial year ended 31 December 2025, the total Non- Executive Directors remuneration from the company in was KShs 22 m (2024: KShs 20 m) and for executive directors in was KShs 86m (2024: KShs 80 m).

Directors' remuneration report (continued)

for the year ended 31 December 2025

The total amount of emoluments paid to Directors for services rendered during 2025 is also disclosed in note 36 to the financial statements.

	2025			2024		
	Retainer Fees	Attendance Fees	Total	Retainer Fees	Attendance Fees	Total
Non-Executive Directors	KShs m	KShs m	KShs m	KShs m	KShs m	KShs m
Mr R Etemesi	**0.30**	**1.66**	**1.96**	–	–	–
Mr Philip Odera (Retired)	**0.50**	**3.20**	**3.70**	**0.64**	**3.41**	**4.05**
Mr Peter Gethi	**0.50**	**2.75**	**3.25**	**0.48**	**2.63**	**3.11**
Mr Rajesh Shah	**0.50**	**3.46**	**3.96**	**0.48**	**2.27**	**2.75**
Ms Rachel Mbai	**0.50**	**2.21**	**2.71**	**0.48**	**1.95**	**2.43**
Mr Mike du Toit	**0.50**	**1.48**	**1.98**	**0.48**	**1.07**	**1.55**
Ms Catherine Mitchem	**0.50**	**2.76**	**3.26**	**0.48**	**1.23**	**1.71**
Mr Jeff Hubbard(i)	–	–	–	–	–	–
By Invitation:						
Ms Gladys Ong'ayo	–	**0.91**	**0.91**	–	**1.93**	**1.93**
Ms Anne Wanjiku	–	**0.18**	**0.18**	–	**1.75**	**1.75**
Mr Herbert Chiveli	–	–	–	–	**0.36**	**0.36**
Mr Imtiaz Khan	–	–	–	–	**0.36**	**0.36**
Total	**3.30**	**18.61**	**21.91**	**3.04**	**16.96**	**20.00**

i. Retainers and Board attendance fees are only paid to external Non-Executive Directors. Mr Jeff Hubbard is the nominated director representing the controlling shareholder, Liberty Holdings Limited. No fees were charged for his services as a director for 2025 or 2024.
ii. The cost incurred by the company to purchase insurance cover on behalf of Directors amounted to KShs 0.53 million (2024: KShs 0.55 million).
iii. No amount was paid as an expense allowance that is not chargeable to income tax, or would benefit the director as an individual, or paid to or receivable by the director in respect of qualifying services.
iv. No compensation for loss of office was paid to or receivable by any director in connection with the termination of qualifying services in the year.
v. No director is entitled to any compensation upon the termination or end of their tenure as a member of the Board.

Executive Director remuneration policy

Service contracts

The Group Chief Executive was the only Executive Director of the Company. He was appointed with effect from 01 August 2023.

Name	Date of Contract	Type of Contract	Notice period	Amount payable for early termination (KShs m)
Mr Kieran Godden	1/8/2023	Three-year renewable contract ending 31 December 2026	3 months	Nil

The remuneration of the Group Chief Executive was set at a level which was considered appropriate to attract an individual with the necessary experience and ability to oversee the businesses across the region. The remuneration is paid in cash.

Directors' remuneration report (continued)

for the year ended 31 December 2025

Neither at the end of the financial year, nor at any time during the year, did there exist any arrangement to which the Company is a party, under which the Group Chief Executive acquired benefits by means of acquisition of shares in the Company or a long-term investment scheme.

2025	Basic Pay KShs m	Other Benefits KShs m	Incentive KShs m	Non-cash Benefits KShs m	Total KShs m
Mr Kieran Godden	**24**	**39**	**22**	**1**	**86**

2024	Basic Pay KShs m	Other Benefits KShs m	Incentive KShs m	Non-cash benefits KShs m	Total KShs m
Mr Kieran Godden	25	27	25	3	80

i. Other benefits comprise annual expatriate allowances, retention payments and other sundry benefits.
ii. Non-cash benefits consist of a company car benefit.
iii. Pension/gratuity: The Company does not operate a pension or gratuity scheme to the benefit of the Group Chief Executive.
iv. The incentive amount for Mr Godden was awarded for performance during 2024 but paid out in 2025, in line with the Group's remuneration policy.
v. All benefits are subjected to tax at prevailing PAYE rates.

Approval of 2024 Directors' remuneration report

At the Annual General Meeting held on 23 May 2025, the Shareholders approved the Directors' remuneration report for 2024.

Further, the Company conducted a poll as required by the Companies Act to vote on the Directors' remuneration report and the results were published at the company's website (www.LibertyKenya.co.ke). It is also a requirement that the tally of the results is observed by an independent person. The Group Internal Audit function was the observer of the process and tallying of the poll results. The poll results are summarised under AGM resolutions in the Directors' report on page 5 and were communicated to CMA/NSE on 25 May 2025.

Approval of the Directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act 2015, the Capital Markets Authority (CMA) Code and Listing Rules and reflects the disclosure requirements under IFRS Accounting Standards.

By Order of the Board

J. Muyanga

M Mutunga
11 March 2026

Independent auditor's report to the shareholders of Liberty Kenya Holdings Plc

Report on the audit of the financial statements

Our opinion

We have audited the accompanying financial statements of Liberty Kenya Holdings Plc (the Company) and its subsidiaries (together, the Group) set out on pages 16 to 218, which comprise the Group and Company statements of financial position at 31 December 2025 and the Group and Company statements of comprehensive income, Group statement of changes in equity, Company statement of changes in equity and Group and Company statement of cash flows for the year then ended, and the notes to the financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Company as at 31 December 2025 and of their financial performance and their cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) as applicable to audits of financial statements of public interest entities together with the ethical requirements that are relevant to our audit of the financial statements in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

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Partners: J Aroi E Kerich P Kiambi B Kimacia M Mugasa F Muriu P Ngahu R Njoroge S O Norbert's
B Okundi K Saiti

Independent auditor's report to the shareholders of Liberty Kenya Holdings Plc (continued)

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the group and company financial statements of the current period. These matters were addressed in the context of our audit of the group and company financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	***How our audit addressed the matter***
Determination of insurance contract liabilities A key focus of our audit relates to management's selection of assumptions to determine the insurance contract liabilities given the scope that exists for the exercise of judgement and assumptions. The assumptions that we have determined to have the most significant impact are: **For Life insurance contracts:** • Calculation of CSM The contractual service margin ('CSM') represents the future profits within the in-force book that will be recognised as revenue in future periods. The approach to calculate CSM differs based on the measurement model. Release of CSM to profit or loss is highly judgmental. **For general insurance contracts:** The estimation of the liability for incurred claims involves significant judgement given the inherent uncertainty in estimating expected future outflows in relation to claims incurred. In addition, the liabilities are adjusted for the time value for money based on historical settlement patterns. Judgement is applied in estimating this future settlement pattern and in determination of the discount rate.	Using our actuaries as part of our audit team, we performed the following procedures: • Assessed the competence, capabilities and objectivity of the management expert actuary and/or statutory actuary; • Determined whether the methodology and assumptions applied are appropriate by comparing them to our knowledge of industry standards and IFRS 17; • Test the appropriateness of the methodology and assumptions used by the external actuary and management in estimation of reserve; • Corroborated the mortality, expense, withdrawal and loss ratio assumptions to supporting evidence; • Tested a sample of claims payments and reserves to confirm the amounts recorded in the claims systems agree to the source data; • Reconciled claims data used by management to calculate reserves to the source claims data; • Tested the recognition of CSM and its recognition to the profit or loss; • Agreed the output of actuarial models at 31 December 2025 to the financial statements; and • Reviewed the adequacy of disclosures in the financial statements.

Other information

The other information comprises directorate and administration, directors' responsibility for financial reporting, directors' report, directors' remuneration report, abbreviations and definitions and shareholder information which we obtained prior to the date of this auditor's report but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent auditor's report to the shareholders of Liberty Kenya Holdings Plc (continued)

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

Independent auditor's report to the shareholders of Liberty Kenya Holdings Plc (continued)

Auditor's responsibilities for the audit of the financial statements (continued)

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the Group's financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Companies Act, 2015

Report of the directors
In our opinion the information given in the directors' report on pages 3 - 6 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on pages 7 - 11 has been properly prepared in accordance with the Companies Act, 2015.

CPA Patrick Kiambi, Practicing Certificate Number 2056

Engagement partner responsible for the audit

For and on behalf of PricewaterhouseCoopers LLP

Certified Public Accountants

Nairobi

11 March 2026

UNIQUE CODE: 71284260311

Accounting principles

for the year ended 31 December 2025

Basis of preparation

The 2025 group and company annual financial statements of Liberty Kenya Holdings Plc have been prepared on a going concern basis and in accordance with and containing information required by:

- the IFRS Accounting Standards;
- the Kenya Companies Act of 2015.

For the Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of comprehensive income in these financial statements.

The financial statements are presented in the functional currency, Kenya Shillings (KShs), rounded to the nearest million, unless otherwise indicated.

The accounting policies applied in the preparation of these annual financial statements are in terms of IFRS Accounting Standards and are consistent with those applied in the prior year group and company annual financial statements unless otherwise indicated. There are no new or amended standards effective for the year commencing 1 January 2025 that were material for the group or company. The group and company did not early adopt any amended standards during the current reporting period.

Accounting policy elections or choices

Where permitted under IFRS Accounting Standards, the group and company adopt accounting policy choices which increase the relevance of reported profit in line with how the business is managed and to eliminate, as much as possible, accounting mismatches within profit or loss. Refer to the key judgements regarding the business model and related classification and measurement under IFRS 9.

The following are the key principal accounting policy elections that the group and company has made:

Financial assets	Where applicable, debt instruments that back policyholder liabilities are designated at fair value through profit or loss as permitted by IFRS 9, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise from measuring assets or liabilities on a different basis.
Movements in financial assets	For all financial assets and financial liabilities that are measured at fair value through profit or loss, all income statement movements (including dividends, interest received and finance costs) are classified as fair value adjustments.
Financial liabilities	Financial liabilities are predominantly designated at fair value through profit or loss. This results in more relevant information because financial assets and financial liabilities are managed, and performance is evaluated on a fair value basis for information provided internally to the group's key management personnel. Reporting on a fair value basis also eliminates or significantly reduces a measurement or recognition inconsistency.
Owner-occupied properties	Where owner-occupied properties are shareholder assets, the properties are measured at fair value through other comprehensive income under IAS 40 as issued by the International Accounting Standards Board (IAS 40). Where the group issues groups of insurance contracts with direct participation features and holds the underlying items, which include owner-occupied properties, the group has elected to measure these owner-occupied properties at fair value through profit or loss as permitted by IAS 16.

IFRS 17 Premium Allocation Approach (PAA)	The group has elected, as permitted by IFRS 17, to apply the PAA, being a simplified model for insurance contracts and reinsurance contracts held, where the coverage period is one year or less. On inception of a group of contracts where the coverage period is over one year, and the group meets the eligibility criteria, the group may choose to apply the PAA. For the periods under review, the group has elected to apply the PAA where coverage is one year or less, or where the group meets the required eligibility criteria. The group applies both a qualitative and quantitative assessment to determine the eligibility. For contracts measured under PAA, the group has elected: To defer the recognition of the acquisition costs over the coverage period, however, when applicable, disclosure will be included where the group elects to expense insurance acquisition cash flows as incurred. To not adjust the carrying amount of the liability for remaining coverage (LRC) to reflect the time value of money and the effect of financial risk for those contracts where the coverage period is less than one year, or where there is no significant financing component for contracts longer than one year, if at initial recognition the group expects that the time between providing each part of the coverage and the related premium due date is no more than one year. Where claims incurred are expected to be paid within a year of the date that the claim is incurred, to not adjust future cash flows for the time value of money.
IFRS 17 Interim accounting policy election	The group has elected the accounting policy choice within IFRS 17 which allows for changes in accounting estimates made for interim reporting, that is to not lock-in accounting policy estimates used for interim reporting, when performing the full-year reporting.
Presentation and disclosure elections under IFRS 17 in the statement of comprehensive income	Regarding the choice of recognition of insurance finance income or expense for the reporting period in profit or loss on a portfolio basis, or to recognise a portion of that in other comprehensive income (OCI), the group has elected not to disaggregate amounts in OCI for both those contracts with and those contracts without direct participation features. The group has elected to disaggregate the risk adjustment for non-financial risk between insurance service result and insurance finance income or expenses. The group has elected to disclose reinsurance income and expenses net on the face of the income statement.

Measurement of the non-distinct investment component (NDIC)	The NDIC is the amount repayable to the policyholder in all circumstances. This includes circumstances in which an insured event occurs or the contract matures or is terminated without an insured event occurring. Receipts and repayments of such amounts do not relate to the provision of insurance services and are excluded from insurance revenue and insurance service expense. IFRS 17 does not prescribe what value to use as the NDIC (either unit value or surrender value). The group has elected to use the unit value as the amount representing the non-distinct investment component (i.e. on a gross of surrender value charges, being unit value or proxy thereof).
Other accounting elections (policies or choices) adopted	• After initial recognition, intangible assets are carried at cost less accumulated amortisation and impairment. • Payments of ordinary dividends are included in financing activities in the cash flow statement. • Equipment is stated at cost less accumulated depreciation.

Key judgements in applying assumptions on application of accounting policies

for the year ended 31 December 2025

Key assumptions can materially affect the reported amounts of assets and liabilities. The assumptions require complex management judgements and are therefore continually evaluated. They are based on historical experience and other factors, including expectations of future events that are considered to be reasonable under the circumstances.

Key judgements applied on the application of IFRS 17

More information related to the process used to decide on assumptions and changes in assumptions related to insurance contracts is included in note 11.2 Process used to decide on assumptions and changes in assumptions, including details on judgements or key estimates on inflation, mortality, lapses, persistency, expenses, risk adjustment for non-financial risk and the confidence level. This section includes more detail related to key judgements on the implementation of IFRS 17 itself.

Contracts scoped under IFRS 17 measurement

Definition and classification of contracts

The group assesses whether it accepts significant insurance risk within the scope of IFRS 17 for each individual contract issued. Insurance risk is significant if an insured event could cause the group to incur additional costs that are significant in any single scenario, excluding scenarios that have no commercial substance, i.e., no discernible effect on the economics of the transaction. The possibility of a loss is measured on a present value basis.

The group applies judgement as to whether there is significant insurance risk under the terms of contracts issued. For example, certain retirement annuities and endowment contracts issued by the group meet the definition of significant insurance risk where the group guarantees a return of contributions as the minimum death benefit, i.e. the higher of the policyholder’s original contribution or the unit value. These contracts in certain circumstances can expose Liberty to significant insurance risk as, following a period of poor investment returns, the death benefit of the minimum return of contributions may be significantly higher than the value of the investment account. This therefore creates the risk of paying significant additional amounts to the investment value on death.

Application of the VFA

Insurance contracts with a significant investment component are required to be measured under the variable fee measurement approach. Judgement is applied to the following criteria to assess whether an insurance contract has a significant investment component with direct participating features:

- Investment returns are referenced to defined investment portfolios or indices.
- The entity expects to pay the policyholder an amount equal to a substantial share of the fair value returns on the underlying referenced investments.
- A substantial proportion of any change in the amounts to be paid to the policyholder varies with the change in the fair value of the underlying items.

These criteria are assessed on a contract-by-contract basis at contract inception and internally developed guidelines and value thresholds are applied consistently across all applicable contracts. If the guidelines are not met, the insurance contracts are measured under the GMM.

Investment-related service contracts measured in terms of IFRS 17 due to, for example, the inclusion of a return of contribution on death benefit and that meet the substantial criteria of investment-related services due to a significant portion of the total policy benefits arising from investment-related services are measured under VFA. The group determines significance by comparing benefits derived from an investment return based on underlying items, i.e. investment-related benefits, to the total policy benefits on a present value probability-weighted average basis at inception of the contract. Additional facts and circumstances such as the intent of the contract when it was priced and sold to customers as well as the policyholder expectations created at the inception of the contract through the marketing material are also taken into account in determining significant investment-related benefits. In addition, the group assesses that it expects to pay the policyholder an amount equal to a substantial share of the fair value returns on the underlying referenced investments where it is assessed that at least 70% of the total policy benefits would need to be regarded as investment related benefits (i.e. benefits derived from an entity promising an investment return based on underlying items) on a present value probability weighted average basis at inception of the contract.

For contracts where the investment benefit is expected to be lower than 70%, further analysis of the facts and circumstances (e.g. the intent of the contract when it was priced and sold to customers as well as the policyholder expectations created at the inception of the contract through the marketing material) pertaining to that particular contract is assessed as to whether these contracts should also be regarded as substantially investment-related.

Examples of contracts measured under VFA are Income Drawdown, Lifevest, With-profits products (Income Builder).

Key judgements in applying assumptions on application of accounting policies (continued)

for the year ended 31 December 2025

Application of the PAA measurement approach

For certain insurance contracts with a coverage period of more than one year, the group has elected to apply the PAA at inception of the group of contracts. This election is dependent on a reasonable expectation that the PAA will provide a liability for remaining coverage measurement that would not differ materially from the application of the GMM. The group has developed internal guidelines which includes the use of projection models which provide outcomes that satisfy pre-defined eligibility range comparisons.

Aggregation of contracts issued at initial recognition into groups of onerous contracts, groups with no significant possibility of becoming onerous, and groups of other contracts

The determination of whether a contract or a group of contracts is onerous is based on the expectations as at the date of initial recognition, with fulfilment cash flow expectations determined on a probability- weighted basis. Contracts are initially allocated into profitability groups, being onerous contracts, groups with no significant possibility of becoming onerous, and groups of other contracts. The approach used by the group to determine whether a contract is unlikely to become onerous over the contract term is to calculate profitability using the risk adjustment at a higher confidence level. If the contract is still profitable, then it will be deemed to be unlikely to become onerous, otherwise (if not onerous at point of sale) will default into the “possible that will become onerous” grouping.

This assessment is performed at an individual contract level. Otherwise, contracts default into “groups of other contracts”. These initial recognition groups remain over the term of the contracts. For contracts measured using the VFA, market risk is also considered in determining the threshold to differentiate between the profitability groups.

Contracts measured under PAA are also assessed for onerous conditions at inception (for example, expectations of higher expenses or claims) and if these conditions are evident, then these contracts are accounted for as onerous contracts.

Coverage units to be utilised for release of the CSM

The coverage units used to release CSM into profit or loss over time is a key judgement. The CSM represents the unrecognised profits for long contract boundary business and should reflect the amount of services provided.

For insurance contracts without DPFs and measured under the GMM, coverage units are generally the sum assured for lump sum risk products, expected total benefits for Income Protection Plan (IPP) type products. For annuity-type contracts, coverage units are the expected recurring annuity payments in-force in each period. For insurance contracts with DPFs measured under the VFA, the coverage units are generally referenced to the maximum benefit, i.e. death benefit, unit value or surrender value, as this allows for the insurance contract services provided and the relative weighting of insurance coverage and investment related service at each point in time, depending on which component is more applicable.

A key judgement regarding the coverage unit is to decide whether and by what the future coverage units are discounted.

Liberty has elected to discount the future coverage units expected to be provided by the inflation rate, to capture both the service provided and the buying power of those services.

Discount rates

The group uses the bottom-up approach to calculate discount rates for all portfolios. The bottom-up approach requires adjusting the risk-free yield curve for an illiquidity premium reflecting the liquidity characteristics of insurance contracts with cash flows that do not vary based on the returns on underlying items. More detail on specific disclosure related to the periods under review is included in note 11.2.

Investment component

The group reviews all contracts within the scope of IFRS 17 to determine whether they include an investment component and to assess whether such a component would be non-distinct. The group determines the investment component in an insurance contract, being amounts that the group is required to pay to a policyholder in all circumstances, as the defined unit value within the policyholder account. This typically references the policy investment value at a point in time. Any additional payments represent the insurance benefits payable if an insured event occurs. The unit value is the total amount an investment reflects, including the net capital invested (policyholder deposits less withdrawals and surrenders), adjusted for related investment returns, capital appreciation and/or income earned to date, and reduced by annual charges for asset and fund management. Surrender values are not used as surrenders of policies are contingent on policyholder behaviour and are not at the contractual option of the group, i.e. the investment component is based on a gross of surrender value charges, being unit value or proxy thereof.

Key judgements in applying assumptions on application of accounting policies (continued)

for the year ended 31 December 2025

Reportable groups

IFRS 17 requires that an entity should aggregate or disaggregate information so that useful information is not obscured either by the inclusion of a large amount of insignificant detail or by the aggregation of items that have different characteristics. Whereas information is aggregated for the line items included on the face of the statement of financial position and statement of comprehensive income; where applicable, various notes to the financial statements are disaggregated into what the group has termed its 'reportable groups', in order to meet the disclosure requirements of IFRS 17

The group's reportable groups are as follows:

Insurance contracts	**Characteristics of contracts**	**Major products**
Life insurance contracts measured under GMM	Life insurance contracts that provide insurable benefits in the event of death, longevity, sickness or disability. These also include Universal Life contracts that have indirect participating features. Comprises insurance contracts issued to retail customers.	Retail pure risk products, e.g. Soma plan, Kenya Commercial Bank (KCB) Elimisha and funeral plans.
Life insurance contracts measured under PAA	Life insurance contracts that provide insurable risk benefits in the event of death, sickness or disability, and that are measured using the Premium Allocation Approach. These include insurance contracts issued to retail customers and groupings of employees and members.	Embedded bancassurance (Group Life, Credit Life), funeral products sold via banking channels, Education plans.
Life participating contracts measured under VFA	Insurance contracts for which, at inception: The contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying items; The group expects to pay the policyholder an amount equal to a substantial share of the fair value returns on the underlying items; and A substantial proportion of any change in the amounts to be paid to the policyholder vary with the change in the fair value of the underlying items.	Comprises mainly unit-linked retirement annuities and endowments, both of which are in scope of IFRS 17 due to their minimum return of contribution on death feature (e.g. Income Builder, Live Vest), as well as some linked annuities. Retail guaranteed annuities with funeral benefits.
General insurance non-medical measured under PAA	Contracts insuring policyholders for mechanical breakdown of equipment, theft, fire, weather-related events, fraud and third-party claims.	Comprises general insurance category contracts offered by Heritage Insurance companies.
General insurance medical measured under PAA	Contracts insuring policyholders against medical expenses.	Medical Expense Cover, Flexi range and Blue plans.
Reinsurance contracts		
Reinsurance life insurance contracts measured under GMM	Reinsurance on insurance contracts - comprises cover for contracts measured under GMM , mainly the endowment Soma plan and KCB Elimisha.	
Reinsurance life insurance contracts measured under PAA	Reinsurance on insurance contracts mainly for catastrophic events.	
Reinsurance general non-medical measured under PAA	Reinsurance for general insurance business under Heritage Insurance company.	
Reinsurance general medical measured under PAA	Reinsurance for medical expense cover.	

Key judgements in applying assumptions on application of accounting policies (continued)

for the year ended 31 December 2025

Classification and measurement of financial instruments

IFRS 9 requires an entity to assess its business model to determine the classification of financial assets. A business model refers to how an entity manages its financial assets in order to generate cash flows. Management applies judgement to determine the level at which the business model assessment is applied.

Liberty Kenya Holdings Plc (LKH)'s business model is an investment holding company. Through its subsidiaries, it utilises and renews available capital resources sustainably to create shareholder value by providing solutions to individuals or groups of individuals to meet their insurance and investment needs.

The financial assets held by LKH's subsidiaries as part of its operating activities are managed with the objective of matching policyholder contracted investment benefits and realising cash flows through the sale of assets. Management makes decisions based on the assets' fair values and manages the assets to realise those fair values.

Impairment of goodwill

The group tests annually whether goodwill was impaired in accordance with the accounting policies. The recoverable amounts of cash-generating units have been determined based on value-in-use calculations.

The key assumptions applied and analysis of their sensitivity is detailed in note 3 of this report.

Income taxes

The group is subject to income tax in Kenya under the provisions of the Kenyan Income Tax Act. Significant judgement is required in determining the group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Impairment of receivables measured using amortised cost

The group recognises expected credit losses (ECL) on debt financial assets classified at amortised cost. The measurement basis of the ECL of a financial asset includes assessing whether there has been a significant increase in credit risk (SICR) at the reporting date which includes forward-looking that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. A SICR is when there is a material change in the probability of default, since origination. More detail is included in note 9.

Properties at fair value

Investment and owner-occupied properties are measured at fair value using the income approach method by external valuation appraisers. Determination of fair value also considers the current use of the property in terms of its highest and best use, taking into account the use of the asset that is physically possible, legally permissible and financially feasible. The key assumption in the determination of exit value is the capitalisation rate.

The rebuttable presumption for taxation considerations is that the properties will ultimately be realised through sale.

Deferred taxation

Asset measurement: Deferred taxation assets are assessed for the probability of recovery based on the applicable estimated future business performance and related projected taxable income. The group's expected future activities and results support the recognition of the deferred tax assets where applicable, in accordance with the guidance provided in IAS 12 *Income Taxes*. Judgement is applied as to the timing of the utilisation of the deferred tax assets. The total amount arises from various group entities, mainly attributable to the utilisation of tax losses and to timing differences. The group expects the timing of future emergence of taxable profits to be between one and five years, depending on the entity.

Cash flow statement

Management consider it appropriate, given the nature of conducting insurance operations, for all cash flows relating to investment portfolios backing policyholder liabilities and supporting regulatory to be reflected as cash flows from operating activities rather than as cash flows from investing activities.

Guide to the annual financial statements and notes

Statements of financial position

as at 31 December 2025

KShs m	Notes	Group 2025	Group Restated[1] 2024	Group Restated[1] 1 January 2024	Company 2025	Company 2024
Assets						
Intangible assets	**3**	**1 373**	1 447	1 481	**–**	–
Owner-occupied properties	**4**	**1 179**	1 216	1 216	**–**	–
Investment properties	**4**	**37**	–	–	**–**	–
Equipment	**5**	**165**	146	200	**–**	–
Right-of-use assets	**6**	**43**	52	87	**–**	–
Interest in subsidiaries	**7.1**	**–**	–	–	**2 702**	2 702
Deferred taxation	**14**	**–**	6	196	**–**	–
Intragroup balances with subsidiaries	**7**	**–**	–	–	**631**	11
Reinsurance contract assets	**12**	**1 424**	1 884	5 737	**–**	–
Financial instruments	**8.1**	**33 173**	28 143	20 980	**–**	–
Current taxation		**93**	66	125	**–**	–
Prepayments and other receivables	**9**	**546**	746	882	**–**	7
Assets classified as held for sale	**41**	**–**	5 334	–	**–**	–
Cash and cash equivalents	**10**	**8 273**	9 109	12 857	**15**	3
Total assets		**46 306**	48 149	43 761	**3 348**	2 723
Liabilities						
Deferred taxation	**14**	**1 092**	1 007	927	**–**	–
Insurance contract liabilities	**11**	**20 792**	18 937	23 863	**–**	–
Financial liabilities under investment contracts	**13**	**12 441**	11 021	7 088	**–**	–
Intragroup balances with subsidiaries	**7**	**–**	–	–	**4**	11
Financial liabilities	**15**	**120**	225	180	**–**	–
Lease liabilities	**16**	**55**	61	100	**–**	–
Employee benefits	**17**	**210**	207	195	**23**	25
Other payables	**18**	**1 516**	1 566	1 831	**44**	18
Liabilities relating to assets held for sale	**41**	**–**	4 480	–	**–**	–
Total liabilities		**36 226**	37 504	34 184	**71**	54
Equity						
Ordinary shareholders' equity		**10 080**	10 304	9 189	**3 277**	2 669
Share capital and share premium	**21**	**2 026**	2 026	2 026	**2 026**	2 026
Retained surplus		**5 597**	6 473	5 394	**1 251**	643
Other reserves		**2 457**	1 805	1 769	**–**	–
Non-controlling interests	**38**	**–**	341	388	**–**	–
Total equity		**10 080**	10 645	9 577	**3 277**	2 669
Total equity and liabilities		**46 306**	48 149	43 761	**3 348**	2 723

1 . Refer to note 42 'Restatement of 2024 comparatives" for further details.

The order of line items in the statements of financial position have been amended to better represent their liquidity, arranging where possible from the least liquid to the most liquid. Apart from the liquidity presentation, there have been no other changes to values within line items, apart from combination of financial investments and staff loans receivable to financial instruments; and the combination of share capital and share premium, which were previously disclosed as separate lines items.

The financial statements on pages 16 to 218, were approved and authorised for issue by the board of directors on 11 March 2026 and were signed on its behalf by:

R Etemesi **K Godden**

The accounting principles on pages 16 to 18, key judgements on pages 19 to 22, notes on pages 30 to 135, risk management on pages 137 to 179, and the material accounting policies on pages 181 to 218, form an integral part of the financial statements.

Statements of comprehensive income

for the year ended 31 December 2025

		Group		Company	
			Restated[1]		
KShs m	**Notes**	**2025**	**2024**	**2025**	**2024**
Insurance revenue	**22**	**11 883**	10 950	**–**	–
Insurance service expense	**23**	**(10 153)**	(8 528)	**–**	–
Net insurance service result before reinsurance contracts held		**1 730**	2 422	**–**	–
Net expense from reinsurance contracts held	**24**	**(1 252)**	(1 358)	**–**	–
Insurance service result		**478**	1 064	**–**	–
Investment income	**25**	**31**	11	**1 622**	315
Interest income on financial assets using the effective interest method	**26**	**808**	1 074	**–**	–
Fair value adjustment to assets held at fair value through profit or loss	**27**	**5 205**	5 962	**–**	–
Fair value adjustment to financial liabilities under investment contracts	**13**	**(2 024)**	(2 154)	**–**	–
Net investment income		**4 020**	4 893	**1 622**	315
Net finance expenses from insurance contracts issued	**29**	**(2 423)**	(2 806)	**–**	–
Net finance income from reinsurance contracts held	**30**	**53**	55	**–**	–
Net insurance finance expenses		**(2 370)**	(2 751)	**–**	–
Net insurance and investment result		**2 128**	3 206	**1 622**	315
Revenue from contracts with customers	**31**	**519**	456	**–**	–
Other operating expenses	**32**	**(1 362)**	(1 351)	**(157)**	(190)
Finance costs	**33**	**(8)**	(8)	**–**	–
Bancassurance obligations[2]	**15.1**	**(186)**	(212)	**–**	–
Profit before taxation		**1 091**	2 091	**1 465**	125
Taxation	**34**	**(432)**	(721)	**–**	–
Total earnings from continuing operations		**659**	1 370	**1 465**	125
Total earnings from discontinued operations	**41**	**(172)**	32	**–**	–
Total earnings		**487**	1 402	**1 465**	125
Other comprehensive(loss)/gain					
Items that may be reclassified subsequently to profit and loss					
Foreign currency translation		**(65)**	(124)	**–**	–
Total comprehensive income		**422**	1 278	**1 465**	125
Total earnings attributable to:					
Shareholders’ equity		**456**	1 389	**1 465**	125
Non-controlling interests	**38.1**	**31**	13	**–**	–
		487	1 402	**1 465**	125
Total earnings attributable to shareholders'equity arises from:					
Continuing operations		**659**	1 370	**1 465**	125
Discontinued operations		**(203)**	19	**–**	–
		456	1 389	**1 465**	125

Statements of comprehensive income (continued)

for the year ended 31 December 2025

		Group		Company	
			Restated[1]		
KShs m	**Notes**	**2025**	**2024**	**2025**	**2024**
Total comprehensive income attributable to:					
Shareholders' equity		**416**	1 315	**1 465**	125
Non-controlling interests	**38.1**	**6**	(37)		
		422	1 278	**1 465**	125
Total comprehensive income attributable to shareholders'equity arises from:					
Continuing operations		**659**	1 370	**1 465**	125
Discontinued operations		**(243)**	(55)		
		416	1 315	**1 465**	125
Basic earnings per share for earnings attributable to shareholders' equity from:					
Continuing operations (KShs)	**1**	**1.23**	2.56		
Discontinued operations (KShs)	**1**	**(0.38)**	0.03		
All operations (KShs)	**1**	**0.85**	2.59		

1 The 2024 comparatives presented in the table above have been restated. Refer to note 42 for further details.

2 Bancassurance obligations were previously presented under fair value adjustments on financial liabilities. Refer to note 42 for further details.

Statement of changes in group equity

for the year ended 31 December 2025

KShs m	Share capital	Share premium	FCTR[1]	Statutory reserve and owner-occupied properties[2]	Retained surplus	Non-controlling interests	Total
Balance at 1 January 2024	536	1 490	(103)	1 872	5 394	388	9 577
Total comprehensive (loss)/income	–	–	(74)	–	1 389	(37)	1 278
Total earnings	–	–	–	–	1 389	13	1 402
Other comprehensive (loss)/income	–	–	(74)	–	–	(50)	(124)
Transfer between reserves	–	–	–	110	(110)	–	–
Dividends	–	–	–	–	(200)	(10)	(210)
Balance at 31 December 2024	**536**	**1 490**	**(177)**	**1 982**	**6 473**	**341**	**10 645**
Total comprehensive (loss)/income	**–**	**–**	**(40)**	**–**	**456**	**6**	**422**
Total earnings	**–**	**–**	**–**	**–**	**456**	**31**	**487**
Other comprehensive (loss)/income	**–**	**–**	**(40)**	**–**	**–**	**(25)**	**(65)**
Transfer between reserves	**–**	**–**	**–**	**475**	**(475)**	**–**	**–**
Dividends	**–**	**–**	**–**	**–**	**(857)**	**–**	**(857)**
Disposal of HIT	**–**	**–**	**–**	**–**	**–**	**(347)**	**(347)**
Transfer of FCTR to profit or loss on disposal of a subsidiary	**–**	**–**	**217**	**–**	**–**	**–**	**217**
Balance at 31 December 2025	**536**	**1 490**	**–**	**2 457**	**5 597**	**–**	**10 080**

1 FCTR – Foreign currency translation reserve. The FCTR arises from the consolidation of the foreign owned subsidiary, Heritage Insurance Tanzania Limited (HIT). It represents gains and losses, including the differences arising as a result of translating opening shareholders' equity using exchange rates at the end of the reporting period rather than exchange rates at the beginning of the period which are included in a translation reserve account and reported as a separate component of equity. The group's interest in HIT was disposed of effective 31 March 2025. Consequently the FCTR balance has been reclassified to profit or loss.

2 The statutory reserve comprises the undistributed life surplus and a separate reserve set aside as required by insurance regulations in Tanzania. Tanzania regulations require a separate reserve equal to 5% of net written premium or 20% of the net profits whichever is higher. This reserve is capped at minimum paid-up capital or 50% of net written premiums. Distribution of Liberty Life Kenya surplus to the benefit of the shareholders is on the recommendations of the statutory actuary and is capped to 30% of available surplus as required by Insurance Act Kenya. The Tanzania reserve is no longer applicable following the disposal of HIT.

The accounting principles on pages 16 to 18, key judgements on pages 19 to 22, notes on pages 30 to 135, risk management on pages 137 to 179, and the material accounting policies on pages 181 to 218, form an integral part of the financial statements.

Statement of changes in company equity

for the year ended 31 December 2025

KShs m	Share capital	Share premium	Retained surplus	Total
Balance at 1 January 2024	536	1 490	718	2 744
Total comprehensive income and total earnings	–	–	125	125
Dividends paid	–	–	(200)	(200)
Balance at 31 December 2024	**536**	**1 490**	**643**	**2 669**
Total comprehensive income and total earnings	**–**	**–**	**1 465**	**1 465**
Dividends paid	**–**	**–**	**(857)**	**(857)**
Balance at 31 December 2025	**536**	**1 490**	**1 251**	**3 277**

The accounting principles on pages 16 to 18, key judgements on pages 19 to 22, notes on pages 30 to 135, risk management on pages 137 to 179, and the material accounting policies on pages 181 to 218, form an integral part of the financial statements.

Statements of cash flows

for the year ended 31 December 2025

KShs m	Notes	Group 2025	Group Restated[2] 2024	Company 2025	Company Restated[2] 2024
Cash flows from/(to) operating activities		**(304)**	(1 795)	**1 487**	160
Cash (utilised by)/generated from operations	**35.1**	**(669)**	(913)	**1 487**	160
Cash receipts from policyholders		**15 311**	16 154	**–**	–
Cash paid to policyholders		**(10 265)**	(7 049)	**–**	–
Cash paid to intermediaries, suppliers and employees		**(5 715)**	(10 018)	**1 487**	160
Interest income on financial assets using the effective interest method	**26**	**808**	1 074	**–**	–
Repayments of financial liabilities	**15.1**	**(291)**	(167)	**–**	–
Taxation paid	**35.2**	**(368)**	(475)	**–**	–
Net disposal/(purchase) of financial instruments	**8.2**	**216**	(1 314)	**–**	–
Cash flows from investing activities		**339**	(105)	**(627)**	24
Purchase of equipment	**5.2**	**(76)**	(50)	**–**	–
Proceeds on sale of equipment	**5.2**	**–**	9	**–**	–
Disposal of The Heritage Insurance Company Tanzania Ltd	**41.1.3**	**472**	–	**–**	–
Movements in loans with subsidiaries	**7.4.2**	**–**	–	**(627)**	24
Acquisition of intangible assets	**3.1**	**(57)**	(64)	**–**	–
Cash flow from financing activities		**(871)**	(299)	**(848)**	(200)
Lease repayments[1]	**16.1**	**(23)**	(89)	**–**	–
Dividends paid [3]		**(848)**	(210)	**(848)**	(200)
Net (decrease)/increase in cash and cash equivalents		**(836)**	(2 199)	**12**	(16)
Cash and cash equivalents at the beginning of the year		**9 109**	12 857	**3**	19
Classified as held for sale		**–**	(1 529)	**–**	–
Foreign currency translation		**–**	(20)	**–**	–
Cash and cash equivalents at the end of the year	**10**	**8 273**	**9 109**	**15**	**3**

1 Repayment of principal amount and interest expense.

2 The 2024 comparatives presented in the table above have been restated. Refer to note 42 for further details.

3 Excludes the outstanding dividends declared during the year, presented under liabilities.

The accounting principles on pages 16 to 18, key judgements on pages 19 to 22, notes on pages 30 to 135, risk management on pages 137 to 179, and the material accounting policies on pages 181 to 218, form an integral part of the financial statements.

1. Basic earnings and earnings per share

	Group	
	2025	**2024**
Basic earnings from continuing operations attributable to ordinary shareholders (KShs million)	**659**	1 370
Basic earnings from discontinued operations attributable to ordinary shareholders (KShs million)	**(203)**	19
Basic earnings attributable to ordinary shareholders (KShs million)	**456**	1 389
Weighted average number of ordinary shares (Number of shares)	**535 707 499**	535 707 499
	Shillings	Shillings
Basic and diluted earnings per share for earnings from continuing operations attributable to shareholders' equity	**1.23**	2.56
Basic and diluted earnings per share for earnings from discontinued operations attributable to shareholders' equity	**(0.38)**	0.03
Basic and diluted earnings per share for earnings from all operations attributable to shareholders' equity	**0.85**	2.59

Definitions

Basic earnings per share

Basic earnings per share is total earnings attributable to ordinary shareholders divided by the weighted average number of ordinary shares in issue during the year. There was no dilution effect on the basic earnings per share.

2. Segment information

Liberty Kenya Holdings Plc and its subsidiaries is a insurance organisation delivering mainly insurance products and services to individuals and corporates.

The group is currently organised in line with the Insurance Acts which classify contracts of insurance and investment into two main categories being long-term insurance and general insurance, which includes medical insurance. The distinction is determined through the definitions contained in the insurance act which is largely aligned to contract duration with general insurance typically having short-term contract terms (12 months or less).

The group is structured into two licensed subsidiaries (prior to the sale of HIT, three licences) following the Insurance Acts requirements. One of the subsidiaries undertake general insurance and the other undertakes long-term insurance. The group's general business license in Tanzania was disposed of effective 31 March 2025 (refer to note 41).

An operating segment is a component of the group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment result is based on the group's internal reporting to management and the respective boards.

The Chief Operating and Decision Maker (CODM) is the chief executive along with oversight of Liberty Kenya Holdings Board.

The group is organised by business units, all operating in Kenya. The business units are segmented as follows:

1. Long-term business

2. General businesses

3. Holding company

The holding company is represented by Liberty Kenya Holdings and is primarily involved in holding the separate insurance subsidiaries and other investing activities.

The group produces segmented financial statements i.e. profit or loss and statement of financial position in compliance with IFRS 8. The group does not have any one major customer that contributes more than 10% of its revenues.

Definitions

Reporting adjustments

The information in the segment report is presented on the same basis as reported to management. Reporting adjustments are those accounting reclassifications and entries required to produce IFRS compliant results. Specific details of these adjustments are included as footnotes.

2. Segment information (continued)

2.1 Segment earnings- results by business unit

KShs m	Group Long-term business	General business	Holding company	Total	Reporting adjust-ments[1]	IFRS reported
2025						
Insurance revenue	**3 233**	**8 650**	**–**	**11 883**	**–**	**11 883**
Insurance service expense	**(3 058)**	**(7 095)**	**–**	**(10 153)**	**–**	**(10 153)**
Net insurance service result before reinsurance contracts held	**175**	**1 555**	**–**	**1 730**	**–**	**1 730**
Net expense from reinsurance contracts held	**(99)**	**(1 153)**	**–**	**(1 252)**	**–**	**(1 252)**
Insurance service result	**76**	**402**	**–**	**478**	**–**	**478**
Investment returns[2]	**4 934**	**1 259**	**1 622**	**7 815**	**(1 771)**	**6 044**
Fair value adjustment to financial liabilities under investment contracts	**(2 024)**	**–**	**–**	**(2 024)**	**–**	**(2 024)**
Fair value adjustment to financial liabilities	**–**	**–**	**–**	**–**	**–**	**–**
Net investment income	**2 910**	**1 259**	**1 622**	**5 791**	**(1 771)**	**4 020**
Net finance expense from insurance contracts issued	**(2 273)**	**(150)**	**–**	**(2 423)**	**–**	**(2 423)**
Net finance income from reinsurance contracts held	**21**	**32**	**–**	**53**	**–**	**53**
Net insurance finance expenses	**(2 252)**	**(118)**	**–**	**(2 370)**	**–**	**(2 370)**
Net insurance and investment result	**734**	**1 543**	**1 622**	**3 899**	**(1 771)**	**2 128**
Revenue from contracts with customers	**519**	**–**	**–**	**519**	**–**	**519**
Other operating expenses	**(922)**	**(421)**	**(157)**	**(1 500)**	**138**	**(1 362)**
Finance costs	**(2)**	**(33)**	**–**	**(35)**	**27**	**(8)**
Bancassurance obligations	**(114)**	**(72)**	**–**	**(186)**	**–**	**(186)**
Profit/(loss) before taxation from continuing operations	**215**	**1 017**	**1 465**	**2 697**	**(1 606)**	**1 091**
Taxation	**(108)**	**(324)**	**–**	**(432)**	**–**	**(432)**
Total earnings/(loss) after taxation from continuing operations	**107**	**693**	**1 465**	**2 265**	**(1 606)**	**659**
Total earnings/(loss)from discontinued operations	**–**	**(172)**	**–**	**(172)**	**–**	**(172)**
Total earnings/(loss)	**107**	**521**	**1 465**	**2 093**	**(1 606)**	**487**
Other comprehensive income/(loss)	**–**	**(65)**	**–**	**(65)**	**–**	**(65)**
Total comprehensive income/(loss)	**107**	**456**	**1 465**	**2 028**	**(1 606)**	**422**
Attributable to non-controlling interests	**–**	**(6)**	**–**	**(6)**	**–**	**(6)**
Total earnings/(loss) attributable to shareholders	**107**	**450**	**1 465**	**2 022**	**(1 606)**	**416**

1 Reporting adjustments include the elimination of intragroup transactions.

2 Investment returns consist of investment income, interest income on financial assets using the effective interest method and fair value adjustment to assets held at fair value through profit or loss.

2. Segment information (continued)

2.1 Segment earnings- results by business unit

KShs m	Group					
	Long-term business	General business	Holding company	Total	Reporting adjust-ments[1]	IFRS reported
2024 - restated[3]						
Insurance revenue	2 757	8 193	–	10 950	–	10 950
Insurance service expense	(2 369)	(6 159)	–	(8 528)	–	(8 528)
Net insurance service result before reinsurance contracts held	388	2 034	–	2 422	–	2 422
Net expense from reinsurance contracts held	(95)	(1 263)	–	(1 358)	–	(1 358)
Insurance service result	293	771	–	1 064	–	1 064
Investment returns [2]	5 329	1 872	315	7 516	(469)	7 047
Fair value adjustment to policyholders' liabilities under investment contracts	(2 154)	–	–	(2 154)	–	(2 154)
Net investment income	3 175	1 872	315	5 362	(469)	4 893
Net finance expenses from insurance contracts issued	(2 598)	(208)	–	(2 806)	–	(2 806)
Net finance income from reinsurance contracts held	11	44	–	55	–	55
Net insurance finance expenses	(2 587)	(164)	–	(2 751)	–	(2 751)
Net insurance and investment result	881	2 479	315	3 675	(469)	3 206
Revenue from contracts with customers	456	–	–	456	–	456
Other operating expenses	(858)	(426)	(190)	(1 474)	123	(1 351)
Finance costs	(3)	(7)	–	(10)	2	(8)
Bancassurance obligations	(127)	(85)	–	(212)	–	(212)
Profit/(loss) before taxation from continuing operations	349	1 961	125	2 435	(344)	2 091
Taxation	(162)	(559)	–	(721)	–	(721)
Total earnings/(loss) before taxation from continuing operations	187	1 402	125	1 714	(344)	1 370
Total earnings from discontinued operations	–	32	–	32	–	32
Total earnings/(loss)	187	1 434	125	1 746	(344)	1 402
Other comprehensive income/(loss)	–	(124)	–	(124)	–	(124)
Total comprehensive income/(loss)	187	1 310	125	1 622	(344)	1 278
Attributable to non-controlling interests	–	37	–	37	–	37
Total earnings/(loss) attributable to shareholders	187	1 347	125	1 659	(344)	1 315

1 Reporting adjustments include the elimination of intragroup transactions.

2 Investment returns consist of investment income, interest income on financial assets using the effective interest method and fair value adjustment to assets held at fair value through profit or loss.

3 The 2024 comparatives presented in the table above have been restated. Refer to note 42 on page 133 for further details

2. Segment information (continued)

2.2 Segment operating expenses, assets and liabilities by business unit

	Group				
KShs m	**Long-term business**	**General business**	**Holding company**	**Reporting adjust-ments [1]**	**IFRS reported**
2025					
Operating expenses: [2]					
Employee costs	**721**	**986**	**86**	**–**	**1 793**
Office costs	**850**	**875**	**71**	**(138)**	**1 658**
Other	**81**	**105**	**–**	**–**	**186**
Total operating expenses	**2 003**	**1 978**	**157**	**(138)**	**4 000**
Attributable to:					
Insurance service result-modelled expenses	**1 081**	**1 557**	**–**	**–**	**2 638**
Other operating expenses	**922**	**421**	**157**	**(138)**	**1 362**
Other information specifically required by IFRS 8:					
Equipment	**73**	**92**	**–**	**–**	**165**
Right-of-use assets	**18**	**202**	**–**	**(177)**	**43**
Intangible assets	**81**	**37**	**–**	**1 255**	**1 373**
Investment in subsidiary	**–**	**–**	**2 702**	**(2 702)**	**–**
Owner-occupied properties	**734**	**–**	**–**	**445**	**1 179**
Investment properties	**482**	**–**	**–**	**(445)**	**37**
Financial investments	**25 268**	**7 905**	**–**	**–**	**33 173**
Reinsurance contract assets	**239**	**1 185**	**–**	**–**	**1 424**
Other assets	**5 496**	**3 401**	**646**	**(631)**	**8 912**
Total assets	**32 391**	**12 822**	**3 348**	**(2 255)**	**46 306**
Insurance contract liabilities	**14 607**	**6 185**	**–**	**–**	**20 792**
Financial liabilities under investment contracts	**12 441**	**–**	**–**	**–**	**12 441**
Other liabilities	**2 448**	**1 301**	**71**	**(827)**	**2 993**
Total liabilities	**29 496**	**7 486**	**71**	**(827)**	**36 226**
Other financial detail by business unit					
Additions to property and equipment	**25**	**51**	**–**	**–**	**76**
Additions to right-of-use assets	**6**	**213**	**–**	**(213)**	**6**
Additions to intangible assets	**50**	**7**	**–**	**–**	**57**
Interest income on financial assets held at amortised cost	**465**	**343**	**–**	**–**	**808**
Depreciation	**36**	**73**	**–**	**(35)**	**74**

1 Reporting adjustments include the elimination of intragroup transactions.

2 Additional disclosure has been included in the current year annual financial statements to include the material component parts of operating expenses per segment. This includes 2024 comparatives.

2. Segment information (continued)

2.2 Segment operating expenses, assets and liabilities by business unit (continued)

KShs m	Group Long-term business	General business	Holding company	Reporting adjust-ments [1]	IFRS reported
2024					
Operating expenses: [2]					
Employee costs	728	980	80	–	1 788
Office costs	815	746	90	(124)	1 527
Other	367	112	20	–	499
Total operating expenses	1 910	1 838	190	(124)	3 814
Attributable to:					
Insurance service result-modelled expenses	1 052	1 411	–	–	2 463
Other operating expenses	858	427	190	(124)	1 351
Other information specifically required by IFRS 8:					
Equipment	79	67	–	–	146
Right-of-use assets	17	35	–	–	52
Intangible assets	117	75	–	1 255	1 447
Investment in subsidiary	–	–	2 702	(2 702)	–
Owner-occupied properties	771	–	–	445	1 216
Financial investments	21 545	6 598	–	–	28 143
Reinsurance contract assets	245	1 639	–	–	1 884
Assets classified as held for sale	–	5 334	–	–	5 334
Other assets	5 905	4 571	21	(570)	9 927
Total assets	28 679	18 319	2 723	(1 572)	48 149
Insurance contract liabilities	12 951	5 986	–	–	18 937
Financial liabilities under investment contracts	11 021	–	–	–	11 021
Liabilities relating to assets held for sale	–	4 480	–	–	4 480
Other liabilities	1 919	1 077	55	15	3 066
Total liabilities	25 891	11 543	55	15	37 504
Other financial detail by business unit					
Additions to property and equipment	18	32	–	–	50
Additions to right-of-use assets	1	18	–	–	19
Additions to intangible assets	51	13	–	–	64
Interest income on financial assets held at amortised cost	668	406	–	–	1 074
Depreciation - continuing operations	39	45	–	–	84
Depreciation - discontinued operations	–	23	–	–	23

1 Reporting adjustments include the elimination of intragroup transactions.

2 Additional disclosure has been included in the current year annual financial statements to include the material component parts of operating expenses per segment. This includes 2024 comparatives.

2. Segment information (continued)

2.3 Segment earnings- results by geographical spread

	Group		
	Kenya	**Tanzania**	**IFRS reported**
2025			
Insurance service result	**478**	**–**	**478**
Net investment income	**4 020**	**–**	**4 020**
Net insurance finance expenses	**(2 370)**	**–**	**(2 370)**
Net insurance and investment result	**2 128**	**–**	**2 128**
Revenue from investment contracts with customers	**519**	**–**	**519**
Other operating expenses	**(1 362)**	**–**	**(1 362)**
Finance costs	**(8)**	**–**	**(8)**
Bancassurance obligations	**(186)**	**–**	**(186)**
Profit before taxation from continuing operations	**1 091**	**–**	**1 091**
Taxation	**(432)**	**–**	**(432)**
Total earnings from continuing operations	**659**	**–**	**659**
Total earnings from discontinued operations	**–**	**(172)**	**(172)**
Total earnings	**659**	**(172)**	**487**
Other comprehensive income	**–**	**(65)**	**(65)**
Total comprehensive income	**659**	**(237)**	**422**
Attributable to non-controlling interests	**–**	**(6)**	**(6)**
Total comprehensive income attributable to shareholders	**659**	**(243)**	**416**

2. Segment information (continued)

2.3 Segment earnings- results by geographical spread (continued)

	Group		
	Kenya	**Tanzania**	**IFRS reported**
2024			
Insurance service result	1 064	–	1 064
Net investment income	4 893	–	4 893
Net insurance finance expenses	(2 751)	–	(2 751)
Net insurance and investment result	**3 206**	**–**	**3 206**
Revenue from investment contracts with customers	456	–	456
Other operating expenses	(1 351)	–	(1 351)
Finance costs	(8)	–	(8)
Bancassurance obligations	(212)	–	(212)
Profit before taxation from continuing operations	**2 091**	**–**	**2 091**
Taxation	(721)	–	(721)
Total earnings from continuing operations	**1 370**	**–**	**1 370**
Total earnings from discontinued operations		32	32
Total earnings	**1 370**	**32**	**1 402**
Other comprehensive income	–	(124)	(124)
Total comprehensive income	**1 370**	**(92)**	**1 278**
Attributable to non-controlling interests	–	37	37
Total comprehensive income attributable to shareholders	**1 370**	**(55)**	**1 315**

3. Intangible assets

3.1 Summary of net carrying value

		Group	
KShs m	Amortisation period (years)	2025	2024
Net carrying value		**1 373**	1 447
Goodwill	None	**1 255**	1 255
Computer software – purchased [1]	≤ 5	**118**	192
Non-current		**1 373**	**1 447**

1 Purchased computer software is not judged to be an integral part of the related hardware and has been recognised as an intangible asset.

3. Intangible assets (continued)

3.2 Movement analysis

	Group		
KShs m	Goodwill	Computer software – purchased[1]	Balance at end of year
2025			
Cost - movement			
Balance at beginning of year	**1 255**	**1 004**	**2 259**
Additions	**–**	**57**	**57**
Balance at end of year	**1 255**	**1 061**	**2 316**
Accumulated amortisation and impairment - movement			
Balance at beginning of year	**–**	**(812)**	**(812)**
Amortisation	**–**	**(131)**	**(131)**
Balance at end of year	**–**	**(943)**	**(943)**
Net carrying value	**1 255**	**118**	**1 373**
2024			
Cost - movement			
Balance at beginning of year	1 255	1 026	2 281
Additions	–	64	64
Derecognition	–	(40)	(40)
Foreign currency translation	–	(5)	(5)
Reclassified to assets held for sale (refer note 41)	–	(41)	(41)
Balance at end of year	1 255	1 004	2 259
Accumulated amortisation and impairment - movement			
Balance at beginning of year	–	(800)	(800)
Amortisation-continuing operations	–	(86)	(86)
Amortisation-discontinuing operations	–	(3)	(3)
Derecognition	–	40	40
Foreign currency translation	–	2	2
Reclassified to assets held for sale (refer note 41)	–	35	35
Balance at end of year	–	(812)	(812)
Net carrying value	1 255	192	1 447

1 Purchased computer software is not judged to be an integral part of the related hardware and has been recognised as an intangible asset.

3. Intangible assets (continued)

Goodwill

Goodwill arises on the acquisition of subsidiaries and represents the excess of the consideration transferred over the Company's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the Group's cash generating units (CGU), or groups of CGUs that are expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the CGU Level. Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. An impairment loss is recognized whenever the carrying amount of an asset or its CGU exceeds its recoverable amount. Impairment losses are allocated first to reduce the carrying amount of any goodwill allocated to a CGU and then to reduce the carrying amount of other assets in the CGU on a pro rata basis. The carrying amount of these other assets may, however, not be reduced below the higher of the CGU's fair value less costs of disposal and its value in use. Any impairment recognized on goodwill is not subsequently reversed.

Goodwill impairment testing

Goodwill arose from the acquisition of Liberty Life Assurance Kenya Limited (formerly Alico) in 2004 and acquisition of The Heritage Insurance Kenya Limited in 2010 and current allocation to CGUs is as shown below:

KShs m	2025	2024
Liberty Life Assurance Kenya Limited	**1 085**	1 085
Heritage Insurance Kenya Limited	**170**	170
Total goodwill	**1 255**	**1 255**

Goodwill relating to Liberty Life Assurance Kenya Limited (formerly Alico) and Heritage Insurance Kenya Limited was tested for impairment on 31 December 2025. The recoverable amount was determined using the best practice in valuing insurance business that comprises embedded value measure and value of future new business. Future net cashflows were discounted to determine the recoverable amount. The forecast recoverable amounts do not indicate any need for impairment.

The Heritage Insurance Company Kenya Limited is the general insurance business while Liberty Life Assurance Kenya Limited is the life business.

Liberty Life Assurance Kenya

The key assumptions applied are:	2025		2024	
		Terminal period		Terminal period
Forecast period (CAGR)	**5 years**	**6 to 30 Years**	5 years	6 to 30 Years
Long-term insurance industry growth rate	**5 %**	**2 %**	5 %	2 %
Projected country GDP growth rate	**5 %**	**2 %**	5 %	2 %
Projected growth in market share	**2 %**	**1 %**	2 %	1 %
Premium growth rate	**7 %**	**2 %**	7 %	2 %
Profit after tax growth rate	**4 %**	**10 %**	2 %	2 %

a. Future cashflows: The forecast periods adopted reflect an estimate of future net cashflows based on management judgement and expected market conditions that could be sustainably generated over such a period. A five-year forecast was used as a basis for future value to be generated from new business expected to be acquired. The new business volumes are based on company's approved five-year strategy that is reviewed on rolling basis.

b. Discount rate: The pre-tax discount rate used was based on an assessment of the risks applicable to Liberty Life Kenya Limited. The cost of equity discount rate calculated for the forecast years was set equal to 31 December 2025 Kenya Government bond yield curve. In 2024, the cost of equity discount rate was set equal to 31 December 2024 Kenya Government bond yield curve. The cost of equity assigned to the risk discount rate and used to discount its future cash flows can have a significant effect on its valuation.

3. Intangible assets (continued)

The fair value calculation has a projected headroom value of KShs 9 177 million against a goodwill carrying amount of KShs 1 085 million.

An increase of 1% to the risk discount rate (RDR) applied would result in fair value reducing by KShs 108 million (2024: KShs 24 million), a decrease of 1% in RDR results to an increase in fair value by KShs 110 million (2024: KShs 25 million). A 1% change in premium growth rate would result into a change in estimated value by KShs 250 million. Change in profit after tax growth rate by 1% would result into a change in estimated value by KShs 84 million.

Heritage Insurance Kenya

The Heritage insurance Kenya Limited is the general insurance business in the Kenya.

Key planning assumptions applied are shown on the table below:

The key assumptions applied are:	**2025**		**2024**	
		Terminal period		Terminal period
Forecast period (CAGR)	**5 years**	**6 to 30 Years**	5 years	6 to 30 Years
Short-term insurance industry growth rate	**10 %**	**2 %**	5 %	2 %
Projected country GDP growth rate	**5 %**	**2 %**	5 %	2 %
Projected growth in market share	**4 %**	**1 %**	4 %	1 %
Premium growth rate	**16 %**	**2 %**	11 %	2 %

a. Future cashflows: The forecast periods adopted reflect an estimate of future net cashflows based on management judgement and expected market conditions that could be sustainably generated over such a period. A five-year rolling forecast was used as a basis for future profit after tax to be generated and a further 25 years representing estimate of terminal value of business to be generated for the foreseeable future. The forecasted profit after tax is based on companies approved five-year strategy that is reviewed on rolling basis.

b. Discount rate: The pre-tax discount rate used was based on an assessment of the risks applicable to Heritage Kenya. The cost of equity discount rate calculated for the forecast years was set equal to 31 December 2025 Kenya Government bond yield curve. In 2024, the cost of equity discount rate was set equal to 31 December 2024 Kenya Government bond yield curve. Fair value calculation has projected a headroom value of KShs 16 572 million against a goodwill carrying value of KShs 170 million. An increase of 1% to the risk discount rate (RDR) applied would result in fair value reducing by KShs 836 million (2024: KShs 520 million), a decrease of 1% in RDR results to an increase in fair value by KShs 957 million (2024: KShs 589 million).

A 1% change in premium growth rate would result into a change in estimated value by KShs 36 million. Change in profit after tax growth rate by 1% would result into a change in estimated value by KShs 40 million.

4. Properties

4.1 Summary

		Group	
KShs m	**Notes**	**2025**	**2024**
Owner-occupied properties at fair value through profit or loss	**4.2**	**1 179**	1 216
Investment properties	**4.3**	**37**	–
Fair value at the end of the year		**1 216**	1 216
Non-current		**1 216**	1 216

The group has one material property, namely, Liberty House Nairobi. During the year, the building was partitioned to allow for external tenants. The portion available for external letting has been transferred and recognised as investment properties.

Details of property investments are recorded in registers, which may be inspected by members or their duly authorised agents, at the company's registered office.

4.2 Owner-occupied properties at fair value

	Group	
KShs m	**2025**	**2024**
Fair value at the beginning of the year	**1 216**	1 216
Transfer to investment properties	**(37)**	–
Fair value at the end the of the year	**1 179**	1 216

4.3 Investment properties at fair value

	Group	
KShs m	**2025**	**2024**
Transfer from owner-occupied properties	**37**	–
Fair value at the end the of the year	**37**	**–**

All properties are located in Kenya.

Properties are marked to fair value at every reporting period as a portion of assets are matching policyholders liabilities.

Depreciation is not applicable as the relevant buildings fair value is equal or greater than the opening valuation.

4. Properties (continued)

4.4 Basis of valuation

The properties were all independently valued as at 31 December 2025 by a registered professional valuer. The valuation is prepared in accordance with the International Valuation Standards to which the Institution of Surveyors of Kenya (ISK) subscribes to.

The market value is the estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and a willing seller in an arm's-length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion.

To arrive at a market value, the properties have been valued using income approach method.

Income approach

The income approach uses the discounted cash flow methodology whereby an appropriate capitalisation rate based on reasonable expectation of return in the investment appropriate to the market is obtained. The suitable rate is obtained by analysing actual and prudent property sales versus their rental incomes. This rate is compared with the rate of return investors would expect on net operating income in order to invest in the type of real estate having due regard to other investment opportunities such as stocks, treasury bills, etc.

The net operating income is then discounted back to the valuation date to arrive at the market value of the property.

The directors review and may apply judgement on the results of the valuation to be recognised in the financial statements. A summary of sensitivities on the significant inputs used in the valuations has been provided in section 20.6.1.

5. Equipment

5.1 Summary of net carrying value

KShs m	Depreciation period (years)	Group 2025	Group 2024
Net carrying value		**165**	146
Computer equipment	3-5	**131**	72
Fixtures, furniture and fittings	5 - 15	**18**	57
Motor vehicles	5	**16**	17
Non-current		**165**	146

5. Equipment (continued)

5.2 Movement analysis

	Group			
KShs m	**Computer equipment**	**Fixtures, furniture and fittings**	**Motor vehicles**	**Balance at end of year**
2025				
Cost - movement				
Balance at beginning of year	**571**	**641**	**60**	**1 272**
Additions	**56**	**5**	**15**	**76**
Disposals	**(12)**	**(7)**	**–**	**(19)**
Balance at end of year	**615**	**639**	**75**	**1 329**
Accumulated depreciation and impairment - movement				
Balance at beginning of year	**(462)**	**(616)**	**(48)**	**(1 126)**
Disposals	**12**	**7**	**–**	**19**
Depreciation	**(34)**	**(12)**	**(11)**	**(57)**
Balance at end of year	**(484)**	**(621)**	**(59)**	**(1 164)**
Net carrying value	**131**	**18**	**16**	**165**
2024				
Cost - movement				
Balance at beginning of year	640	871	102	1 613
Additions	3	45	2	50
Disposals	(81)	(158)	(16)	(255)
Loss on derecognition	–	(2)	–	(2)
Foreign currency translation	–	(12)	(3)	(15)
Reclassified to assets held for sale (refer note 41)	9	(103)	(25)	(119)
Balance at end of year	571	641	60	1 272
Accumulated depreciation and impairment - movement				
Balance at beginning of year	(523)	(825)	(65)	(1 413)
Disposals	79	157	12	248
Depreciation-continuing operations	(41)	(12)	(11)	(64)
Depreciation-discontinued operations	–	(4)	(3)	(7)
Foreign currency translation	–	8	1	9
Reclassified to assets held for sale (refer note 41)	23	60	18	101
Balance at end of year	(462)	(616)	(48)	(1 126)
Net carrying value	109	25	12	146

5. **Equipment** (continued)

Assets are reviewed regularly and those with no useful future life are derecognised.

There were no items of equipment that were pledged as security for liabilities.

The amount of contractual commitments for the acquisition of property and equipment is disclosed in note 37 of the annual financial statements.

There was no compensation received from third parties in relation to items of property and equipment arising from impairments and loss.

There were no restrictions on titles to the equipment.

6. Right-of-use assets

6.1 Movement analysis

	Group	
	Property	
KShs m	**2025**	**2024**
Cost at the beginning of the year	**89**	145
Additions	**6**	19
Modifications	**2**	(5)
Foreign currency translation	**–**	(5)
Reclassified to assets held for sale (refer note 41)	**–**	(51)
Derecognition	**(2)**	(14)
Cost at the end of the year	**95**	89
Accumulated depreciation and impairment at the beginning of the year	**(37)**	(58)
Depreciation-continuing operations	**(17)**	(20)
Depreciation-discontinued operations	**–**	(16)
Foreign currency translation	**–**	3
Reclassified to assets held for sale (refer note 41)	**–**	40
Derecognition	**2**	14
Accumulated depreciation and impairment at the end of the year	**(52)**	(37)
Net carrying value at the end of the year	**43**	52
Non-current	**43**	52

Derecognition represents leases that are either terminated or reach the end of contractual term.

7. Interest in subsidiaries

7.1 Summary

The company's interest in its subsidiaries all of which are unlisted, and all of which have the same year-end as the company's, were as follows:

		Company	
KShs m	**Notes**	**2025**	**2024**
Shares at cost	**7.2, 36.C.1**	**3 332**	3 332
Impairment provision	**7.3, 36.C.1**	**(630)**	(630)
Total interest in subsidiaries		**2 702**	2 702
Non-current		**2 702**	2 702

7.2 Movement analysis of shares at cost

Shares at cost		
Shares at cost at the beginning of the year	**3 332**	3 332
Additional shares issued	**–**	–
Shares at cost at the end of the year	**3 332**	3 332

7.3 Movement analysis of impairment provision

Impairment provision		
Impairment provision at the beginning of the year	**(630)**	(630)
Impairment reversal through profit or loss	**–**	–
Impairment provision at the end of the year	**(630)**	(630)

Subsidiaries impairment testing

Equity investments in subsidiary companies are measured at cost less any impairment losses. The carrying amounts of these investments are assessed annually for impairment indicators. If an indicator exists, for semi-dormant, dormant and investment holding subsidiaries, the subsidiaries' impairment is referenced to the net asset value calculated on a fair value basis. Operating subsidiaries are assessed against discounted cash flow models or price earnings valuation techniques referenced to approved business plans.

The impairment provision of KShs 630 million relates to CFC Investment Limited that was taken to align the carrying values of the holding company and the subsidiary's net asset carrying value.

The subsidiaries impairment test has been performed at 31 December 2025 and no further impairment was necessary. Reasonably possible changes to assumptions do not result in impairment of investment in subsidiaries.

7. Interest in subsidiaries

7.4 Intragroup balances with subsidiaries

7.4.1 Summary

KShs m	Notes	Company 2025	Company 2024
Intragroup balances with subsidiaries - assets		**631**	11
Intragroup balances with subsidiaries - liabilities		**(4)**	(11)
Total intragroup balances with subsidiaries		**627**	–
Comprising:			
Intragroup balances – at amortised cost		**627**	–
Total intragroup balances with subsidiaries		**627**	–

7.4.2 Movement analysis of intragroup balances with subsidiaries

KShs m	Notes	Company 2025	Company 2024
Intragroup balances – at amortised cost			
Balance at the beginning of the year		**–**	24
Advances		**764**	134
Receipts		**(137)**	(158)
Balance at the end of the year [1]		**627**	–

1 Intragroup balances are callable on demand.

Intragroup balances include a subordinated loan of KShs 600 million advanced to Liberty Life Assurance Kenya with a tenure of five years (repayable on 30 November 2029) and carrying no interest.

Estimated credit loss allowances for intragroup loan receivables are measured under the general expected credit loss impairment model.

The risk of default occurring over the expected life of the various loans has not increased significantly from 31 December 2024. For the year ended 31 December 2025, impairment losses on each net loan (net of prior year impairments) are recognised for the 12 months' expected credit loss, which are immaterial for 2025.

Excluding the subordinated loan to Liberty Life Assurance Kenya, the remaining net balance (not impaired) of the intragroup loan receivables are in the nature of working capital short-term funding loans and are typically repaid within three months.

8. Financial instruments

8.1 Financial instruments

	Group	
KShs m	**2025**	**2024**
At fair value through profit or loss		
Equity instruments	**2 577**	1 711
Listed	**2 444**	1 578
Unlisted	**133**	222
Reclassified to assets held for sale (refer note 41)	**–**	(89)
Unit Trust	**918**	787
Fixed Deposit	**88**	83
Designated at fair value through profit or loss		
Debt instruments	**29 152**	25 020
Listed government bonds[1,2,3]	**29 152**	25 093
Reclassified to assets held for sale (refer note 41)	**–**	(73)
Total financial investments at fair value	**32 647**	27 518
Financial assets at amortised cost		
Staff loans receivable[4]	**438**	542
Total financial investments	**33 085**	28 060
Current	**9 814**	7 214
Non-current	**23 359**	20 929

1 As at 31 December 2025, Liberty Life Assurance Kenya Limited had a total of KShs 1 876 million (2024: KShs 1 486 million) of government securities held under lien in favour of Insurance Regulatory Authority as prescribed by the Insurance Act section 32 (1(a)

2 As at 31 December 2025, Heritage Insurance Kenya Company Limited had a total of KShs 787 million (2024: KShs 730 million) of government securities held under lien in favour of Insurance Regulatory Authority as prescribed by the Insurance Act section 32.

3 The values includes the government treasury bills.

4 Mortgage and car loans offered to staff members as a benefit which are collateralised, LKH and subsidiaries have the first right to recover mortgage deductions from employment income.

Under IFRS 9, loss allowances for loan receivables are measured under the general expected credit loss impairment model.

The carrying value of debt instruments which are designated as fair value through profit or loss, that would otherwise be measured at amortised cost, represents the maximum exposure to credit risk.

The changes in fair value is fully due to changes in market risk.

The risk of default occurring over the expected life of the financial instruments at amortised cost has not increased significantly during the year for the year ended 31 December 2025, any expected impairment losses would therefore be recognised under the 12 months expected credit loss. The mortgage loans are assessed to have a low exposure at default due to the security Liberty holds. The borrowers have a high probability of meeting cash flow obligations due to the loans being recovered directly from staff salaries. The expected credit impairment loss was immaterial as at 31 December 2025 and 31 December 2024.

8. Financial instruments (continued)

8.2 Movement analysis of financial instruments measured at fair value through profit or loss and measured at amortised cost

	Group		
KShs m	**Fair value through profit or loss**	**Financial assets measured at amortised cost**	**Total**
2025			
Balance at the beginning of the year	**27 601**	**542**	**28 143**
Net disposals of financial instruments	**(71)**	**(145)**	**(216)**
Interest income on financial assets using the effective interest method	**–**	**41**	**41**
Fair value adjustments	**5 205**	**–**	**5 205**
Balance at the end of the year	**32 735**	**438**	**33 173**
2024			
Balance at the beginning of the year	**20 344**	**636**	**20 980**
Net additions/(disposals) of financial instruments	**1 471**	**(157)**	**1 314**
Interest income on financial assets using the effective interest method	**–**	**63**	**63**
Fair value adjustments	**5 962**	**–**	**5 962**
Foreign currency translation	**(14)**	**–**	**(14)**
Reclassified to assets held for sale (refer note 41)	**(162)**	**–**	**(162)**
Balance at the end of the year	**27 601**	**542**	**28 143**

9. Prepayments and other receivables

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Prepayments and other receivables at amortised cost [1]				
Intermediary debtors	**244**	264	**–**	–
General insurance	**156**	154	–	–
Life insurance	**88**	110	**–**	–
Other debtors	**130**	280	**–**	–
Due from group companies[2]	**5**	2	**–**	–
Prepayments[2]	**167**	364	**–**	7
Reclassified to assets held for sale (refer note 41)	**–**	(164)	–	–
Total prepayments and other receivables	**546**	746	**–**	7
Current	**546**	746	**–**	7

1 Net of expected credit loss allowances.

2 These balances are either not subject to expected credit losses or credit adjustments are immaterial.

All above balances are current i.e. inflows of economic benefits are expected to occur within one year.

9.1 Movement in provisions for impairment losses

The group applies the simplified approach to providing for expected credit losses prescribed by IFRS 9, which permits the use of lifetime expected loss provisions for all trade receivables at amortised cost.

	Group	
KShs m	**2025**	**2024**
Balance at the beginning of the year	**–**	(43)
(Increase)/decrease in loss allowance recognised in profit or loss during the period	**–**	43
Bad debts written off	**–**	–
Closing expected credit loss allowance	**–**	–

Due to the amounts being relatively immaterial, the impairment loss adjustment has not been disclosed on the face of the statement of comprehensive income.

Ageing of intermediary debtors for general insurance

	Group	
KShs m	**2025**	**2024**
0 to 30 days (current)	**70**	64
31 to 60 days past due	**43**	52
61 to 90 days past due	**14**	12
91 to 365 days past due	**29**	26
	156	154

9. Prepayments and other receivables

9.2 Movement in impairment losses on intermediary debtors for life insurance

	Group	
KShs m	**2025**	**2024**
Balance at the beginning of the year	**(10)**	(3)
(Increase)/decrease in loss allowance recognised in profit or loss during the period	**–**	(7)
Closing expected credit loss allowance	**(10)**	(10)

Due to the amounts being relatively immaterial, the impairment loss adjustment has not been disclosed on the face of the statement of comprehensive income.

Ageing of intermediary debtors for life insurance

	Group	
Carrying amount **KShs m**	**2025**	**2024**
0 to 30 days (Current)	**6**	23
31 to 60 days past due	**11**	20
61 to 90 days past due	**54**	56
More than 90 days past due	**27**	21
Impairment allowance	**(10)**	(10)
	88	110

Write off policy for intermediary debtors

Balances due from intermediary debtors are written off when there is no reasonable expectation of recovery. Conditions for write-off are that:

1) a debt shall be considered to have become bad if it is proved to the satisfaction of the board to have become uncollectible after all reasonable steps have been taken to collect it; and

2) a debt shall only be considered uncollectible where the creditor loses the contractual right through a court order, no form of security or collateral is realisable whether partially or in full, the securities or collateral have been realised but the process fail to cover the entire debt, the debtor is adjudged insolvent or bankrupt by a court of law and the cost of recovering the debt exceeds the debt itself.

10. Cash and cash equivalents

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Cash and cash equivalents at amortised cost	**8 273**	10 638	**15**	3
Cash at bank and on hand	**1 146**	1 101	**15**	3
Short-term cash deposits	**7 127**	9 537	**–**	–
Reclassified to assets held for sale (refer note 41)	**–**	(1 529)	**–**	–
Total cash and cash equivalents	**8 273**	9 109	**15**	3

Impairments on cash and cash equivalents held at amortised cost are measured on a 12-month expected credit loss basis and reflect the short-term maturities of the exposures. The group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties. Impairment losses for cash and cash equivalents held at amortised cost were assessed and considered immaterial.

11. Insurance contract balances

The following abbreviations are used with reference to IFRS 17 terminology. These are defined in the Abbreviations and Definitions in Annexure B.

GMM	General Measurement Model	**LIC**	Liability for Incurred Claims
VFA	Variable Fee Approach	**ARC**	Asset for Remaining Coverage
PAA	Premium Allocation Approach	**ARIC**	Asset Recoverable on Incurred Claims
LRC	Liability for Remaining Coverage	**CSM**	Contractual Service Margin

11.1 Summary of insurance contract assets and liabilities

	Group	
KShs m	**2025**	**2024**
Insurance contract assets	**–**	–
Insurance contract liabilities	**20 792**	18 937
Net insurance contract assets and liabilities	**20 792**	18 937
Current	**5 948**	5 627
Non-current	**14 844**	13 310

	Group					
KShs m	**Life insurance contracts measured under GMM (refer note 11.3)**	**Life insurance contracts measured under PAA (refer note 11.4)**	**Life participating contracts measured under VFA (refer note 11.5)**	**General insurance non-medical measured under PAA (refer note 11.6)**	**General insurance medical measured under PAA (refer note 11.7)**	**Total**
2025						
Insurance contract assets	**–**	**–**	**–**	**–**	**–**	**–**
Insurance contract liabilities	**2 565**	**1 326**	**10 716**	**5 063**	**1 122**	**20 792**
Net insurance contract assets and liabilities	**2 565**	**1 326**	**10 716**	**5 063**	**1 122**	**20 792**
Liability for remaining coverage (LRC)	**2 562**	**679**	**10 543**	**1 428**	**660**	**15 872**
Liability for incurred claims (LIC)	**3**	**647**	**173**	**3 635**	**462**	**4 920**
2024						
Insurance contract assets	–	–	–	–	–	–
Insurance contract liabilities	1 645	1 210	10 097	4 932	1 053	18 937
Net insurance contract assets and liabilities	1 645	1 210	10 097	4 932	1 053	18 937
Liability for remaining coverage (LRC)	1 644	614	9 878	1 444	652	14 232
Liability for incurred claims (LIC)	1	596	219	3 488	401	4 705

11. Insurance contract balances (continued)

11.2 Process used to decide on assumptions and changes in assumptions

The measurement of insurance contract balances includes the use of significant assumptions or estimates. The section below provides details on significant assumptions regarding for example future cash flows, discount rates, risk adjustment for non-financial risk and confidence level. Refer section on key judgements for information relating to judgments in applying the group's accounting policies on IFRS 17. Assumptions used to develop estimates about future cash flows are reassessed each reporting period and adjusted where necessary. The approach applied for the year ended 31 December 2025 is consistent to that applied in the prior year.

Future cash flows

The current estimate of future cash flows depends on the assessment of the contract boundary term for the specific contracts and the determination of expenses that relate directly to the fulfilment of the contract. The estimates are based on a probability-weighted mean of derived expected future experience. The determination of the future experience estimates is based on the appropriate statistical techniques applied to historical experience. In addition, the relevancy of these estimate outcomes is assessed and in exceptional circumstances (where it is highly probable that future experience is likely to deviate from the historical experience) judgement is applied to adjust these future cash flows.

Mortality and Morbidity

An appropriate base table of standard mortality or morbidity is chosen depending on the type of contract and class of business. Industry standard tables are used for smaller classes of business. Company specific tables, based on graduated industry standard tables modified to reflect the company specific experience, are used for larger classes. Investigations into mortality and morbidity experience are performed at least once a year for all classes of business. The period of investigation extends over at least the latest prior three full years. Assumptions are set as the best estimate taking into account all relevant information. The results of the investigation are an input used to set the valuation assumptions, which are applied as an adjustment to the respective base table. Regarding longevity, for contracts insuring survivorship, an allowance is made for future mortality improvements based on expected future trends. These future trends assume that Kenyan mortality converges to the mortality of developed economies over a specified period and is based on research into the link of mortality and the development of economies.

Refer to section 3.3.1 Insurance risk sensitivities within the risk management section, regarding a table that summarises which assumptions are relevant to which reportable groups.

Withdrawal

The withdrawal assumptions are based on the most recent withdrawal investigation analysis of past experience adjusted for expected future changes if anticipated. The withdrawal investigations are performed at least once a year for all classes of business. The period of investigation extends over at least the latest prior three full years. Assumptions are set as the best estimate taking into account all relevant information. The withdrawal rates are analysed by product type and policy duration as rates vary considerably by these two factors. The surrender values assumed are as per the terms and conditions of the contract and any other applicable regulatory restrictions in place at the financial position date.

Discount rates and expense inflation

Cash flows are discounted using discount curves that reflect the time value of money, the characteristics of the cash flows and the liquidity characteristics of the insurance contracts. Under IFRS 17, the discount rates used depends on the nature of the cash flows.

For all business valued, best estimate discount rates are set at risk free rates consistent with the duration and nature of the cash flows. This is based on the applicable sovereign Government bond yields as per regulatory guidance. The illiquidity premium was assessed to be immaterial and hence the same discount rates have been applied across the portfolios.

For contracts with cash flows that vary with the underlying (e.g. unit-linked direct participating contracts), Liberty uses risk-free modelling, with the Government bond curve being used as the discount curve. These contracts are by nature typically highly liquid contracts from which policyholders can easily withdraw and hence no illiquidity premium is applicable when valuing them

For contracts with cash flows that vary with the underlying (e.g. unit-linked direct participating contracts), Liberty uses risk-free modelling, with the Government bond curve being used as the discount curve. These contracts are by nature typically highly liquid contracts from which policyholders can easily withdraw and hence no illiquidity premium is applicable when valuing them.

11. Insurance contract balances (continued)

11.2 Process used to decide on assumptions and changes in assumptions (continued)

The table below shows the rate used to discount cash flows at various terms.

	1 Year		5 Years		10 Years		20 Years	
%	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Contracts with cash flows that do not vary with the underlying reference asset portfolio	**9.21**	11.41	**11.32**	14.05	**10.08**	13.51	**16.17**	20.26

Cash flows for VFA measured contracts are discounted using the rate of return of the underlying assets.

The table below shows the inflation rates used at various terms for the projection of inflation linked cash flows, i.e. the difference between the market related nominal rate and the market related real rate. The inflation curve is constructed using the same principles as described above, for the discount rates, noting that certain liability portfolios are referenced to the bond curve.

	1 Year		5 Years		10 Years		20 Years	
%	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Inflation	**8.21**	8.40	**10.32**	11.05	**9.08**	10.51	**15.17**	17.26

These assumptions are used for the modelling of inflation linked cash flows, including expenses.

The expense inflation is determined by comparing the results of the internal bottom-up budgeting process to determine if any adjustment is needed to market implied inflation. Liberty is managing its budget in order that its costs per policy are increasing in line with the market inflation rate, therefore no adjustment to the above inflation rates is currently required.

The resultant inflation curve is then applied to the cost per policy assumptions to determine the expenses within the expected fulfilment cash flows.

11. Insurance contract balances (continued)

11.2 Process used to decide on assumptions and changes in assumptions (continued)

Risk adjustment for non-financial risk and confidence level

The risk adjustment for non-financial risk is the compensation the group requires for bearing the uncertainty about the amount and timing of the cash flows arising from insurance risk and other non-financial risks, such as lapse risk and expense risk. The risk adjustment and hence the confidence level to be used should be based on an insurer's internal view of risk.

In calculating the risk adjustment, the group mainly uses the Cost of Capital (CoC) approach. The CoC approach assesses the cost of holding capital that would be sufficient to cover all non-financial risks over the lifetime of the insurance contracts. It leverages off the risk margin approach in Risk-Based Supervision (RBS). Given the CoC approach does not rely on a pre-specified confidence level for its calculation, the implied confidence level is derived pragmatically by fitting a normal distribution over a one-year period based off the RBS 99.5% stress impact and solving for the confidence level that corresponds to the quantum of the risk adjustment (RA).

The risk adjustment confidence level for contracts measured under GMM and VFA, as well as some claims in-payment liabilities, has been derived at approximately 90%.

For short contract boundary-type business measured under PAA e.g. general insurance or lump sum life assurance contracts, a bootstrapping methodology is utilised which targets a confidence level of approximately 75% given that the uncertainty around non-financial risks is less than what would exist for more complex, longer-dated contracts.

Expense modelling interpretation for fulfilment cash flows (FCF)

Fulfilment cash flows applicable to GMM and VFA measured contracts comprise estimates of future cash flows, an adjustment to reflect the time value of money and a risk adjustment for non-financial risk. Estimates of future cash flows includes identifying all sets of cash flows within the contract boundary that are directly related to the fulfilment of a group of contracts. With regards to expenses, the following types of cash flows are assessed with regards to directly attributable expenses (DAE): acquisition costs (for example, commissions paid to advisors or intermediaries on entering in new contracts), claims handling costs, policy administration and maintenance costs, fixed and variable overheads, costs that the group incurs in providing an investment return service to investment related services, and any other costs specifically chargeable under the insurance contract. The group applies judgement to determine which expenses meet the definition of DAE and which acquisition costs are considered incremental to each portfolio. Expenses that cannot be directly attributed to a portfolio of insurance contracts, such as some product development and training costs, sales branch infrastructure costs, general sales conferences and sales executive team remuneration, are all expensed to profit or loss as incurred.

The group has adopted internal guidelines that it consistently applies to associated costs related to applicable portfolios.

The group runs a detailed cost centre activity ledger that breaks up various activities of the group and applies the allocation model based on the nature of the activity between activities supporting acquisition and those supporting fulfilment and other activities. For modelling purposes, a cost per policy proxy approach is used where the expense base is converted to a per policy loading, based on an analysis of the contracts being assessed as either complex, simple or basic. The group has adopted an overhead loading factor as a rational and systematic method of allocating directly attributable overheads to groups of contracts. This approach calculates a loading factor based on the ratio of GMM and VFA fulfilment costs to the total fulfilment costs of all policyholder contracts (IFRS 9 and IFRS 17). This ratio is then applied to the total qualifying overhead and indirect support costs to determine the overhead loading factor.

In terms of indirect costs, the group has, for example, excluded any costs related to brand and media, corporate finance activities, generic product development and strategy related costs from DAE.

Levies

The group deems levies minus expense, as determined under Insurance Regulatory Authority guidelines, as specifically chargeable to the policyholder and therefore includes it in the measurement of FCF. Assumptions as to the amount and timing of future Policyholder Insurance Compensation Fund (PHICF) and premium levy payments are based upon the applicable rates effective as at the reporting date and as set out in the Insurance Regulatory Authority guidelines

Correlations

The risk adjustment determined under the Value at Risk approach leverages off the capital risk margins and parameters. As part of this a Gaussian approach is used which requires correlation assumptions to determine the liabilities at a 90% confidence interval.

11. Insurance contract balances (continued)

11.2 Process used to decide on assumptions and changes in assumptions (continued)

Contribution increases

The take-up rate of voluntary premium increases is based on the most recent take-up investigations analysis of past experience adjusted for expected future changes if anticipated.

Changes in valuation assumptions

KShs m	Life insurance contracts measured under GMM	Life participating contracts measured under VFA	Total
2025			
Changes in present value of future cash flows that adjust the CSM	**50**	**53**	**103**

The primary changes in cash flow estimates arise from the strengthening of expense assumptions, recognizing an overall deterioration in the expense per policy experience, as well as a change on withdrawal and paid up rate experience across all portfolios in both the Life insurance under GMM and Life participating reportable groups.

KShs m	Life insurance contracts measured under GMM	Life participating contracts measured under VFA	Total
2024			
Changes in present value of future cash flows that adjust the CSM	(11)	92	81

Within life insurance contracts measured under GMM, mortality and longevity assumptions were changed to reflect age-based demographics. Life participating reportable groups have been impacted by downward shift in the yield curve and an increase in expense assumptions.

11. Insurance contract balances (continued)

11.3 Life insurance contracts measured under GMM

11.3.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC)

	Group				
	LRC				
KShs m	**Excluding loss component**	**Loss component**	**Total (LRC)**	**LIC**	**Total life insurance contracts measured under GMM**
2025					
Balance at the beginning of the year	**732**	**912**	**1 644**	**1**	**1 645**
Opening insurance contract liabilities	**732**	**912**	**1 644**	**1**	**1 645**
Insurance revenue	**(495)**	**–**	**(495)**	**–**	**(495)**
Insurance service expense	**161**	**113**	**274**	**230**	**504**
Incurred claims	**–**	**–**	**–**	**59**	**59**
Directly attributable expenses[1]	**–**	**–**	**–**	**171**	**171**
Losses on onerous contracts at initial recognition	**–**	**78**	**78**	**–**	**78**
Amortisation of loss component	**–**	**(77)**	**(77)**	**–**	**(77)**
Changes to loss component on subsequent measurement	**–**	**112**	**112**	**–**	**112**
Amortisation of insurance acquisition cash flows	**161**	**–**	**161**	**–**	**161**
Insurance service result	**(334)**	**113**	**(221)**	**230**	**9**
Net finance expense from insurance contracts issued	**523**	**4**	**527**	**–**	**527**
Total recognised in the statement of comprehensive income	**189**	**117**	**306**	**230**	**536**
Investment components	**(60)**	**–**	**(60)**	**60**	**–**
Cash flows	**672**	**–**	**672**	**(288)**	**384**
Premiums received	**946**	**–**	**946**	**–**	**946**
Claims paid	**–**	**–**	**–**	**(117)**	**(117)**
Directly attributable expenses[1]	**–**	**–**	**–**	**(171)**	**(171)**
Insurance acquisition expenses paid	**(274)**	**–**	**(274)**	**–**	**(274)**
Balance at the end of the year	**1 533**	**1 029**	**2 562**	**3**	**2 565**
Closing insurance contract liabilities	**1 533**	**1 029**	**2 562**	**3**	**2 565**

1 Directly attributable expenses reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.3 Life insurance contracts measured under GMM (continued)

11.3.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC) (continued)

	Group				
	LRC				
KShs m	**Excluding loss component**	**Loss component**	**Total (LRC)**	**LIC**	**Total life insurance contracts measured under GMM**
2024					
Balance at the beginning of the year	118	747	865	–	865
Opening insurance contract liabilities	118	747	865	–	865
Insurance revenue	(306)	–	(306)	–	(306)
Insurance service expense	179	133	312	198	510
Incurred claims	–	–	–	73	73
Directly attributable expenses[1]	–	–	–	125	125
Losses on onerous contracts at initial recognition	–	146	146	–	146
Amortisation of loss component	–	(111)	(111)	–	(111)
Changes to loss component on subsequent measurement	–	98	98	–	98
Amortisation of insurance acquisition cash flows	179	–	179	–	179
Insurance service result	(127)	133	6	198	204
Net finance expense from insurance contracts issued	312	32	344	–	344
Total recognised in the statement of comprehensive income	185	165	350	198	548
Investment components	(18)	–	(18)	18	–
Cash flows	447	–	447	(215)	232
Premiums received	798	–	798	–	798
Claims paid	–	–	–	(90)	(90)
Directly attributable expenses paid	–	–	–	(125)	(125)
Insurance acquisition expenses paid	(351)	–	(351)	–	(351)
Balance at the end of the year	732	912	1 644	1	1 645
Closing insurance contract liabilities	732	912	1 644	1	1 645

1 Directly attributable expenses reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.3 Life insurance contracts measured under GMM (continued)

11.3.2 Reconciliation of the measurement components of insurance contract balances

	Group			
KShs m	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**CSM**	**Total life insurance contracts measured under GMM**
2025				
Balance at the beginning of the year	**1 290**	**92**	**263**	**1 645**
Opening insurance contract liabilities	**1 290**	**92**	**263**	**1 645**
Changes that relate to current service	**(59)**	**(29)**	**(93)**	**(181)**
CSM recognised in profit or loss for services provided	**–**	**–**	**(93)**	**(93)**
Risk adjustment for risk expired (non-financial risk)	**–**	**(29)**	**–**	**(29)**
Experience adjustments	**(59)**	**–**	**–**	**(59)**
Changes that relate to future service	**(63)**	**42**	**211**	**190**
Changes in estimates that adjust the CSM	**50**	**(15)**	**(35)**	**–**
Changes to loss component on subsequent measurement	**102**	**10**	**–**	**112**
Contracts initially recognised in the period	**(215)**	**47**	**246**	**78**
Insurance service result	**(122)**	**13**	**118**	**9**
Net finance expense from insurance contracts issued	**468**	**31**	**28**	**527**
Total recognised in the statement of comprehensive income	**346**	**44**	**146**	**536**
Cash flows	**384**	**–**	**–**	**384**
Premiums received	**946**	**–**	**–**	**946**
Claims paid	**(117)**	**–**	**–**	**(117)**
Directly attributable expenses paid	**(171)**	**–**	**–**	**(171)**
Insurance acquisition expenses paid	**(274)**	**–**	**–**	**(274)**
Balance at the end of the year	**2 020**	**136**	**409**	**2 565**
Closing insurance contract liabilities	**2 020**	**136**	**409**	**2 565**

11. Insurance contract balances (continued)

11.3 Life insurance contracts measured under GMM (continued)

11.3.2 Reconciliation of the measurement components of insurance contract balances (continued)

	Group			
KShs m	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**CSM**	**Total life insurance contracts measured under GMM**
2024				
Balance at the beginning of the year	662	50	153	865
Opening insurance contract liabilities	662	50	153	865
Changes that relate to current service	29	(17)	(52)	(40)
CSM recognised in profit or loss for services provided	–	–	(52)	(52)
Risk adjustment for risk expired (non-financial risk)	–	(17)	–	(17)
Experience adjustments	29	–	–	29
Changes that relate to future service	56	44	144	244
Changes in estimates that adjust the CSM	(11)	1	10	–
Changes to loss component on subsequent measurement	95	3	–	98
Contracts initially recognised in the period	(28)	40	134	146
Insurance service result	85	27	92	204
Net finance expense from insurance contracts issued	311	15	18	344
Total recognised in the statement of comprehensive income	396	42	110	548
Cash flows	232	–	–	232
Premiums received	798	–	–	798
Claims paid	(90)	–	–	(90)
Directly attributable expenses paid	(125)	–	–	(125)
Insurance acquisition expenses paid	(351)	–	–	(351)
Balance at the end of the year	1 290	92	263	1 645
Closing insurance contract liabilities	1 290	92	263	1 645

11. Insurance contract balances (continued)

11.4 Life insurance contracts measured under PAA

11.4.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC)

	Group						
	LRC			LIC			
KShs m	Excluding loss component	Loss component	Total LRC	Present value of future cash flows	Risk adjustment for non-financial risk	Total LIC	Total life insurance contracts measured under PAA
2025							
Balance at the beginning of the year	609	5	614	567	29	596	1 210
Opening insurance contract liabilities	609	5	614	567	29	596	1 210
Insurance revenue	(1 840)	–	(1 840)	–	–	–	(1 840)
Insurance service expense	530	(3)	527	1 055	(1)	1 054	1 581
Incurred claims	–	–	–	1 041	(1)	1 040	1 040
Directly attributable expenses [1]	303	–	303	15	–	15	318
Changes that relate to past service – adjustments to the LIC	–	–	–	(1)	–	(1)	(1)
Losses on onerous contracts at initial recognition	–	1	1	–	–	–	1
Amortisation of loss component	–	(4)	(4)	–	–	–	(4)
Amortisation of insurance acquisition cash flows	227	–	227	–	–	–	227
Insurance service result	(1 310)	(3)	(1 313)	1 055	(1)	1 054	(259)
Net finance expense from insurance contracts issued	39	–	39	–	–	–	39
Total recognised in the statement of comprehensive income	(1 271)	(3)	(1 274)	1 055	(1)	1 054	(220)
Investment components	–	–	–	–	–	–	–
Cash flows	1 339	–	1 339	(1 003)	–	(1 003)	336
Premiums received	1 874	–	1 874	–	–	–	1 874
Claims paid	–	–	–	(988)	–	(988)	(988)
Directly attributable expenses paid	(303)	–	(303)	(15)	–	(15)	(318)
Insurance acquisition expenses paid	(232)	–	(232)	–	–	–	(232)
Balance at the end of the year	677	2	679	619	28	647	1 326
Closing insurance contract liabilities	677	2	679	619	28	647	1 326

1 Directly attributable expenses reported under the LRC represents the acquisition costs expensed for the period and reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.4 Life insurance contracts measured under PAA (continued)

11.4.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC) (continued)

	Group						
	LRC			LIC			
KShs m	Excluding loss component	Loss component	Total LRC	Present value of future cash flows	Risk adjustment for non-financial risk	Total LIC	Total life insurance contracts measured under PAA
2024							
Balance at the beginning of the year	545	4	549	622	38	660	1 209
Opening insurance contract liabilities	545	4	549	622	38	660	1 209
Insurance revenue	(1 652)	–	(1 652)	–	–	–	(1 652)
Insurance service expense	621	1	622	503	(9)	494	1 116
Incurred claims	–	–	–	491	(9)	482	482
Directly attributable expenses[1]	314	–	314	15	–	15	329
Changes that relate to past service – adjustments to the LIC	–	–	–	(3)	–	(3)	(3)
Losses on onerous contracts at initial recognition	–	3	3	–	–	–	3
Amortisation of loss component	–	(2)	(2)	–	–	–	(2)
Amortisation of insurance acquisition cash flows	307	–	307	–	–	–	307
Insurance service result	(1 031)	1	(1 030)	503	(9)	494	(536)
Net finance expense from insurance contracts issued	28	–	28			–	28
Total recognised in the statement of comprehensive income	(1 003)	1	(1 002)	503	(9)	494	(508)
Cash flows	1 067	–	1 067	(558)	–	(558)	509
Premiums received	1 694	–	1 694	–	–	–	1 694
Claims paid	–	–	–	(543)	–	(543)	(543)
Directly attributable expenses paid	(314)	–	(314)	(15)	–	(15)	(329)
Insurance acquisition expenses paid	(313)	–	(313)	–	–	–	(313)
Balance at the end of the year	609	5	614	567	29	596	1 210
Closing insurance contract liabilities	609	5	614	567	29	596	1 210

1 Directly attributable expenses reported under the LRC represents the acquisition costs expensed for the period and reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.5 Life participating contracts measured under VFA

11.5.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC)

	Group				
	LRC				
KShs m	Excluding loss component	Loss component	Total LRC	LIC	Total life participating contracts measured under VFA
2025					
Balance at the beginning of the year	**9 540**	**338**	**9 878**	**219**	**10 097**
Opening insurance contract liabilities	**9 540**	**338**	**9 878**	**219**	**10 097**
Insurance revenue	**(898)**	**–**	**(898)**	**–**	**(898)**
Insurance service expense	**128**	**80**	**208**	**765**	**973**
Incurred claims	**–**	**–**	**–**	**495**	**495**
Directly attributable expenses [1]	**–**	**–**	**–**	**270**	**270**
Losses on onerous contracts at initial recognition	**–**	**89**	**89**	**–**	**89**
Amortisation of loss component	**–**	**(90)**	**(90)**	**–**	**(90)**
Changes to loss component on subsequent measurement	**–**	**81**	**81**	**–**	**81**
Amortisation of insurance acquisition cash flows	**128**	**–**	**128**	**–**	**128**
Insurance service result	**(770)**	**80**	**(690)**	**765**	**75**
Net finance expense from insurance contracts issued	**1 691**	**16**	**1 707**	**–**	**1 707**
Total recognised in the statement of comprehensive income	**921**	**96**	**1 017**	**765**	**1 782**
Investment components	**(2 014)**	**–**	**(2 014)**	**2 014**	**–**
Cash flows	**1 662**	**–**	**1 662**	**(2 825)**	**(1 163)**
Premiums received	**1 817**	**–**	**1 817**	**–**	**1 817**
Claims paid	**–**	**–**	**–**	**(2 555)**	**(2 555)**
Directly attributable expenses paid	**–**	**–**	**–**	**(270)**	**(270)**
Insurance acquisition expenses paid	**(155)**	**–**	**(155)**	**–**	**(155)**
Balance at the end of the year	**10 109**	**434**	**10 543**	**173**	**10 716**
Closing insurance contract liabilities	**10 109**	**434**	**10 543**	**173**	**10 716**

1 Directly attributable expenses reported under the LIC includes claims handling, policyholder service and policy administration costs

11. Insurance contract balances (continued)

11.5 Life participating contracts measured under VFA (continued)

11.5.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC) (continued)

	Group				
	LRC				
KShs m	Excluding loss component	Loss component	Total LRC	LIC	Total life participating contracts measured under VFA
2024					
Balance at the beginning of the year	8 109	346	8 455	425	8 880
Opening insurance contract liabilities	8 109	346	8 455	425	8 880
Insurance revenue	(799)	–	(799)	–	(799)
Insurance service expense	66	(17)	49	694	743
Incurred claims	–	–	–	456	456
Directly attributable expenses [1]	–	–	–	238	238
Losses on onerous contracts at initial recognition	–	6	6	–	6
Amortisation of loss component	–	(58)	(58)	–	(58)
Changes to loss component on subsequent measurement	–	35	35	–	35
Amortisation of insurance acquisition cash flows	66	–	66	–	66
Insurance service result	(733)	(17)	(750)	694	(56)
Net finance expense from insurance contracts issued	2 217	9	2 226	–	2 226
Total recognised in the statement of comprehensive income	1 484	(8)	1 476	694	2 170
Investment components	(1 844)	–	(1 844)	1 844	–
Cash flows	1 791	–	1 791	(2 744)	(953)
Premiums received	1 901	–	1 901	–	1 901
Claims paid	–	–	–	(2 506)	(2 506)
Directly attributable expenses paid	–	–	–	(238)	(238)
Insurance acquisition expenses paid	(110)	–	(110)	–	(110)
Balance at the end of the year	9 540	338	9 878	219	10 097
Closing insurance contract liabilities	9 540	338	9 878	219	10 097

1 Directly attributable expenses reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.5 Life participating contracts measured under VFA (continued)

11.5.2 Reconciliation of the measurement components of insurance contract balances

	Group			
KShs m	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**CSM**	**Total life participating contracts measured under VFA**
2025				
Balance at the beginning of the year	**9 534**	**81**	**482**	**10 097**
Opening insurance contract liabilities	**9 534**	**81**	**482**	**10 097**
Changes that relate to current service	**50**	**(18)**	**(127)**	**(95)**
CSM recognised in profit or loss for services provided	**–**	**–**	**(127)**	**(127)**
Risk adjustment for risk expired (non-financial risk)	**–**	**(18)**	**–**	**(18)**
Experience adjustments	**50**	**–**	**–**	**50**
Changes that relate to future service	**158**	**28**	**(16)**	**170**
Changes in estimates that adjust the CSM	**53**	**3**	**(56)**	**–**
Other changes in estimates that do not adjust the CSM	**–**	**–**	**–**	**–**
Changes to loss component on subsequent measurement	**62**	**19**	**–**	**81**
Contracts initially recognised in the period	**43**	**6**	**40**	**89**
Changes that relate to past service				
Adjustments to liability for incurred claims	**–**	**–**	**–**	**–**
Insurance service result	**208**	**10**	**(143)**	**75**
Net finance expense from insurance contracts issued	**1 586**	**8**	**113**	**1 707**
Total recognised in the statement of comprehensive income	**1 794**	**18**	**(30)**	**1 782**
Cash flows	**(1 163)**	**–**	**–**	**(1 163)**
Premiums received	**1 817**	**–**	**–**	**1 817**
Claims paid	**(2 555)**	**–**	**–**	**(2 555)**
Directly attributable expenses paid	**(270)**	**–**	**–**	**(270)**
Insurance acquisition expenses paid	**(155)**	**–**	**–**	**(155)**
Balance at the end of the year	**10 165**	**99**	**452**	**10 716**
Closing insurance contract liabilities	**10 165**	**99**	**452**	**10 716**

11. Insurance contract balances (continued)

11.5 Life participating contracts measured under VFA (continued)

11.5.2 Reconciliation of the measurement components of insurance contract balances (continued)

	Group			
KShs m	Present value of future cash flows	Risk adjustment for non-financial risk	CSM	Total life participating contracts measured under VFA
2024				
Balance at the beginning of the year	8 217	74	589	8 880
Opening insurance contract liabilities	8 217	74	589	8 880
Changes that relate to current service	29	(9)	(117)	(97)
CSM recognised in profit or loss for services provided	–	–	(117)	(117)
Risk adjustment for risk expired (non-financial risk)	–	(9)	–	(9)
Experience adjustments	29	–	–	29
Changes that relate to future service	115	6	(80)	41
Changes in estimates that adjust the CSM	92	4	(96)	–
Changes to loss component on subsequent measurement	49	–	(14)	35
Contracts initially recognised in the period	(26)	2	30	6
Changes that relate to past service				
Adjustments to liability for incurred claims	–	–	–	–
Insurance service result	144	(3)	(197)	(56)
Net finance expense from insurance contracts issued	2 126	10	90	2 226
Total recognised in the statement of comprehensive income	2 270	7	(107)	2 170
Cash flows	(953)	–	–	(953)
Premiums received	1 901	–	–	1 901
Claims paid	(2 506)	–	–	(2 506)
Directly attributable expenses paid	(238)	–	–	(238)
Insurance acquisition expenses paid	(110)	–	–	(110)
Balance at the end of the year	9 534	81	482	10 097
Closing insurance contract liabilities	9 534	81	482	10 097

11. Insurance contract balances (continued)

11.5 Life participating contracts measured under VFA (continued)

11.5.3 Composition of underlying items (at fair value) that reference to participating contracts

Policyholder contracts that have been recognised as participating contracts (measured under the variable fee approach) and that are designated as one reportable group, have a significant investment component. This investment component is recorded as a "unit value", being the contractual share of the fair value of referenced asset portfolios in the contract's terms at the date of reporting.

These asset portfolios (reference portfolios) are representative of the obligation under the policy but do not necessarily represent the physical asset held by Liberty. As described in the market risk section of the risk management section of this report, an asset liability matching capability undertakes activities to determine the optimal physical asset holdings, with consideration of contractual obligations, liquidity and market risks as well as required regulatory capital. The reference portfolios are made up of (as relevant):

- listed equities (quoted prices),
- cash and debt instruments that can be reliably measured at fair value,
- properties that are fair valued regularly.

The reference portfolios are updated daily to calculate the fair value of each asset portfolio and are the basis of determining any investment transaction value under the policy. The table below reflects the "look through" approach to the aggregated unit fair values of the participating contracts reportable group at the respective reporting dates. In other words, they reflect the characteristic of the underlying investments that is determining the investment return to the policyholders.

	Group	
KShs m	**2025**	**2024**
Equity	**2 023**	1 250
Debt	**5 538**	5 816
Cash	**1 175**	976
Properties	**682**	644
Total underlying items that make up the non-distinct investment component	**9 418**	8 686
Total present value of future cash flows	**10 165**	9 534
Adjusted for future cash flows that are not included in the non-distinct investment component	**(747)**	(848)

11. Insurance contract balances (continued)

11.6 General insurance non-medical measured under PAA

11.6.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC)

	Group						
	(LRC)			(LIC)			Total general insurance non-medical measured under PAA
KShs m	Excluding loss component	Loss component	Total LRC	Present value of future cash flows	Risk adjustment for non-financial risk	Total LIC	
2025							
Balance at the beginning of the year	**1 425**	**19**	**1 444**	**3 427**	**61**	**3 488**	**4 932**
Opening insurance contract liabilities	**1 425**	**19**	**1 444**	**3 427**	**61**	**3 488**	**4 932**
Insurance revenue	**(5 034)**	**–**	**(5 034)**	**–**	**–**	**–**	**(5 034)**
Insurance service expense	**1 131**	**3**	**1 134**	**2 463**	**12**	**2 475**	**3 609**
Incurred claims	**–**	**–**	**–**	**2 097**	**12**	**2 109**	**2 109**
Directly attributable expenses [1]	**451**	**–**	**451**	**650**	**–**	**650**	**1 101**
Changes that relate to past service – adjustments to the LIC	**–**	**–**	**–**	**(284)**	**–**	**(284)**	**(284)**
Losses on onerous contracts at initial recognition	**–**	**22**	**22**	**–**	**–**	**–**	**22**
Amortisation of loss component	**–**	**(19)**	**(19)**	**–**	**–**	**–**	**(19)**
Amortisation of insurance acquisition cash flows	**680**	**–**	**680**	**–**	**–**	**–**	**680**
Insurance service result	**(3 903)**	**3**	**(3 900)**	**2 463**	**12**	**2 475**	**(1 425)**
Net finance (income)/expense from insurance contracts issued	**(5)**	**–**	**(5)**	**151**	**–**	**151**	**146**
Total recognised in the statement of comprehensive income	**(3 908)**	**3**	**(3 905)**	**2 614**	**12**	**2 626**	**(1 279)**
Cash flows	**3 889**	**–**	**3 889**	**(2 479)**	**–**	**(2 479)**	**1 410**
Premiums received	**5 033**	**–**	**5 033**	**–**	**–**	**–**	**5 033**
Claims paid	**–**	**–**	**–**	**(1 829)**	**–**	**(1 829)**	**(1 829)**
Directly attributable expenses paid	**(451)**	**–**	**(451)**	**(650)**	**–**	**(650)**	**(1 101)**
Insurance acquisition expenses paid	**(693)**	**–**	**(693)**	**–**	**–**	**–**	**(693)**
Balance at the end of the year	**1 406**	**22**	**1 428**	**3 562**	**73**	**3 635**	**5 063**
Closing insurance contract liabilities	1 406	22	1 428	3 562	73	3 635	5 063

1 Directly attributable expenses reported under the LRC represents the acquisition costs expensed for the period and reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.6 General insurance non-medical measured under PAA (continued)

11.6.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC) (continued)

	Group						
	(LRC)			(LIC)			
KShs m	Excluding loss component	Loss component	Total LRC	Present value of future cash flows	Risk adjustment for non-financial risk	Total LIC	Total general insurance non-medical measured under PAA
2024							
Balance at the beginning of the year	2 332	82	2 414	6 563	195	6 758	9 172
Opening insurance contract liabilities	2 332	82	2 414	6 563	195	6 758	9 172
Insurance revenue	(4 932)	–	(4 932)	–	–	–	(4 932)
Insurance service expense	1 128	(29)	1 099	2 329	6	2 335	3 434
Incurred claims	–	–	–	2 098	6	2 104	2 104
Directly attributable expenses [1]	478	–	478	585	–	585	1 063
Changes that relate to past service – adjustments to the LIC	–	–	–	(354)	–	(354)	(354)
Losses on onerous contracts at initial recognition	–	17	17	–	–	–	17
Amortisation of loss component	–	(46)	(46)	–	–	–	(46)
Amortisation of insurance acquisition cash flows	650	–	650	–	–	–	650
Insurance service result	(3 804)	(29)	(3 833)	2 329	6	2 335	(1 498)
Net finance expense from insurance contracts issued	2	–	2	201	–	201	203
Total recognised in the statement of comprehensive income	(3 802)	(29)	(3 831)	2 530	6	2 536	(1 295)
Recognised in the statement of comprehensive income attributable to discontinued operations	(2 208)	12	(2 196)	701	(17)	684	(1 512)
Cash flows	5 817	–	5 817	(2 690)	–	(2 690)	3 127
Claims paid	–	–	–	(2 105)	–	(2 105)	(2 105)
Directly attributable expenses paid	(478)	–	(478)	(585)	–	(585)	(1 063)
Insurance acquisition expenses paid	(873)	–	(873)	–	–	–	(873)
Foreign currency translation	(119)		(119)	(394)	(17)	(411)	(530)
Reclassified to liabilities in relation to assets held for sale	(595)	(46)	(641)	(3 283)	(106)	(3 389)	(4 030)
Balance at the end of the year	1 425	19	1 444	3 427	61	3 488	4 932
Closing insurance contract liabilities	1 425	19	1 444	3 427	61	3 488	4 932

11. Insurance contract balances (continued)

11.7 General insurance medical measured under PAA

11.7.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC)

	Group						
	(LRC)			(LIC)			
KShs m	Excluding loss component	Loss component	Total LRC	Present value of future cash flows	Risk adjustment for non-financial risk	Total LIC	Total general insurance medical measured under PAA
2025							
Balance at the beginning of the year	652	–	652	387	14	401	1 053
Opening insurance contract liabilities	652	–	652	387	14	401	1 053
Insurance revenue	(3 616)	–	(3 616)	–	–	–	(3 616)
Insurance service expense	495	–	495	2 988	3	2 991	3 486
Incurred claims	–	–	–	2 771	3	2 774	2 774
Directly attributable expenses [1]	187	–	187	269	–	269	456
Changes that relate to past service – adjustments to the LIC	–	–	–	(52)	–	(52)	(52)
Amortisation of insurance acquisition cash flows	308	–	308	–	–	–	308
Insurance service result	(3 121)	–	(3 121)	2 988	3	2 991	(130)
Net finance expense from insurance contracts issued	–	–	–	4	–	4	4
Total recognised in the statement of comprehensive income	(3 121)	–	(3 121)	2 992	3	2 995	(126)
Cash flows	3 129	–	3 129	(2 934)	–	(2 934)	195
Premiums received	3 615	–	3 615	–	–	–	3 615
Claims paid	–	–	–	(2 665)	–	(2 665)	(2 665)
Directly attributable expenses paid	(187)	–	(187)	(269)	–	(269)	(456)
Insurance acquisition expenses paid	(299)	–	(299)	–	–	–	(299)
Balance at the end of the year	660	–	660	445	17	462	1 122
Closing insurance contract liabilities	660	–	660	445	17	462	1 122

1 Directly attributable expenses reported under the LRC represents the acquisition costs expensed for the period and reported under the LIC includes claims handling, policyholder service and policy administration costs.

11. Insurance contract balances (continued)

11.7 General insurance medical measured under PAA

11.7.1 Reconciliation of the Liability for remaining coverage (LRC) and the Liability for incurred claims (LIC) (continued)

	Group						
	(LRC)			(LIC)			
KShs m	Excluding loss component	Loss component	Total LRC	Present value of future cash flows	Risk adjustment for non-financial risk	Total LIC	Total general insurance medical measured under PAA
2024							
Balance at the beginning of the year	694	–	694	353	10	363	1 057
Opening insurance contract liabilities	694	–	694	353	10	363	1 057
Insurance revenue	(3 261)	–	(3 261)	–	–	–	(3 261)
Insurance service expense	416	–	416	2 305	4	2 309	2 725
Incurred claims	–	–	–	2 113	4	2 117	2 117
Directly attributable expenses [1]	156	–	156	192	–	192	348
Amortisation of insurance acquisition cash flows	260	–	260	–	–	–	260
Insurance service result	(2 845)	–	(2 845)	2 305	4	2 309	(536)
Net finance expense from insurance contracts issued	–	–	–	5	–	5	5
Total recognised in the statement of comprehensive income	(2 845)	–	(2 845)	2 310	4	2 314	(531)
Cash flows	2 829	–	2 829	(2 270)	–	(2 270)	559
Premiums received	3 253	–	3 253	–	–	–	3 253
Claims paid	–	–	–	(2 078)	–	(2 078)	(2 078)
Directly attributable expenses paid	(156)	–	(156)	(192)	–	(192)	(348)
Insurance acquisition expenses paid	(268)	–	(268)	–	–	–	(268)
Reclassified to liabilities in relation to assets held for sale	(26)		(26)	(6)		(6)	(32)
Balance at the end of the year	652	–	652	387	14	401	1 053
Closing insurance contract liabilities	652	–	652	387	14	401	1 053

11. Insurance contract balances (continued)

11.8 General insurance contracts claims development table

Gross claims development

KShs m	2020	2021	2022	2023	2024	2025	Total
2025							
Estimates of ultimate claims costs (gross of reinsurance, undiscounted)							
At the end of the accident year	2 683	2 982	3 568	3 877	4 423	4 921	22 454
1 year later	(133)	(19)	(245)	(286)	(150)		(833)
2 years later	19	(27)	(61)	(34)			(103)
3 years later	(27)	(23)	77				27
4 years later	(21)	30					9
5 years later	9						9
Cumulative gross claims and other directly attributable expenses paid	2 530	2 943	3 339	3 557	4 273	4 921	21 563
Cumulative payments to date	(2 420)	(2 713)	(2 949)	(3 091)	(3 554)	(3 149)	(17 876)
Gross cumulative liabilities	110	230	390	466	719	1 772	3 687
Outstanding cumulative claims liabilities - prior accident years							557
Effect of discounting							(322)
Effect of the risk adjustment margin for non-financial risk							175
LIC for contracts originated	**110**	**230**	**390**	**466**	**719**	**1 772**	**4 097**

11. Insurance contract balances (continued)

11.8 General insurance contracts claims development table (continued)

Net claims development (net of reinsurance)

KShs m	2020	2021	2022	2023	2024	2025	Total
2025							
Estimates of ultimate claims costs (net of reinsurance, undiscounted)							
At the end of the accident year	1 901	2 156	2 257	2 529	2 799	3 952	15 594
1 year later	(241)	(158)	(88)	(161)	31		(617)
2 years later	(3)	(36)	(46)	35			(50)
3 years later	(47)	(22)	97				28
4 years later	(18)	48					30
5 years later	5						5
Cumulative gross claims and other directly attributable expenses paid	1 597	1 988	2 220	2 403	2 830	3 952	14 990
Cumulative payments to date	(1 339)	(1 780)	(1 871)	(2 026)	(2 348)	(2 724)	(12 088)
Net cumulative liabilities	258	208	349	377	482	1 228	2 902
Outstanding cumulative claims liabilities - prior accident years							401
Effect of discounting							(266)
Effect of the risk adjustment margin for non-financial risk							160
LIC for contracts originated	**258**	**208**	**349**	**377**	**482**	**1 228**	**3 197**

11. Insurance contract balances (continued)

11.9 Expected recognition of the CSM excluding contracts that are measured under PAA

The CSM expected future recognition in profit or loss includes the interest accreted on the carrying amount of the CSM over time and the amount recognised as insurance revenue linked to the modelled transfer of services (based on the referenced coverage units) in the respective periods.

	Group		
KShs m	**Life insurance contracts measured under GMM**	**Life participating contracts measured under VFA**	**Total**
2025			
Within 1 year	**46**	**119**	**165**
1 – 2 years	**47**	**101**	**148**
2 – 3 years	**48**	**87**	**135**
3 – 4 years	**49**	**72**	**121**
4 – 5 years	**50**	**57**	**107**
5 - 10 years	**241**	**140**	**381**
Effect of interest accreted on the CSM for 0 to 10 years	**(176)**	**(162)**	**(338)**
CSM recognised in profit and loss within 10 years	**305**	**414**	**719**
Combined CSM and interest accreted on CSM beyond 10 years	**104**	**38**	**142**
Total	**409**	**452**	**861**
2024			
Within 1 year	41	241	282
1 – 2 years	87	61	148
2 – 3 years	60	51	111
3 – 4 years	95	43	138
4 – 5 years	29	31	60
5 - 10 years	52	38	90
Effect of interest accreted on the CSM for 0 to 10 years	(173)	–	(173)
CSM recognised in profit and loss within 10 years	191	465	656
Combined CSM and interest accreted on CSM beyond 10 years	72	17	89
Total	263	482	745

11. Insurance contract balances (continued)

11.10 Impact of contracts recognised during the year

The following table summarises the effect on the measurement components of insurance contracts arising from the initial recognition of contracts, not measured under the PAA, that were initially recognised during the year:

	Group								
	Life insurance contracts measured under GMM			Life participating contracts measured under VFA			Total		
KShs m	Profitable contracts originated	Onerous contracts originated	Total life insurance contracts measured under GMM	Profitable contracts originated	Onerous contracts originated	Total life participating contracts measured under VFA	Profitable contracts originated	Onerous contracts originated	Total
2025									
Estimates of the present value of future cash outflows	**485**	**309**	**794**	**45**	**140**	**185**	**530**	**449**	**979**
Insurance acquisition expenses	**99**	**106**	**205**	**27**	**78**	**105**	**126**	**184**	**310**
Claims and directly attributable expenses	**386**	**203**	**589**	**18**	**62**	**80**	**404**	**265**	**669**
Estimates of the present value of future cash inflows	**(761)**	**(248)**	**(1 009)**	**(86)**	**(56)**	**(142)**	**(847)**	**(304)**	**(1 151)**
Risk adjustments for non-financial risk	**30**	**17**	**47**	**1**	**5**	**6**	**31**	**22**	**53**
CSM	**246**	**–**	**246**	**40**	**–**	**40**	**286**	**–**	**286**
Losses recognised on initial recognition	**–**	**78**	**78**	**–**	**89**	**89**	**–**	**167**	**167**
2024									
Estimates of the present value of future cash outflows	419	411	830	102	104	206	521	515	1 036
Insurance acquisition expenses	183	280	463	16	35	51	199	315	514
Claims and directly attributable expenses	236	131	367	86	69	155	322	200	522
Estimates of the present value of future cash inflows	(569)	(289)	(858)	(134)	(98)	(232)	(703)	(387)	(1 090)
Risk adjustments for non-financial risk	16	24	40	2	–	2	18	24	42
CSM	134	–	134	30	–	30	164	–	164
Losses recognised on initial recognition	–	146	146	–	6	6	–	152	152

11. Insurance contract balances (continued)

11.11 Insurance revenue and CSM by transition method excluding contracts that are measured under PAA

	Life insurance contracts measured under GMM			Life participating contracts measured under VFA			Total Group		
KShs m	Full retrospective at transition and subsequent measurement	Fair value approach	Total GMM	Full retrospective at transition and subsequent measurement	Fair value approach	Total Life participating contracts measured under VFA	Full retrospective at transition and subsequent measurement	Fair value approach	Total
2025									
Insurance revenue	**450**	**45**	**495**	**274**	**624**	**898**	**724**	**669**	**1 393**
Balance at the beginning of the year	**176**	**87**	**263**	**285**	**197**	**482**	**461**	**284**	**745**
Changes that relate to current service									
CSM recognised in profit or loss for services provided	**(84)**	**(8)**	**(92)**	**(39)**	**(89)**	**(128)**	**(123)**	**(97)**	**(220)**
Changes that relate to future service	**216**	**(6)**	**210**	**32**	**(48)**	**(16)**	**248**	**(54)**	**194**
Changes in estimates that adjust the CSM	**(30)**	**(6)**	**(36)**	**(8)**	**(48)**	**(56)**	**(38)**	**(54)**	**(92)**
Contracts initially recognised in the period	**246**	**–**	**246**	**40**	**–**	**40**	**286**	**–**	**286**
Net finance expenses from insurance contracts issued	**19**	**9**	**28**	**100**	**14**	**114**	**119**	**23**	**142**
CSM balance at the end of the year	**327**	**82**	**409**	**378**	**74**	**452**	**705**	**156**	**861**

11. Insurance contract balances (continued)

11.11 Insurance revenue and CSM by transition method excluding contracts that are measured under PAA (continued)

	Life insurance contracts measured under GMM			Life participating contracts measured under VFA			Total Group		
KShs m	**Full retrospective at transition and subsequent measurement**	**Fair value approach**	**Total GMM**	**Full retrospective at transition and subsequent measurement**	**Fair value approach**	**Total Life participating contracts measured under VFA**	**Full retrospective at transition and subsequent measurement**	**Fair value approach**	**Total**
2024									
Insurance revenue	225	81	306	434	365	799	659	446	1 105
Balance at the beginning of the year	76	77	153	275	314	589	351	391	742
Changes that relate to current service									
CSM recognised in profit or loss for services provided	(38)	(14)	(52)	(63)	(54)	(117)	(101)	(68)	(169)
Changes that relate to future service	130	14	144	13	(93)	(80)	143	(79)	64
Changes in estimates that adjust the CSM	(4)	14	10	(3)	(93)	(96)	(7)	(79)	(86)
Changes to loss component on subsequent measurement	–	–	–	(14)	–	(14)	(14)	–	(14)
Contracts initially recognised in the period	134	–	134	30	–	30	164	–	164
Net finance expenses from insurance contracts issued	8	10	18	60	30	90	68	40	108
CSM balance at the end of the year	176	87	263	285	197	482	461	284	745

12. Reinsurance contract balances

12.1 Summary

	Group	
KShs m	**2025**	**2024**
Reinsurance contract assets	**1 424**	1 884
Reinsurance contract liabilities	**–**	–
Net reinsurance contract assets	**1 424**	1 884
Current	**1 273**	1 812
Non-current	**151**	72

	Group				
KShs m	**Reinsurance life insurance contracts measured under GMM (refer note 12.2.1)**	**Reinsurance life insurance contracts measured under PAA(refer note 12.2.2)**	**Reinsurance general insurance non-medical measured under PAA (refer note 12.2.3)**	**Reinsurance general insurance medical measured under PAA (refer note 12.2.4)**	**Total**
2025					
Reinsurance contract assets	**85**	**154**	**1 064**	**121**	**1 424**
Net reinsurance contract assets/(liabilities)	**85**	**154**	**1 064**	**121**	**1 424**
Asset for remaining coverage (ARC)	**85**	**41**	**279**	**6**	**411**
Asset recoverable on incurred claims (ARIC)	**–**	**113**	**785**	**115**	**1 013**
2024					
Reinsurance contract assets	48	197	1 218	421	1 884
Reinsurance contract assets	48	197	1 218	421	1 884
Asset for remaining coverage (ARC)	48	59	324	224	655
Asset recoverable on incurred claims (ARIC)	–	138	894	197	1 229

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC)

12.2.1 Reinsurance life insurance contracts measured under GMM

	Group				
	ARC				
KShs m	**Excluding loss recovery component**	**Loss recovery component**	**Total ARC**	**ARIC**	**Total Life risk measured under GMM**
2025					
Balance at the beginning of the year	**34**	**14**	**48**	**–**	**48**
Opening reinsurance contract assets	**34**	**14**	**48**	**–**	**48**
Reinsurance expenses	**(15)**	**–**	**(15)**	**–**	**(15)**
Income on initial recognition of onerous underlying contracts	**–**	**3**	**3**	**–**	**3**
Changes to loss recovery component on subsequent measurement of onerous underlying contracts	**–**	**4**	**4**	**–**	**4**
Amortisation of loss recovery component	**–**	**(3)**	**(3)**	**–**	**(3)**
Net (expense)/income from reinsurance contracts issued	**(15)**	**4**	**(11)**	**–**	**(11)**
Net finance income from reinsurance contracts issued	**20**	**1**	**21**	**–**	**21**
Total recognised in the statement of comprehensive income	**5**	**5**	**10**	**–**	**10**
Cash flows	**27**	**–**	**27**	**–**	**27**
Premiums paid net of ceding commissions	**27**	**–**	**27**	**–**	**27**
Balance at the end of the year	**66**	**19**	**85**	**–**	**85**
Closing reinsurance contract assets	**66**	**19**	**85**	**–**	**85**

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC)

12.2.1 Reinsurance life insurance contracts measured under GMM

	Group				
	ARC				
KShs m	Excluding loss recovery component	Loss recovery component	Total ARC	ARIC	Total Life risk measured under GMM
2024					
Balance at the beginning of the year					
Opening reinsurance contract assets	6	11	17	–	17
Reinsurance expenses	(3)	–	(3)	–	(3)
Income on initial recognition of onerous underlying contracts	–	6	6	–	6
Changes to loss recovery component on subsequent measurement of onerous underlying contracts	–	(1)	(1)	–	(1)
Amortisation of loss recovery component	–	(3)	(3)	–	(3)
Net (expense)/income from reinsurance contracts issued	(3)	2	(1)	–	(1)
Net finance income from reinsurance contracts issued	10	1	11	–	11
Total recognised in the statement of comprehensive income	7	3	10	–	10
Cash flows	21	–	21	–	21
Premiums paid net of ceding commissions	21	–	21	–	21
Balance at the end of the year	34	14	48	–	48
Closing reinsurance contract assets	34	14	48	–	48

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC)

12.2.2 Reinsurance life insurance contracts measured under PAA

	Group						
	ARC			ARIC			
KShs m	Excluding loss recovery component	Loss recovery component	Total ARC	Present value of future cash flows	Risk adjustment for non-financial risk	Total ARIC	Total Life reinsurance contracts measured under PAA
2025							
Balance at the beginning of the year	**59**	**–**	**59**	**131**	**7**	**138**	**197**
Opening reinsurance contract assets	**59**	**–**	**59**	**131**	**7**	**138**	**197**
Reinsurance expenses	**(227)**	**–**	**(227)**	**–**	**–**	**–**	**(227)**
Claims recovered	**–**	**–**	**–**	**147**	**–**	**147**	**147**
Changes that relate to past service - adjustments to ARIC	**–**	**–**	**–**	**(7)**	**(1)**	**(8)**	**(8)**
Net (expense)/income from reinsurance contracts issued	**(227)**	**–**	**(227)**	**140**	**(1)**	**139**	**(88)**
Total recognised in the statement of comprehensive income	**(227)**	**–**	**(227)**	**140**	**(1)**	**139**	**(88)**
Cash flows	**209**	**–**	**209**	**(164)**	**–**	**(164)**	**45**
Premiums paid net of ceding commissions	**209**	**–**	**209**	**–**	**–**	**–**	**209**
Claims recovered	**–**	**–**	**–**	**(164)**	**–**	**(164)**	**(164)**
Balance at the end of the year	**41**	**–**	**41**	**107**	**6**	**113**	**154**
Closing reinsurance contract assets	**41**	**–**	**41**	**107**	**6**	**113**	**154**

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC)

12.2.2 Reinsurance life insurance contracts measured under PAA

	Group						
	ARC			ARIC			
KShs m	Excluding loss recovery component	Loss recovery component	Total ARC	Present value of future cash flows	Risk adjustment for non-financial risk	Total ARIC	Total Life reinsurance contracts measured under PAA
2024							
Balance at the beginning of the year	53		53	305	8	313	366
Opening reinsurance contract assets	53		53	305	8	313	366
Reinsurance expenses	(179)	–	(179)	–	–	–	(179)
Claims recovered	–	–	–	90	–	90	90
Changes that relate to past service - adjustments to ARIC	–	–	–	(4)	(1)	(5)	(5)
Net (expense)/income from reinsurance contracts issued	(179)	–	(179)	86	(1)	85	(94)
Total recognised in the statement of comprehensive income	(179)	–	(179)	86	(1)	85	(94)
Cash flows	185	–	185	(260)	–	(260)	(75)
Premiums paid net of ceding commissions	185	–	185	–	–	–	185
Claims recovered	–	–	–	(260)	–	(260)	(260)
Balance at the end of the year	**59**	**–**	**59**	**131**	**7**	**138**	**197**
Closing reinsurance contract assets	59	–	59	131	7	138	197

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC)

12.2.3 Reinsurance general insurance non-medical measured under PAA

	Group						
	ARC			ARIC			
KShs m	Excluding loss recovery component	Loss recovery component	Total ARC	Present value of future cash flows	Risk adjustment for non-financial risk	Total ARIC	Total general non-medical insurance contracts measured under PAA
2025							
Balance at the beginning of the year	**315**	**9**	**324**	**886**	**8**	**894**	**1 218**
Reinsurance contract assets	**315**	**9**	**324**	**886**	**8**	**894**	**1 218**
Reinsurance expenses	**(1 297)**	**–**	**(1 297)**	**–**	**–**	**–**	**(1 297)**
Claims recovered	**–**	**–**	**–**	**344**	**5**	**349**	**349**
Changes that relate to past service - adjustments to ARIC	**–**	**–**	**–**	**(149)**	**–**	**(149)**	**(149)**
Income on initial recognition of onerous underlying contracts	**–**	**7**	**7**	**–**	**–**	**–**	**7**
Amortisation of loss recovery component	**–**	**(9)**	**(9)**	**–**	**–**	**–**	**(9)**
Net (expense)/income from reinsurance contracts issued	**(1 297)**	**(2)**	**(1 299)**	**195**	**5**	**200**	**(1 099)**
Net finance (expense)/income from insurance contracts issued	**(1)**	**–**	**(1)**	**33**	**–**	**33**	**32**
Total recognised in the statement of comprehensive income	**(1 298)**	**(2)**	**(1 300)**	**228**	**5**	**233**	**(1 067)**
Cash flows	**1 255**	**–**	**1 255**	**(342)**	**–**	**(342)**	**913**
Premiums paid net of ceding commissions	**1 255**	**–**	**1 255**	**–**	**–**	**–**	**1 255**
Claims recovered	**–**	**–**	**–**	**(342)**	**–**	**(342)**	**(342)**
Balance at the end of the year	**272**	**7**	**279**	**772**	**13**	**785**	**1 064**
Closing reinsurance contract assets	**272**	**7**	**279**	**772**	**13**	**785**	**1 064**

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC)

12.2.3 Reinsurance general insurance non-medical measured under PAA

	Group						
	ARC			ARIC			
KShs m	**Excluding loss recovery component**	**Loss recovery component**	**Total ARC**	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**Total ARIC**	**Total general non-medical insurance contracts measured under PAA**
2024							
Balance at the beginning of the year	942	23	965	3 822	129	3 951	4 916
Opening reinsurance contract assets	942	23	965	3 822	129	3 951	4 916
Reinsurance expenses	(1 385)	–	(1 385)	–	–	–	(1 385)
Claims recovered	–	–	–	459	(5)	454	454
Changes that relate to past service - adjustments to ARIC	–	–	–	(59)	–	(59)	(59)
Income on initial recognition of onerous underlying contracts	–	9	9	–	–	–	9
Amortisation of loss recovery component	–	(12)	(12)	–	–	–	(12)
Net (expense)/income from reinsurance contracts issued	(1 385)	(3)	(1 388)	400	(5)	395	(993)
Net finance income from reinsurance contracts issued	1	–	1	40	–	40	41
Total recognised in the statement of comprehensive income	(1 384)	(3)	(1 387)	440	(5)	435	(952)
Recognised in the statement of profit or loss attributable to discontinued operations	(1 685)	4	(1 681)	292	–	292	(1 389)
Cash flows	3 071	–	3 071	(559)	–	(559)	2 512
Premiums paid net of ceding commissions	3 413	–	3 413	–	–	–	3 413
Claims recovered	–	–	–	(559)	–	(559)	(559)
Foreign currency translation	(76)	(2)	(78)	(405)	(23)	(428)	(506)
Reclassified to assets held for sale (refer note 41)	(553)	(13)	(566)	(2 704)	(93)	(2 797)	(3 363)
Balance at the end of the year	315	9	324	886	8	894	1 218
Closing reinsurance contract assets	315	9	324	886	8	894	1 218

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC) (continued)

12.2.4 Reinsurance general insurance medical measured under PAA

	Group						
	ARC			ARIC			
KShs m	Excluding loss recovery component	Loss recovery component	Total ARC	Present value of future cash flows	Risk adjustment for non-financial risk	Total ARIC	Total general medical insurance contracts measured under PAA
2025							
Balance at the beginning of the year	**224**	**–**	**224**	**192**	**5**	**197**	**421**
Reinsurance contract assets	**224**	**–**	**224**	**192**	**5**	**197**	**421**
Reinsurance expenses	**(476)**	**–**	**(476)**	**–**	**–**	**–**	**(476)**
Claims recovered	**–**	**–**	**–**	**428**	**(4)**	**424**	**424**
Net (expense)/income from reinsurance contracts issued	**(476)**	**–**	**(476)**	**426**	**(4)**	**422**	**(54)**
Total recognised in the statement of comprehensive income	**(476)**	**–**	**(476)**	**426**	**(4)**	**422**	**(54)**
Cash flows	**258**	**–**	**258**	**(504)**	**–**	**(504)**	**(246)**
Premiums paid net of ceding commissions	**258**	**–**	**258**	**–**	**–**	**–**	**258**
Claims recovered	**–**	**–**	**–**	**(504)**	**–**	**(504)**	**(504)**
Balance at the end of the year	**6**	**–**	**6**	**114**	**1**	**115**	**121**
Closing reinsurance contract assets	**6**	**–**	**6**	**114**	**1**	**115**	**121**

12. Reinsurance contract balances (continued)

12.2 Reconciliation of the Asset for remaining coverage (ARC) and the Asset recoverable on incurred claims (ARIC) (continued)

12.2.4 Reinsurance general insurance medical measured under PAA

	Group						
	ARC			ARIC			
KShs m	**Excluding loss recovery component**	**Loss recovery component**	**Total ARC**	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**Total ARIC**	**Total general medical insurance contracts measured under PAA**
2024							
Balance at the beginning of the year	**250**	**–**	**250**	**183**	**5**	**188**	**438**
Opening reinsurance contract assets	250	–	250	183	5	188	438
Reinsurance expenses	(1 255)	–	(1 255)	–	–	–	(1 255)
Claims recovered	–	–	–	985	–	985	985
Net (expense)/income from reinsurance contracts issued	**(1 255)**	**–**	**(1 255)**	**985**	**–**	**985**	**(270)**
Net finance income from reinsurance contracts issued	**–**	**–**	**–**	**3**	**–**	**3**	**3**
Total recognised in the statement of comprehensive income	**(1 255)**	**–**	**(1 255)**	**988**	**–**	**988**	**(267)**
Cash flows	**1 229**	**–**	**1 229**	**(979)**	**–**	**(979)**	**250**
Premiums paid net of ceding commissions	**1 229**	**–**	**1 229**	**–**	**–**	**–**	**1 229**
Claims recovered	**–**	**–**	**–**	**(979)**	**–**	**(979)**	**(979)**
Balance at the end of the year	**224**	**–**	**224**	**192**	**5**	**197**	**421**
Closing reinsurance contract assets	**224**	**–**	**224**	**192**	**5**	**197**	**421**

12. Reinsurance contract balances (continued)

12.3 Reconciliation of the measurement components of reinsurance contract balances: Reinsurance life risk under GMM

	Group			
KShs m	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**CSM**	**Total life risk measured under GMM**
2025				
Balance at the beginning of the year	**38**	**3**	**7**	**48**
Opening reinsurance contract assets	38	3	7	48
Changes that relate to current service	**(12)**	**(1)**	**(5)**	**(18)**
CSM recognised in profit or loss for services received	**–**	**–**	**(5)**	**(5)**
Risk adjustment for risk expired (non-financial risk)	**–**	**(1)**	**–**	**(1)**
Experience adjustments	**(12)**	**–**	**–**	**(12)**
Changes that relate to future service	**(3)**	**2**	**8**	**7**
Changes in estimates that adjust the CSM	**2**	**–**	**(2)**	**–**
Contracts initially recognised in the period	**(9)**	**2**	**10**	**3**
Changes to loss recovery component on subsequent measurement of onerous underlying contracts	**4**	**–**	**–**	**4**
Changes that relate to past service				
Net (expense)/income from reinsurance contracts issued	**(15)**	**1**	**3**	**(11)**
Net finance income from reinsurance contracts issued	**18**	**1**	**2**	**21**
Total recognised in the statement of comprehensive income	**3**	**2**	**5**	**10**
Cash flows	**27**	**–**	**–**	**27**
Premiums paid net of commissions	**27**	**–**	**–**	**27**
Balance at the end of the year	**68**	**5**	**12**	**85**
Closing reinsurance contract assets	**68**	**5**	**12**	**85**

12. Reinsurance contract balances (continued)

12.3 Reconciliation of the measurement components of reinsurance contract balances: Reinsurance life risk under GMM

	Group			
KShs m	**Present value of future cash flows**	**Risk adjustment for non-financial risk**	**CSM**	**Total life risk measured under GMM**
2024				
Balance at the beginning of the year	**13**	**1**	**3**	**17**
Opening reinsurance contract assets	13	1	3	17
Changes that relate to current service	(8)	–	2	(6)
CSM recognised in profit or loss for services received	–	–	2	2
Experience adjustments	(8)	–	–	(8)
Changes that relate to future service	2	1	2	5
Contracts initially recognised in the period	(1)	1	6	6
Changes to loss recovery component on subsequent measurement of onerous underlying contracts	3		(4)	(1)
Net (expense)/income from reinsurance contracts issued	(6)	1	4	(1)
Net finance income from reinsurance contracts issued	10	1	–	11
Total recognised in the statement of comprehensive income	4	2	4	10
Cash flows	21	–	–	21
Premiums paid net of commissions	21	–	–	21
Balance at the end of the year	38	3	7	48
Closing reinsurance contract assets	38	3	7	48

12. Reinsurance contract balances (continued)

12.4 Expected recognition of the contractual service margin (CSM), excluding contracts that are measured under PAA

The CSM expected future recognition in profit or loss includes the interest accreted on the carrying amount of the CSM over time and the amount recognised as reinsurance recoveries linked to the modelled transfer of services (based on the referenced coverage units) in the respective periods.

Reinsurance life risk measured under GMM

	Group	
KShs m	**2025**	**2024**
Within 1 year	**1**	4
Within 2 to 5 years	**7**	13
Within 5 to 10 years	**8**	2
Effect of interest accreted on the CSM for 0 to 10 years	**(6)**	(7)
CSM recognised in profit and loss within 10 years	**10**	12
Combined CSM and interest accreted on CSM beyond 10 years	**2**	(5)
Total	**12**	7

12.5 Impact of contracts recognised during the year

The following table summarises the effect on the measurement components of reinsurance contracts arising from the initial recognition of contracts not measured under the PAA that were initially recognised during the year:

	Group					
	2025			**2024**		
KShs m	**Contracts originated in a net cost**	**Contracts originated in a net gain**	**Total**	**Contracts originated in a net cost**	**Contracts originated in a net gain**	**Total**
Estimates of the present value of future cash inflows[1]	**13**	**20**	**33**	17	17	34
Estimates of the present value of future cash outflows[1]	**(10)**	**(32)**	**(42)**	(12)	(23)	(35)
Risk adjustments for non-financial risk	**–**	**2**	**2**	1	–	1
CSM	**–**	**10**	**10**	–	6	6
Income on initial recognition of onerous underlying contracts	**3**	**–**	**3**	6	–	6

13. Financial liabilities under investment contracts

	Group	
KShs m	**2025**	**2024**
Balance at the beginning of the year	**11 021**	7 088
Fund inflows from investment contracts	**2 026**	4 264
Fair value adjustment	**2 024**	2 154
Fund outflows under investment contracts	**(2 111)**	(2 029)
Service fee income	**(519)**	(456)
Balance at the end of the year	**12 441**	11 021
Net income from investment contracts	**146**	70
Service fee income	**519**	456
Expenses:		
Operating expenses and acquisition costs	**(373)**	(386)

The timing of settlement of these liabilities depends on policyholder behaviour. Contractually policyholders may disinvest on demand.

14. Deferred taxation

KShs m	Group 2025	Group 2024
Deferred tax assets (non-current)	**–**	6
Deferred tax liabilities (non-current)	**(1 092)**	(1 007)
Net deferred tax liability	**(1 092)**	(1 001)

KShs m	Group Asset/ (liability) at the beginning of the year	Foreign currency translation	(Provision)/ release for the year- continuing operations	(Provision)/ release for the year- discontinued operations	Reclassified to assets held for sale (note 39)	Asset/ (liability) at the end of the year
2025						
Normal taxation	**(1 001)**	**–**	**(91)**	**–**	**–**	**(1 092)**
Policyholder liabilities difference between tax and accounting basis	**(1 009)**	**–**	**(46)**	**–**	**–**	**(1 055)**
Fair value changes to financial instruments	**168**	**–**	**(244)**	**–**	**–**	**(76)**
Prepayments and other temporary differences	**(160)**	**–**	**199**	**–**	**–**	**39**
Total	**(1 001)**	**–**	**(91)**	**–**	**–**	**(1 092)**
2024						
Normal taxation	(731)	(6)	(221)	15	(58)	(1 001)
Policyholder liabilities difference between tax and accounting basis	(927)	–	(82)			(1 009)
Fair value changes to financial instruments	(238)	–	472	–	(66)	168
Prepayments and other temporary differences	434	(6)	(611)	15	8	(160)
Total	(731)	(6)	(221)	15	(58)	(1 001)

15. Financial liabilities

15.1 Financial liabilities movement analysis

Reconciliation of movement in financing and operating activities disclosed in the statement of cash flows

	Group	
	Designated at fair value through profit or loss	
KShs m	**2025**	**2024**
Stanbic Kenya Bancassurance		
Balance at the beginning of the year	**225**	180
Repayment of financial liabilities	**(291)**	(167)
Bancassurance obligations (note 28)	**186**	212
Balance at the end of the year	**120**	225

16. Lease liabilities

16.1 Lease liabilities movement analysis

Reconciliation of movement in financing activities disclosed in the statement of cash flows

	Group	
	Lease liabilities at amortised cost	
KShs m	**2025**	**2024**
Balance at the beginning of the year	**61**	100
Finance costs- continuing operations	**8**	7
Finance costs- discontinued operations	**–**	1
Lease liability incurred	**6**	59
Foreign currency translation	**–**	(10)
Lease repayments[1]	**(23)**	(89)
Reclassified to liabilities in relation to assets held for sale (refer note 41)	**–**	(7)
Balance at the end of the year	**55**	61
Current	**20**	35
Non-current	**35**	26

1 Repayment of lease liabilities.

16. Lease liabilities (continued)

16.2 Maturity analysis - contractual undiscounted cash flows

	Group	
KShs m	**2025**	**2024**
Within one year	**24**	37
Later than one year but no later than five years	**41**	30
Total undiscounted lease liabilities at the end of the year	**65**	67

The group leases properties which are typically used as branch offices for the sales force or as administration offices. The leases of office space typically run for periods of 1 to 10 years. Some leases include an option to renew the lease for an additional period after the end of the initial contract term. If it is reasonably certain that the lessee will renew, this is included in the lease liability on day one.

Liberty does not have any material leases which have not yet commenced to which it has committed.

17. Employee benefits

17.1 Short-term employee benefits

	Group					
	Leave pay		Short-term incentive schemes		Total	
KShs m	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Balance at the beginning of the year	**43**	46	**164**	149	**207**	195
Additional provision raised	**19**	40	**174**	164	**193**	204
Utilised during the year	**(22)**	(43)	**(168)**	(149)	**(190)**	(192)
Balance at the end of the year	**40**	43	**170**	164	**210**	207

	Company					
	Leave pay		Short-term incentive schemes		Total	
KShs m	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Balance at the beginning of the year	**–**	–	**25**	–	**25**	–
Additional provision raised	**–**	–	**21**	25	**21**	25
Utilised during the year	**–**	–	**(23)**	–	**(23)**	–
Balance at the end of the year	**–**	–	**23**	25	**23**	25

All outflows in economic benefits in respect of short-term employee benefits are expected to occur within one year.

Leave pay

In terms of the group and company policy, employees are entitled to accumulate a maximum of 25 days compulsory leave. Compulsory leave has to be taken within 18 months of earning it, failing which it is forfeited.

Short-term incentive schemes (cash-settled)

In terms of the group remuneration policy, all permanent employees are eligible to receive a short term incentive bonus in terms of the various board approved short-term incentive schemes. These schemes recognise both individual and financial performance.

17. Employee benefits (continued)

17.2 Details of schemes

The group operates the following retirement schemes for the benefit of its employees.

Defined contribution schemes:

Heritage All Insurance Kenya Staff Retirement Benefits Scheme and the CFC Life Assurance Staff Pension Scheme

Liberty Kenya Holdings Plc and its subsidiaries (Liberty) operates two funded defined contribution pension schemes in terms of section 1 of the Income Tax Act, 1962. The Liberty Defined Contribution Pension Funds offer a benefit to Liberty employees based on the accumulated contributions and investment returns at retirement.

17.3 Transactions between group companies and the funds

17.3.1 The contributions which the group has made on behalf of the employees during the year are as follows:

	Group	
KShs m	**2025**	**2024**
Retirement		
Defined contribution funds	**128**	111

17.3.2 The following retirement benefit funds have insurance policies with Liberty Kenya Holdings Plc and its subsidiaries,held as investment policies in the funds. A summary of the transactions follows:

	Group	
	Fund value	
KShs m	**2025**	**2024**
Heritage AII Insurance Kenya Staff Retirement Benefits Scheme and the CFC Life Assurance Staff Pension Scheme – Policies with Liberty Life Kenya		
Balance at the beginning of the year	**1 766**	1 539
Premiums	**244**	222
Fair value adjustments	**213**	281
Taxation	**(18)**	(41)
Withdrawals	**(139)**	(235)
Balance at the end of the year	**2 066**	1 766

18. Other payables

KShs m	Group 2025	Group 2024	Company 2025	Company 2024
Other payables at amortised cost				
Accrued expenses	**882**	1 063	**–**	–
Sundry payables	**148**	192	**37**	18
Receipts in advance	**454**	647	**–**	–
Due to group companies	**32**	75	**7**	–
Reclassified to liabilities in relation to assets held for sale (refer note 41)	**–**	(411)	**–**	–
Total other payables	**1 516**	1 566	**44**	18
Current	**1 516**	1 566	**44**	18

19. Summary of the group and company's financial assets and property per class

19.1 Assets

	Group					
	Kenya Shilling denominated		Foreign currency denominated		Total	
KShs m	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Equity instruments	**2 577**	1 711	**–**	–	**2 577**	1 711
Listed equities on the NSE or foreign exchanges	**2 444**	1 578	**–**	–	**2 444**	1 578
Unlisted equities	**133**	133	**–**	–	**133**	133
Unit trust	**918**	787	**–**	–	**918**	787
Fixed deposits	**88**	83	**–**	–	**88**	83
Debt instruments	**29 152**	25 020	**–**	–	**29 152**	25 020
Listed government bonds	**29 152**	25 020	**–**	–	**29 152**	25 020
Staff loans receivable	**438**	542	**–**	–	**438**	542
Other receivables	**379**	382	**–**	–	**379**	382
Reclassified to assets held for sale (refer note 41)	**–**	–	**–**	5 334	**–**	5 334
Cash and cash equivalents	**8 273**	9 109	**–**	–	**8 273**	9 109
Owner-occupied property	**1 179**	1 216	**–**	–	**1 179**	1 216
Investment property	**37**	–	**–**	–	**37**	–
Total financial and property assets	**43 041**	38 850	**–**	5 334	**43 041**	44 184
Other assets not included in the asset class table:						
Intangible assets	**1 373**	1 447	**–**	–	**1 373**	1 447
Equipment	**165**	146	**–**	–	**165**	146
Right-of-use assets	**43**	52	**–**	–	**43**	52
Deferred taxation	**–**	6	**–**	–	**–**	6
Prepayments	**167**	364	**–**	–	**167**	364
Reinsurance contract assets	**1 424**	1 884	**–**	–	**1 424**	1 884
Current taxation	**93**	66	**–**	–	**93**	66
Total assets as per statement of financial position	**46 306**	42 815	**–**	5 334	**46 306**	48 149

	Company					
	Kenya Shilling denominated		Foreign currency denominated		Total	
KShs m	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Interests in subsidiaries	**2 702**	2 702	**–**	–	**2 702**	2 702
Intragroup balances with subsidiaries	**631**	11	**–**	–	**631**	11
Cash and cash equivalents	**15**	3	**–**	–	**15**	3
Prepayments	**–**	7	**–**	–	**–**	7
Total assets as per statement of financial position	**3 348**	2 723	**–**	–	**3 348**	2 723

20. Fair value hierarchy

20.1 Introduction

The fair value of prepayments and other receivables, cash and cash equivalents and other payables, that under IFRS 9 business model approach are held at amortised cost are not included in the hierarchy table as their settlement terms are short-term. These financial instruments are not subject to material market sensitivities.

20.2 Asset hierarchy

The note below analyses the fair value measurement of applicable assets by level.

	Group			
KShs m	**Level 1**	**Level 2**	**Level 3**	**Total**
2025				
Equity instruments	**2 444**	**–**	**133**	**2 577**
Listed equities	**2 444**	**–**	**–**	**2 444**
Unlisted equities	**–**	**–**	**133**	**133**
Unit trust	**–**	**918**	**–**	**918**
Fixed deposits		**88**		**88**
Debt instruments	**–**	**29 152**	**–**	**29 152**
Listed government bonds	**–**	**29 152**	**–**	**29 152**
Owner-occupied property	**–**	**–**	**1 179**	**1 179**
Investment property	**–**	**–**	**37**	**37**
Total assets subject to fair value hierarchy analysis	**2 444**	**30 158**	**1 349**	**33 951**
Other assets not subject to fair value hierarchy analysis:				
Intangible assets				**1 373**
Equipment				**165**
Right-of-use assets				**43**
Reinsurance contract assets				**1 424**
Staff loans receivable				**438**
Prepayments and other receivables held at amortised cost				**546**
Cash and cash equivalents held at amortised cost				**8 273**
Current taxation				**93**
Total assets as per statement of financial position	**2 444**	**30 158**	**1 349**	**46 306**

20. Fair value hierarchy (continued)

20.2 Asset hierarchy (continued)

	Group			
KShs m	**Level 1**	**Level 2**	**Level 3**	**Total**
2024				
Equity instruments	1 578	–	133	1 711
Listed equities	1 578	–	–	1 578
Unlisted equities	–	–	133	133
Unit trust	–	787	–	787
Fixed deposits	–	83	–	83
Debt instruments	–	25 020	–	25 020
Listed government bonds	–	25 020	–	25 020
Owner-occupied property	–	–	1 216	1 216
Total assets subject to fair value hierarchy analysis	1 578	25 890	1 349	28 817
Other assets not subject to fair value hierarchy analysis:				
Intangible assets				1 447
Equipment				146
Right-of-use assets				52
Deferred tax				6
Reinsurance contract assets				1 884
Staff loans receivable				542
Prepayments and other receivables held at amortised cost				746
Assets classified as held for sale				5 334
Cash and cash equivalents held at amortised cost				9 109
Current taxation				66
Total assets as per statement of financial position	1 578	25 890	1 349	48 149

.20. Fair value hierarchy (continued)

20. Fair value hierarchy (continued)

20.3 Liability hierarchy (continued)

	Group			
KShs m	**Level 1**	**Level 2**	**Level 3**	**Total**
2025				
Financial liabilities under investment contracts	**–**	**12 441**	**–**	**12 441**
Financial liabilities designated at fair value through profit or loss	**–**	**120**	**–**	**120**
Liabilities subject to fair value hierarchy analysis	**–**	**12 561**	**–**	**12 561**
Other liabilities not subject to fair value hierarchy analysis:				
Insurance contract liabilities	**–**	**–**	**–**	**20 792**
Deferred taxation	**–**	**–**	**–**	**1 092**
Lease liabilities	**–**	**–**	**–**	**55**
Employee benefits	**–**	**–**	**–**	**210**
Other payables at amortised cost	**–**	**–**	**–**	**1 516**
Total liabilities as per statement of financial position				**36 226**
2024				
Financial liabilities under investment contracts	–	11 021	–	11 021
Financial liabilities designated at fair value through profit or loss	–	225	–	225
Liabilities subject to fair value hierarchy analysis	–	11 246	–	11 246
Other liabilities not subject to fair value hierarchy analysis:				
Insurance contract liabilities				18 937
Deferred taxation				1 007
Lease liabilities				61
Employee benefits				207
Liabilities in relation to assets held for sale(note 41)				4 480
Other payables at amortised cost				1 566
Total liabilities as per statement of financial position				37 504

20. Fair value hierarchy (continued)

20.4 Fair value disclosure of financial assets and liabilities that are measured at amortised cost

The fair value of financial assets and liabilities which are measured at amortised cost is categorised into the following fair value hierarchies.

	Group				
KShs m	**Amortised cost**	**Fair value**	**Level 1**	**Level 2**	**Level 3**
2025					
Financial assets measured at amortised cost					
Staff loans receivable – net carrying value	**438**	**370**	**–**	**–**	**370**
Cash and cash equivalents – net carrying value	**8 273**	**8 273**	**–**	**8 273**	**–**
2024					
Financial liabilities measured at amortised cost					
Staff loans receivable – net carrying value	542	442	–	–	442
Cash and cash equivalents – net carrying value	9 109	9 109	–	9 109	–

The fair value of prepayments and other receivables, and other payables that are all held at amortised cost approximate their carrying value and are not included in the above hierarchy table as their settlement terms are short-term and therefore from a materiality perspective fair values are not required to be modelled.

20.5 Reconciliation of level 3 assets

The table below analyses the movement of level 3 assets for the year.

	Group	
KShs m	**2025**	**2024**
Balance at the beginning of the year, excluding prepayments and other receivables	**1 349**	1 420
Foreign currency translation	**–**	18
Reclassified to assets held for sale (refer note 41)	**–**	(89)
Balance at the end of the year, excluding prepayments and other receivables	**1 349**	1 349
Properties	**1 216**	1 216
Financial instruments	**133**	133

1 Included in the fair value adjustments is KShs 0 million unrealised gain/(loss) (2024: KShs 0).

2 No movement analysis is provided for prepayments and other receivables that are included as level 3 assets in the fair value hierarchy. These amounts are typically short-term trade debtors and arise in the ordinary course of business. It is impracticable to separate the additions and disposals.

20. Fair value hierarchy (continued)

20.6 Sensitivity analysis of level 3 assets

20.6.1 Properties

Fair values for properties were obtained from independent valuators at 31 December 2025 and at 31 December 2024.

The tables below indicate the sensitivity of the aggregate market values for a 1% change in the exit capitalisation rate.

	Group		
		Change in exit capitalisation rate	
KShs m	Total	1% increase	1% decrease
2025			
Properties with 8,0% capitalisation rate	**1 216**	**1 077**	**1 395**
2024			
Properties with 8,0% capitalisation rate	1 216	1 077	1 395

20.6.2 Financial instrument assets

	Group	
KShs m	2025	2024
Equities		
Unlisted equities	**133**	133
Debt		
Staff loans receivables	**370**	442

A 1% change in discount rate applied to fair value on staff loan receivables results in a fair value adjustments of KShs 13 million (2024: KShs 20 million).

A 1% change in equity prices of the unlisted equities results in a change of KShs 1 million (2024: KShs 1 million).

20. Fair value hierarchy (continued)

20.7 Accounting classifications of financial instruments under IFRS 9 including other measurement basis

The table below reflects the classification of the group's financial assets and financial liabilities as split into the IFRS 9 measurement categories. The financial assets categories have been determined based on the contractual cash flow characteristics and business model of the entity.

	Group			
	Fair value through profit or loss			
KShs m	**Designated**	**Total fair value**	**Amortised cost**	**Total per statement of financial position**
2025				
Financial assets				
Financial instruments	**32 735**	**32 735**	**438**	**33 173**
Other receivables	**–**	**–**	**379**	**379**
Cash and cash equivalents	**–**	**–**	**8 273**	**8 273**
Total financial assets	**32 735**	**32 735**	**9 090**	**41 825**
Financial liabilities				
Financial liabilities under investment contracts	**12 441**	**12 441**	**–**	**12 441**
Financial liabilities	**120**	**120**	**–**	**120**
Other payables	**–**	**–**	**1 516**	**1 516**
Total financial liabilities	**12 561**	**12 561**	**1 516**	**14 077**
2024				
Financial assets				
Financial instruments	27 601	27 601	542	28 143
Other receivables	–	–	382	382
Cash and cash equivalents	–	–	9 109	9 109
Total financial assets	27 601	27 601	10 033	37 634
Financial liabilities				
Financial liabilities under investment contracts	11 021	11 021	–	11 021
Financial liabilities	225	225	–	225
Other payables	–	–	1 566	1 566
Total financial liabilities	11 246	11 246	1 566	12 812

20. Fair value hierarchy (continued)

20.7 Accounting classifications of financial instruments under IFRS 9 including other measurement basis (continued)

20.8 Group's valuation process

The group's appointed asset managers have qualified valuators that perform the valuations of financial assets and appointed independent valuators to determine fair values of properties required for financial reporting purposes, including level 3 fair values. These valuations are reviewed and approved every reporting period by the investment committees of the respective subsidiaries.

The fair values of level 3 instruments are determined using valuation techniques that incorporate certain assumptions that are not supported by prices from observable current market transactions in the same instruments and are not based on available observable market data. Such assumptions include the assumed risk adjusted discount rate applied to estimated future cash flows and the liquidity and credit spreads applied to debt instruments. Changes in these assumptions could affect the reported fair value of the financial instruments.

20.9 Valuation techniques used in determining the fair value of assets and liabilities classified within level 2

Instrument	Valuation basis/techniques	Main assumptions
Listed government bonds	Market prices	Nairobi Securities Exchange yield curves
Cash equivalents - short term deposits	Market to market (DCF)	Yield Curves
Cash on hand	Face value	Not applicable
Financial liabilities under investment contracts		
- investment-linked policies	Current unit price of underlying unitised financial asset that is linked to the liability, multiplied by the number of units held	Not applicable
- fixed term annuities	DCF	Bond interest rate curves Own credit/liquidity
Financial liabilities designated at fair value through profit or loss	DCF	Discount rate

20. Fair value hierarchy (continued)

20.10 Valuation techniques used in determining the fair value of assets and liabilities classified within level 3

Instrument	Valuation basis/techniques	Main assumptions
Owner- occupied properties **Investment properties**	DCF/Income approach.	Price per square meter Exit capitalisation and discount rates (the more significant assumptions) Long-term net operating income margin Vacancies Economic outlook Location Rental income and expense growth trends
Staff loans receivable	DCF	Prime interest rate Term
Unlisted equities	DCF/ earnings multiple	Cost of capital Bond interest rates curves Consumer price index Latest traded price If a property investment entity, then assumptions applied are as above under investment and owner occupied property.

There were no transfers between fair value hierarchy levels in the period.

21. Share capital and share premium

Authorised share capital

535 707 499 ordinary shares with a par value of KShs 1 per share

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Issued share capital				
535 707 499 ordinary shares of KShs 1 each at the end of the year	**536**	536	**536**	536
Share premium	**1 490**	1 490	**1 490**	1 490
Total issued share capital and share premium	**2 026**	2 026	**2 026**	2 026

The closing price for a Liberty Kenya Holdings Plc ordinary share from Nairobi Securities Exchange on 31 December 2025: KShs 10.05 (2024: KShs 6.68).

22. Insurance revenue

	Group					
KShs m	**Life insurance contracts measured under GMM**	**Life insurance contracts measured under PAA**	**Life participating contracts measured under VFA**	**General insurance non-medical measured under PAA**	**General insurance medical measured under PAA**	**Total**
2025						
Contracts not measured under the PAA	**495**	**–**	**898**	**–**	**–**	**1 393**
Amounts relating to changes in liabilities for remaining coverage	**334**	**–**	**770**	**–**	**–**	**1 104**
Expected incurred claims	**273**	**–**	**469**	**–**	**–**	**742**
Expected directly attributable expenses	**138**	**–**	**242**	**–**	**–**	**380**
Other amounts, including experience adjustments for premium receipts	**(122)**	**–**	**4**	**–**	**–**	**(118)**
Allocation to loss component	**(77)**	**–**	**(90)**	**–**	**–**	**(167)**
Change in risk adjustment for non-financial risk for risk expired	**29**	**–**	**18**	**–**	**–**	**47**
CSM recognised in profit or loss for services provided	**93**	**–**	**127**	**–**	**–**	**220**
Recovery of insurance acquisition cash flows	**161**	**–**	**128**	**–**	**–**	**289**
Contracts measured under the PAA	**–**	**1 840**	**–**	**5 034**	**3 616**	**10 490**
Total insurance revenue	**495**	**1 840**	**898**	**5 034**	**3 616**	**11 883**

22. Insurance revenue (continued)

	Group					
KShs m	**Life insurance contracts measured under GMM**	**Life insurance contracts measured under PAA**	**Life participating contracts measured under VFA**	**General insurance non-medical measured under PAA**	**General insurance medical measured under PAA**	**Total**
2024						
Contracts not measured under the PAA	306	–	799	–	–	1 105
Amounts relating to changes in liabilities for remaining coverage	127	–	733	–	–	860
Expected incurred claims	126	–	492	–	–	618
Expected directly attributable expenses	121	–	253	–	–	374
Other amounts, including experience adjustments for premium receipts	(78)	–	(80)	–	–	(158)
Allocation to loss component	(111)	–	(58)	–	–	(169)
Change in risk adjustment for non-financial risk for risk expired	17	–	9	–	–	26
CSM recognised in profit or loss for services provided	52	–	117	–	–	169
Recovery of insurance acquisition cash flows	179	–	66	–	–	245
Contracts measured under the PAA	–	1 652	–	4 932	3 261	9 845
Total insurance revenue	306	1 652	799	4 932	3 261	10 950

23. Insurance service expense

	Group					
KShs m	Life insurance contracts measured under GMM	Life insurance contracts measured under PAA	Life participating contracts measured under VFA	General insurance non-medical measured under PAA	General insurance medical measured under PAA	Total
2025						
Incurred claims	**59**	**1 040**	**495**	**2 109**	**2 774**	**6 477**
Directly attributable expenses	**171**	**318**	**270**	**1 101**	**456**	**2 316**
Changes that relate to past service – adjustments to the liability for incurred claims	**–**	**(1)**	**–**	**(284)**	**(52)**	**(337)**
Changes to loss component on subsequent measurement	**112**	**–**	**81**	**–**	**–**	**193**
Losses on onerous contracts at initial recognition	**78**	**1**	**89**	**22**	**–**	**190**
Amortisation of loss component	**(77)**	**(4)**	**(90)**	**(19)**	**–**	**(190)**
Amortisation of insurance acquisition cash flows	**161**	**227**	**128**	**680**	**308**	**1 504**
Total insurance expenses	**504**	**1 581**	**973**	**3 609**	**3 486**	**10 153**
2024						
Incurred claims	73	482	456	2 104	2 117	5 232
Directly attributable expenses	125	329	238	1 063	348	2 103
Changes that relate to past service – adjustments to the liability for incurred claims	–	(3)	–	(354)	–	(357)
Changes to loss component on subsequent measurement	98	–	35	–	–	133
Losses on onerous contracts at initial recognition	146	3	6	17	–	172
Amortisation of loss component	(111)	(2)	(58)	(46)	–	(217)
Amortisation of insurance acquisition cash flows	179	307	66	650	260	1 462
Total insurance expenses	**510**	**1 116**	**743**	**3 434**	**2 725**	**8 528**

24. Net expense from reinsurance contracts held

KShs m	Group				
	Reinsurance life risk measured under GMM	Reinsurance life insurance contracts measured under PAA	Reinsurance general non-medical insurance risk measured under PAA	Reinsurance general medical insurance risk measured under PAA	Total
2025					
Contracts not measured under the PAA					
Amounts relating to changes in liabilities for remaining coverage	**15**	**–**	**–**	**–**	**15**
Expected recovery for insurance service expenses incurred in the period	**5**	**–**	**–**	**–**	**5**
Reinsurance premium variance	**7**	**–**	**–**	**–**	**7**
Change in risk adjustment for non-financial risk for risk expired	**1**	**–**	**–**	**–**	**1**
CSM recognised in profit or loss for services provided	**5**	**–**	**–**	**–**	**5**
Allocation to loss recovery component	**(3)**	**–**	**–**	**–**	**(3)**
Contracts measured under the PAA	**–**	**227**	**1 297**	**476**	**2 000**
Reinsurance expense before recoveries	**15**	**227**	**1 297**	**476**	**2 015**
Claims recovered	**–**	**(147)**	**(349)**	**(424)**	**(920)**
Income on initial recognition of onerous underlying contracts	**(3)**	**–**	**(7)**	**–**	**(10)**
Changes to loss recovery on subsequent measurement of onerous underlying contracts	**(4)**	**–**	**–**	**–**	**(4)**
Amortisation of loss recovery component	**3**	**–**	**9**	**–**	**12**
Changes that relate to past service – adjustments to incurred claims	**–**	**8**	**149**	**2**	**159**
Total net expense from reinsurance contracts held	**11**	**88**	**1 099**	**54**	**1 252**
2024					
Contracts not measured under the PAA					
Amounts relating to changes in liabilities for remaining coverage	3	–	–	–	3
Expected recovery for insurance service expenses incurred in the period	4	–	–	–	4
Reinsurance premium variance	4	–	–	–	4
CSM recognised in profit or loss for services provided	(2)	–	–	–	(2)
Allocation to loss recovery component	(3)	–	–	–	(3)
Contracts measured under the PAA	–	179	1 385	1 255	2 819
Reinsurance expense before recoveries	3	179	1 385	1 255	2 822
Claims recovered		(90)	(454)	(985)	(1 529)
Income on initial recognition of onerous underlying contracts	(6)	–	(9)	–	(15)
Changes to loss recovery on subsequent measurement of onerous underlying contracts	1	–	–	–	1
Amortisation of loss recovery component	3	–	12	–	15
Changes that relate to past service – adjustments to incurred claims	–	5	59	–	64
Total net expense from reinsurance contracts held	1	94	993	270	1 358

25. Investment income

	Group		Company	
		Restated[2]		
KShs m	**2025**	**2024**	**2025**	**2024**
Non-financial assets at fair value through profit or loss				
Properties - rental income	**7**	7	**–**	–
Other income	**24**	4	**–**	–
Dividends from subsidiaries[1]	**–**	–	**1 622**	315
Total investment income	**31**	11	**1 622**	315

1 Dividends from subsidiaries comprise KShs 1 622 million (31 December 2024: KShs 315 million) from Heritage Insurance Kenya.

2 The 2024 comparatives presented in the table above have been restated. Refer to note 42 for further details.

26. Interest income on financial assets using effective interest method

	Group	
		Restated[1]
KShs m	**2025**	**2024**
Staff loans receivable - interest income	**41**	63
Interest income on cash and cash equivalents	**767**	1 011
Total interest income on financial assets using the effective interest method	**808**	1 074

1 The 2024 comparatives presented in the table above have been restated to reclassify interest on unit trust and fixed deposit (KShs 70 million) to fair value adjustments to assets held at fair value through profit or loss in line with their measurement method.

27. Fair value adjustments to assets held at fair value through profit or loss

	Group	
KShs m	**2025**	**2024**
Financial assets at fair value through profit or loss	**5 205**	5 962
Financial instruments at fair value through profit or loss	**5 205**	5 962
Total fair value adjustments to assets held at fair value through profit or loss	**5 205**	5 962
The following amounts were included in fair value adjustments:		
Dividends received	**136**	136
Interest income	**3 500**	3 387
Investment gains	**1 569**	2 439

28. Bancassurance obligations

KShs m	Group 2025	Group 2024
Bancassurance obligations	**186**	212
Bancassurance obligations	**186**	212

Contractual amounts due in terms of bancassurance agreement with Stanbic Bank Kenya.

29. Net finance expense from insurance contracts issued

KShs m	Group: Life insurance contracts measured under GMM	Life insurance contracts measured under PAA	Life participating contracts measured under VFA	General insurance non-medical measured under PAA	General insurance medical measured under PAA	Total
2025						
Changes in fair value of referenced underlying assets on participating contracts	**–**	**–**	**1 539**	**–**	**–**	**1 539**
Interest accreted on fulfilment cash flows and impact of changes in financial assumptions	**499**	**39**	**54**	**146**	**4**	**738**
Interest accreted on the CSM (GMM and VFA) and impact of changes in financial assumptions(VFA)	**28**	**–**	**114**	**–**	**–**	**142**
Total net finance expense from insurance contracts issued	**527**	**39**	**1 707**	**146**	**4**	**2 423**
2024						
Changes in fair value of referenced underlying assets on participating contracts	–	–	1 886	–	–	1 886
Interest accreted on fulfilment cash flows and impact of changes in financial assumptions	326	28	250	203	5	812
Interest accreted on the CSM (GMM and VFA) and impact of changes in financial assumptions(VFA)	18	–	90	–	–	108
Total net finance expense from insurance contracts issued	344	28	2 226	203	5	2 806

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30. Net finance income from reinsurance contracts held

	Group			
KShs m	**Life insurance contracts measured under GMM**	**General non-medical insurance measured under PAA**	**General medical insurance measured under PAA**	**Total**
2025				
Interest accreted on fulfilment cash flows and impact of changes in financial assumptions	**1**	**–**	**–**	**1**
Interest accreted on the CSM	**2**	**–**	**–**	**2**
Effect of changes in interest rates and other financial assumptions	**18**	**32**	**–**	**50**
Total net finance income from reinsurance contracts held	**21**	**32**	**–**	**53**
2024				
Interest accreted on fulfilment cash flows and impact of changes in financial assumptions	1	–	–	1
Effect of changes in interest rates and other financial assumptions	10	41	3	54
Total net finance income from reinsurance contracts held	11	41	3	55

31. Revenue from contracts with customers

	Group	
KShs m	**2025**	**2024**
Fee income		
Service fee income from investment contracts	**519**	456
Total revenue from contracts with customers	**519**	456

IFRS 15 requires disclosure of information relating to the timing of revenue recognised from contracts with customers. All of the group's revenue is recognised over time.

Service fee income on investment contracts comprises of both administration and asset management services and is recognised over time as services are rendered, with reference to the contract terms (agreed fee and service). These fees are generally recognised on a daily basis as these services are rendered consistently over the contract period and include utilisation of skilled professionals' time and applicable support services, including IT systems.

32. Operating expenses

	Group		Company	
		Restated[1]		
KShs m	**2025**	**2024**	**2025**	**2024**
Employee costs	**1 793**	1 788	**86**	80
Office costs	**1 658**	1 527	**71**	90
Training and development costs	**100**	66	**–**	–
Commissions and other acquisition costs	**263**	235	**–**	–
Other	**186**	198	**–**	20
Total operating expenses(excluding those from discontinued operations)	**4 000**	3 814	**157**	190
Attributable to:	**4 000**	3 814	**157**	190
Insurance service result	**2 638**	2 463	**–**	–
Other operating expenses	**1 362**	1 351	**157**	190
Total operating expenses, before the allocation of directly attributable expenses, include the following:				
Amortisation and impairment of intangible assets (refer note 2)	**131**	86	**–**	–
Audit fees – current year	**20**	19	**3**	3
Consulting fees and outsource arrangements	**490**	492	**–**	–
Depreciation - equipment (refer note 5)	**57**	64	**–**	–
Depreciation - right-of-use assets (refer note 6)	**17**	20	**–**	–
Asset management fees	**63**	50	**–**	–
Other property charges	**–**	28	**–**	–
Regulatory levies	**63**	82	**–**	–
Employee costs	**1 793**	1 788	**86**	80
Salaries and wages	**1 218**	1 243	**24**	25
Medical aid contributions	**109**	121	**–**	–
Staff and management incentives	**175**	208	**22**	25
Other post-retirement benefits	**120**	111	**–**	–
Other	**171**	105	**40**	30

1 The 2024 comparatives presented in the table above have been restated. Refer to note 42 for further details.

33. Finance costs

	Group	
KShs m	**2025**	**2024**
Interest expense:		
– interest on financial lease liabilities at amortised cost	**8**	8
Total finance costs	**8**	8

34. Taxation

34.1 Sources of taxation

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Kenyan normal taxation	**432**	721	**–**	–
Current year taxation	**341**	504	**–**	–
Current year deferred taxation	**91**	217	**–**	–
Total taxation	**432**	721	**–**	–
Charged through profit or loss	**432**	721	**–**	–
Charged through other comprehensive income	**–**	–	**–**	–

34.2 Taxation rate reconciliation

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Profit before taxation from continuing operations per statement of comprehensive income	**1 091**	**2 091**	**1 465**	**125**
Taxation per statement of comprehensive income	**432**	**721**	**–**	**–**
%				
Effective rate of taxation	**39.5**	**34.5**	**–**	**–**
Adjustments due to:				
Income exempt from normal taxation[1]	**(3.8)**	**4.5**	**33.2**	**75.6**
Non-deductible expenses[2]	**(5.7)**	**(9.1)**	**(3.2)**	**(45.6)**
Underprovision of taxes in respect of prior years	**–**	**0.1**	**–**	**–**
Combined rate of Kenya/Tanzania taxation	**30.0**	**30.0**	**30.0**	**30.0**

1 This relates mainly to dividend income.
2 This relates to non-deductible expenses in excess of allowed expenses and expenses attributable to non-taxable income at Liberty Kenya Holdings Plc.

The only item that is accounted for in other comprehensive income (OCI) for both 2025 and 2024 is the foreign currency translation reserve which does not attract taxation as it emerges on consolidation of foreign subsidiaries. The foreign subsidiary (Heritage Insurance Tanzania) was disposed in 2025.

35. Cash flow statement notes

35.1 Cash utilised by operations

Reconciliation of total earnings to cash utilised by operations

	Group		Company	
				Restated [1]
KShs m	**2025**	**2024**	**2025**	**2024**
Total earnings	**659**	1 402	**1 465**	125
Adjustments for:				
Interest income on financial assets using the effective interest method	**(808)**	(1 074)	**–**	–
Finance costs	**8**	8	**–**	–
Taxation	**432**	721	**–**	–
Net fund outflows after service fees on financial liabilities investment contracts	**(604)**	(901)	**–**	–
Movement on insurance contracts	**1 855**	1 816	**–**	–
Movement on reinsurance contracts	**460**	486	**–**	–
	2 002	2 458	**1 465**	125
Adjustments for non-cash items:				
Fair value adjustment to financial liabilities under investment contracts	**2 024**	2 154	**–**	–
Amortisation of intangible assets	**131**	89	**–**	–
Depreciation of equipment	**57**	71	**–**	–
Depreciation of right-of-use assets	**17**	36	**–**	–
Accrued interest on amortised cost instruments	**(41)**	(63)	**–**	–
Loss on termination/cancellation of right-of-use asset	**–**	5	**–**	–
Provision for termination/restoration costs on leased assets	**–**	40	**–**	–
Fair value adjustment to financial assets held at fair value through profit and loss	**(5 205)**	(5 962)	**–**	–
Bancassurance obligations	**186**	212	**–**	–
	(829)	(960)	**1 465**	125
Working capital changes:	**160**	47	**22**	35
Prepayments and other receivables	**216**	(38)	**7**	8
Other payables and employee benefits	**(56)**	85	**15**	27
Cash utilised by operations	**(669)**	(913)	**1 487**	160

1 The 2024 comparatives presented in the table above have been restated. Refer to note 42 for further details.

35. Cash flow statement notes (continued)

35.2 Taxation paid

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Taxation receivable at the beginning of the year	**66**	125	**–**	–
Taxation attributable to continuing operations	**(341)**	(499)	**–**	–
Net tax movement attributable to discontinued operations	**–**	(16)	**–**	–
Classified to liabilities relating to assets held for sale	**–**	(19)	**–**	–
Taxation receivable at the end of the year	**(93)**	(66)	**–**	–
Total taxation paid	**(368)**	**(475)**	**–**	**–**

36. Related party disclosures

The group is controlled by Liberty Holdings Limited incorporated in South Africa. The ultimate parent of Liberty Holdings Limited is Standard Bank Group Limited, which is also incorporated in South Africa. There are other companies which are related to Liberty Kenya Holdings Plc through common shareholdings or common directorships.

Liberty Kenya Holdings Plc and its subsidiaries is referred to as 'Liberty' or the 'group'; Liberty Kenya Holdings Plc is referred to as the 'company'; Stanbic Bank Kenya Limited is referred to as 'Stanbic'.

A Key management personnel

Key management personnel have been defined as Liberty Kenya Holdings Plc directors and directors of subsidiary companies.

It is not considered necessary to disclose details of key management family members and their influenced or controlled separate entities. To the extent that specific transactions have occurred between the group and these related parties (as defined in IAS 24) the details are included in the aggregate disclosure contained below under key management and where significant full details of all relationships and terms of the transaction are provided.

A.1 Liberty and subsidiary directors' aggregate compensation paid by the group or on behalf of the group for services rendered to Liberty and its subsidiaries:

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Fixed remuneration	**148**	136	**64**	52
Cash portion of package	**94**	96	**24**	25
Other benefits	**47**	33	**40**	27
Retirement contributions	**7**	7	**–**	–
Variable remuneration awards	**47**	41	**22**	25
Non-executive directors' fees	**48**	49	**22**	20
Total	**243**	226	**108**	97

36. Related party disclosures (continued)

A Key management personnel (continued)

A.2 Entities significantly influenced or controlled by key management

i. Aggregate details of insurance, annuity and investment transactions between Liberty and any subsidiary with key management personnel, their families (as defined per IAS 24) and entities significantly influenced or controlled by key management:

Although premiums and claims as such are not referenced in the statement of comprehensive income under IFRS 17, the cash flows are regarded as a related party transaction and included as such in the tables below.

Insurance products	Aggregate insured cover		Premiums received	
KShs m	2025	2024	2025	2024
Life	**21**	21	**1**	2
Morbidity	**–**		(included in life premiums)	

Investment products	Fund value	
KShs m	2025	2024
Balance at the beginning of the year	**48**	106
Premiums received	**14**	12
Investment return credited net of charges	**6**	14
Commission and other transaction fees	**(1)**	(4)
Claims and withdrawals	**(6)**	(80)
Balance at the end of the year	**61**	48

36. Related party disclosures (continued)

B Ultimate holding company – Standard Bank

B.1 Management services- Liberty Holdings Limited

Liberty contracts certain management and administration services from Liberty Holdings Limited. Fees paid for those services were KShs 179 million (2024: KShs 175 million)

B.2 Outstanding balances with related parties

	Group		Company	
KShs m	**2025**	**2024**	**2025**	**2024**
Receivable from:				
Liberty Life Assurance Kenya Limited	**–**	–	**610**	–
Heritage Insurance Kenya Limited	**–**	–	**21**	11
Liberty General Insurance Uganda Limited	**1**	1	**–**	–
Liberty Life Assurance Uganda Limited	**4**	1	**–**	–
	5	2	**631**	11
Payable to:				
Liberty Holdings Limited (South Africa)	**(31)**	(74)	**(7)**	–
Liberty Life Assurance Kenya Limited	**–**	–	**–**	(7)
Stanbic Bank Kenya Limited	**(1)**	(1)	**–**	–
CFC Investment Limited	**–**	–	**(4)**	(4)
	(32)	(75)	**(11)**	(11)

There were no provisions carried with respect to balances from related parties and no loss allowance was recognised in expense in 2025 (2024: nil).

Outstanding balances are unsecured and are repayable in cash.

36. Related party disclosures(continued)

C Subsidiaries and fellow subsidiaries

C.1 Subsidiaries - directly owned

	Company								
	Amount of issued share capital	Percentage of issued share capital		Shares held		Impairment provision		Intragroup balances	
	KShs m	%		KShs m		KShs m		KShs m	
	2025	2025	2024	2025	2024	2025	2024	2025	2024
Subsidiaries at cost				**3 332**	3 332	**(630)**	(630)	**627**	
Investment holding									
Liberty Life Assurance Kenya Limited	**1 956**	**100**	100	**1 956**	1 956	**–**	–	**610**	(7)
The Heritage Insurance Company Kenya Limited	**742**	**100**	100	**742**	742	**–**	–	**21**	11
Dormant									
CFC Investment Limited	**634**	**100**	100	**634**	634	**(630)**	(630)	**(4)**	(4)

36. Related party disclosures(continued)

D Stanbic Bank Kenya Limited

D.1 Stanbic term deposits

	Group		Company	
	Fair value		Fair value	
KShs m	2025	2024	2025	2024
Summary of holdings and movements				
Holdings at the beginning of the year	**1 324**	1 414	**–**	–
Purchases	**19 036**	15 557	**–**	–
Sales	**(19 408)**	(15 647)	**–**	–
Holdings at the end of the year	**952**	1 324	**–**	–

D.2 Stanbic equity investments

	Group		Company	
	Fair value		Fair value	
KShs m	2025	2024	2025	2024
Summary of holdings and movements				
Holdings at the beginning of the year	**39**	55	**–**	–
Purchases	**66**	5	**–**	–
Sales	**(2)**	(11)	**–**	–
Fair value adjustment	**31**	(10)	**–**	–
Holdings at the end of the year	**134**	39	**–**	–

D.3 Banking arrangements

Summary of cash balances, interest earned and bank charges.

	Group	
KShs m	2025	2024
Summary of cash holdings and movements		
Holdings at the beginning of the year	**934**	860
Net movement	**748**	74
Holdings at the end of the year	**1682**	934
Interest earned	**55**	118
Bank charges	**3**	3

36. Related party disclosures(continued)

D Stanbic Bank Kenya Limited (continued)

D.4 Bancassurance

Liberty has bancassurance business agreements with Stanbic Bank for the sale and promotion of insurance, investment and health products through the Stanbic Bank's Kenya distribution capability. Total premium income in respect of this business in 2025 amounted to KShs 1 928 million (2024: KShs 1 797 million). In terms of the agreements, Liberty's group subsidiaries incurs expenses related to various Stanbic operations. The amounts to be paid are in most cases dependent on source and type of business and are paid along geographical lines. The total bancassurance amounts accrued as payable to Stanbic Bank Kenya for the year to 31 December 2025 is KShs 186 million (2024: KShs 212 million). The bancassurance business agreements are evergreen agreements with a 24-month notice period for termination – as at the date of the approval of these financial statements, neither party had given notice.

D.5 Health risk product

The Heritage Insurance Company Kenya Limited runs a health risk product aimed at employer groups within Kenya. During the year, Stanbic Bank Kenya Limited contracted to use this product as a benefit for their employees. 2025 premium income was KShs 509 million (2024: KShs 605 million). There was a realignment on the cover date resulting in partial renewal in the previous year.

D.6 General short term insurance

Stanbic Bank Kenya Limited contracted to insure with Liberty various short- term insurance risks. 2025 premium income was KShs 233 million (2024: KShs 201 million).

D.7 Commission paid to Stanbic

Liberty pays commission to Stanbic Insurance Agency Limited for insurance policies sold through the bank's distribution channels. The commission paid for the year to 31 December 2025 is KShs 190 million (2024: KShs 222 million).

D.8 Operating lease income

Stanbic Bank Kenya Limited leases a portion of a property from Liberty in Nairobi, total lease receipts for 2025 KShs 6.00 million (2024: KShs 0.28 million).

D.9 Group life and disability

Liberty insures various employee risks of Stanbic Bank Kenya. Premiums received and claims paid are KShs 81 million (2024: KShs 72 million) and KShs 25 million (2024: KShs 15 million) respectively, for the year ended 31 December 2025.

D.10 Custodial services

Custodial fees of KShs 35 million (2024: KShs 42 million) were paid to Stanbic Bank Kenya Limited for services rendered.

37. Commitments

	Group	
KShs m	**2025**	**2024**
Capital commitments		
Equipment and internally generated computer software	**237**	197
Under contracts	**26**	–
Authorised by the directors but not contracted	**211**	197

Capital commitments relate to items of capital nature that directors have authorised but are yet to be acquired. These mainly relate to a new medical system and computer equipment. The above 2025 capital commitments will be financed by available bank facilities, existing cash resources and internally generated funds.

Throughout the group there are various low value item leases for computer equipment. The obligations outstanding at 31 December are not material.

38. Details of non-wholly owned subsidiaries that have significant non-controlling interests

38.1 Summary

		Percentage of ownership interest held by non-controlling interest %		Profit allocated to non-controlling interest KShs m		Accumulated non-controlling interests KShs m	
Name of subsidiary	**Principal place of business**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Heritage Insurance Company Tanzania Limited	Tanzania	**–**	40	**31**	13	**–**	341

Total comprehensive income attributable to non-controlling interest was KShs 6 million (2024: loss of KShs 37 million). Heritage Insurance Company Tanzania Limited was sold in 2025.

39. Events after reporting period

There have been no significant events after the reporting date, being 31 December 2025, to the date of approval of the audited annual financial statements, namely 11 March 2026.

40. Contingent liabilities

As a diverse financial services group operating in ever changing and highly regulated environments, the group has identified certain possible obligations attributable primarily to potential liabilities arising from matters relating to litigation, potential litigation and proceedings relating to customers' claims. The Directors are of the opinion that such litigation will not have a material effect on the financial position or profits of the group and company.

Liberty Life Assurance Kenya Limited (LLK) has outstanding matters with Kenya Revenue Authority (KRA) as a result of an assessment carried out in 2022. The Company raised objections to the assessment at Tax Appeal Tribunal (TAT), the matter was heard by the TAT and in its ruling dated 23 February 2024, the TAT found in favour of LLK on all the matters under consideration. KRA filed an appeal in 2024 and LLK filed a statement of facts in response in 2025. The matter was mentioned in court on 26th November 2025, and judgement is set to be delivered on 2nd April 2026.

Liberty Life Assurance Kenya Limited has an outstanding matter with the Unclaimed Financial Assets Authority (UFAA) following an audit carried out in 2019.The company challenged the audit findings in the same year and the matter has remained unsettled since then.

In the opinion of the Directors, no material liability is expected to arise from the disputed above items.

41. Assets/(liabilities) classified as held for sale

Non-current assets (or disposal groups) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continued use, a sale is considered highly probable and it is available for sale in its present condition. These assets are measured at the lower of carrying value and their fair value less costs to sell, unless they are specifically excluded from the measurement provisions of IFRS 5: Non-current Assets Held For Sale and Discontinued Operations, in which case measured at the lower of their carrying value in accordance with the applicable IFRS. Immediately before initial classification as held for sale, the assets to be reclassified are measured in accordance with applicable IFRS.

Non-current assets (including those that are part of a disposal group) are not depreciated or amortised while they are classified as held for sale. Interest and other expenses attributable to the liabilities of a disposal group classified as held for sale continue to be recognised.

Non-current assets classified as held for sale and the assets of a disposal group classified as held for sale are presented separately from the other assets in the group statement of financial position. The liabilities of a disposal group classified as held for sale are presented separately from other liabilities in the group statement of financial position.

A discontinued operation is a component of the entity that has been disposed off or is classified as held for sale and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale. The results of discontinued operations are presented separately in the group statement of comprehensive income.

41.1 Heritage Insurance Company Tanzania

A sale purchase agreement relating to disposal of the holding shares in Heritage Insurance Company Tanzania had been executed awaiting regulatory approvals by end of 2024. The sale was completed with effect from 31 March 2025. The following assets and liabilities were reclassified as held for sale as at 31 December 2024 and disposed in 2025.

41. Assets/(liabilities) classified as held for sale (continued)

41.1 Heritage Insurance Company Tanzania (continued)

41.1.1 Assets and liabilities of disposal group classified as held for sale

KShs m	2025	2024
Intangible assets	–	6
Equipment	–	18
Deferred taxation	–	58
Right-of-use assets	–	11
Financial instruments	–	162
Reinsurance contract balances	–	3 367
Current taxation	–	19
Prepayments and other receivables	–	164
Cash and cash equivalents	–	1 529
Assets of disposal group classified as held for sale	–	5 334
Lease liabilities	–	7
Insurance contract balances	–	4 062
Other payables	–	411
Liabilities of disposal group classified as held for sale	–	4 480

41. Assets/(liabilities) classified as held for sale (continued)

41.1 Heritage Insurance Company Tanzania (continued)

41.1.2 Financial performance information

The financial performance information presented below are for the three months ended 31 March 2025 (2025 column) and the year ended 31 December 2024:

KShs m	2025	2024
Insurance revenue	**768**	2 884
Insurance service expense	**(450)**	(1 283)
Net insurance service result before reinsurance contracts held	**318**	1 601
Net expense from reinsurance contracts held	**(270)**	(1 472)
Insurance service result	**48**	129
Other income/(loss)	**–**	(22)
Interest income on financial assets using the effective interest method	**–**	115
Fair value adjustment to assets held at fair value through profit and loss	**102**	20
Net investment income	**102**	113
Net finance expense from insurance contracts issued	**(3)**	(88)
Net finance income from reinsurance contracts held	**–**	82
Net insurance finance expenses	**(3)**	(6)
Net insurance and investment result	**147**	236
Other operating expenses	**(37)**	(153)
Finance costs	**–**	(4)
Total profit before tax	**110**	79
Taxation	**(33)**	(47)
Total profit after tax of discontinued operations	**77**	32
Loss on sale of the subsidiary after income tax (see 41.1.3 below)	**(249)**	–
(Loss)/profit from discontinued operations	**(172)**	32
Attributable to shareholders equity	**(203)**	19
Non-controlling interests	**31**	13
Foreign currency translation of discontinued operations	**(65)**	(208)
Other comprehensive income from discontinued operations	**(65)**	(208)

41. Assets/(liabilities) classified as held for sale (continued)

41.1 Heritage Insurance Company Tanzania (continued)

41.1.3 Details of the sale of the subsidiary

The results from the sale of the subsidiary are shown below:

KShs m	2025	2024
Consideration received or receivable:		
Cash [1]	559	–
Interest charges [1]	42	–
Provisional reinsurance debt recovery	16	–
Total disposal consideration before related expenses	617	–
Sale related expenses (legal fees) [1]	(26)	–
Total disposal consideration after related expenses	591	–
Carrying amount of net assets sold	(520)	–
Gain on sale before income tax and FCTR recycling	71	–
FCTR recycling	(217)	–
Taxation on the gain (Tanzania capital gains) [1]	(103)	–
Loss on sale after income tax	(249)	–

1 Net amount of KShs 472 million reflected as proceeds on Disposal of Heritage Insurance Company Tanzania in the statement of cash flows

The carrying amounts of assets and liabilities as at the date of sale (31 March 2025) were:

	31 March 2025
Equipment	14
Intangible assets	7
Right-of-use assets	8
Reinsurance contract balances	3 033
Deferred taxation	53
Prepayments and other receivables	382
Current taxation	1
Financial instruments	151
Cash and cash equivalents	1 637
Total assets	5 286
Insurance contract balances	3 721
Lease liabilities	8
Other payables	690
Total liabilities	4 419
Net assets	867
Equity shareholders	520
Non-controlling interests	347

42. Restatement of 2024 comparative information

Introduction

During 2025, the group undertook a comprehensive review of its disclosure presentation in relation to its ultimate holding company, Standard Bank Group. This resulted in a number of alignment adjustments to the group and company statement of financial position, group statement of comprehensive income, group and company statement of changes in equity, the group and company cash flow statements and annual financial statements disclosures. In addition, the prior year disclosure presentation for a number of notes to the financial statements was updated.

In addition, a few disclosure errors were corrected leading to further restatements of 2024 financial information. A summary of the restatements are detailed below

Group and company statements of financial position

The order of line items in the statements of financial position has been amended to better represent their liquidity profile, arranging from the least liquid to the most liquid.

Further alignment resulted in share capital and share premium (group and company), which were previously disclosed as separate lines, being combined; staff loans receivables and financial investments combined and being presented as financial instruments on the statement of financial position (group). As a result of the latter item, a restated statement of financial position as at 1 January 2024 has been presented. There are no changes to total assets, total liabilities or total equity.

The combined share capital and share premium is now disclosed as a single figure in the Group and Company statement of financial position. The split of share capital and share premium is provided on note 21 to the financials.

Group statement of comprehensive income

Bancassurance obligations of KShs 60 million, which was included in the Total investment income (note 25) has been reallocated to be more accurately included in Net expenses from reinsurance contracts held (note 24). Forex losses of KShs 95 million which was included in the Investment income (note 25) has been moved to Fair value adjustment to assets held at FVTPL. Interest on unit trusts and and a fixed deposit measured at fair value through profit or loss of KShs 70 million have been moved to Fair value adjustment to assets held at FVTPL. This impacted certain sub-totals as highlighted below. There was no change to total earnings.

Group and company statements of cash flows

The total amount of 'Cash paid to policyholders, intermediaries, suppliers and employees' has been split on the face of the statement of cash flows into 'Cash paid to policyholders' and 'Cash paid to intermediaries, suppliers and employees' as part of the Standard Bank disclosure alignment project. In the company statement of cash flows, KShs 24 million was reclassified from cash flows from operating activities to cash flows from investing activities.

42. Restatement of 2024 comparative information (continued)

The tables below summarise the line items and sub totals (as applicable) in the relevant primary statements that have been impacted.

Extracts from statements of financial position

		Group 2024		
		As previously reported	Impact of harmonisation	Restated
Financial instruments	**8.1**	–	28 143	28 143
Financial investments	**8.1**	27 601	(27 601)	–
Staff loans receivable	**8.1**	542	(542)	–
Total assets		**48 149**	**–**	**48 149**

1 Financial investments and staff loans receivable were consolidated into financial instruments to align with the group report presentation.

2 Share capital and share premium previously disclosed as separate lines were combined to align with the group.

Extracts from statement of comprehensive income

		Group 2024		
KShs m	**Notes**	**As previously reported**	**Impact of reclassification**	**Restated**
Net expense from reinsurance contracts held	**24**	**(1 418)**	60	**(1 358)**
Insurance service result		**1 004**	60	**1 064**
Investment income	**25**	(24)	35	11
Interest income on financial assets using the effective interest method	**26**	1 395	(321)	1 074
Fair value adjustment to assets held at fair value through profit or loss	**27**	5 736	226	5 962
Fair value adjustment to financial liabilities	**15.1**	(212)	212	–
Net investment income		**4 741**	**152**	**4 893**
Net insurance and investment result		**2 994**	**212**	**3 206**
Bancassurance obligations	**15.1**		(212)	**(212)**
Profit before taxation		**2 091**	–	**2 091**

1 Reinsurance profit commission of KShs 60 million was reclassified from investment income to net expenses from reinsurance contracts held, to better reflect the underlying nature of the cash flows.

2 Bancassurance obligations of KShs 212 million were reclassified from fair value adjustments to financial liabilities and is presented as a separate line item below the net insurance and investment result.

3 Forex losses of KShs 95 million was reclassified from Investment income to Fair value adjustment to assets held at FVTPL.

4 Interest income on financial assets using the effective interest method of KShs 70 million was was moved to Fair value adjustment to assets held at FVTPL to align with the measurement method.

42. Restatement of 2024 comparative information (continued)

Extracts from statement of cash flows

	Group 2024		
KShs m	**As previously reported**	**Impact of harmonisation**	**Restated**
Cash generated from/(utilised by) operations	**(1 008)**	95	**(913)**
Cash paid to policyholders, intermediaries, suppliers and employees	(17 162)	17 162	–
Cash paid to policyholders	–	(7 049)	(7 049)
Cash paid to intermediaries, suppliers and employees	–	(10 018)	(10 018)
Interest income on financial assets using the effective interest method	**1 395**	(321)	**1 074**
Net disposal/(purchase) of financial instruments	**(1 540)**	226	**(1 314)**

		Company 2024		
KShs m	**Notes**	**As previously reported**	**Impact of reclassificat ion**	**Restated**
Cash flows from operating activities				
Cash generated from/(utilised by) operations	**45.1**	184	(24)	160
Cash paid to policyholders, intermediaries, suppliers and employees		184	(184)	–
Cash paid to intermediaries, suppliers and employees		–	160	160
Cash flows from investing activities				
Movements in loans with subsidiaries	**7.4.2**	–	24	24

Impacts on notes to the financial statements

- *Note 2 - Segment information.*
  Disclosure related to segment earnings by business unit has been enhanced to include the full statement of comprehensive income and was restated to align to the change in presentation for the profit share commission in the statement of comprehensive income as above.

- *Note 35.1 - Cash utilised by operations*
  To align with the group, management re-considered the disclosure of movements in IFRS 17 balances (movements on insurance contracts and movements on reinsurance contracts) and has moved them out of the "Adjustments for non-cash items" section to the "Adjustments" section in order to appropriately reflect the nature of the line item.

Other disclosure enhancements

As part of the alignment with Standard Bank disclosures, disclosure has been enhanced to include, where applicable, the current and non-current portion of statement of financial position line items within the various notes.

Risk management

for the year ended 31 December 2025

Risk categories	Risk governance	
Strategic and business Section 2	**First line of defence** Business areas	• Manage day-to-day risk origination and management in accordance with risk policy and strategy • Identify and assess risks and implement management's response • Report and escalate material risks and issues to governance bodies • Track losses and implement remedial actions
Insurance Section 3		
Market Section 4	**Second line of defence** Compliance, risk and actuarial functions and statutory actuaries	• Provide oversight of and challenge to the first line of defence • Propose and champion implementation of risk policy and strategy • Provide assurance to board and regulators
Credit Section 5		
Liquidity Section 6	**Third line of defence** Independent assurance providers – internal and external audit, statutory actuaries and other independent service providers	• Provide assurance over effective functioning of the first and second lines of defence functions including independent assessment of the adequacy and effectiveness of the risk management framework
Non-financial Section 7		

1. Enterprise risk management

1.1 Overview

Liberty has adopted an Enterprise Risk Management (ERM) approach which enables the group to consider the potential impact of risks on stakeholders. Liberty's risk management framework is substantially based on the ERM principles embodied in the Insurance Regulatory Authority and Solvency II frameworks.

Liberty's risk processes consider both internal and external environments, and their impact on customers, shareholders and other stakeholders.

Liberty's significant risk categories are strategic and business, insurance, market, credit, liquidity and non-financial risk. Risks are controlled at the level of individual exposures and at portfolio level.

The group's strategic plans are subject to consideration of the trade-off between risk and reward, taking into account the risk appetite and risk target statements approved by the board.

Systems to quantify insurance, market, credit and liquidity risk are in place. Non-financial risks are addressed through qualitative assessment and analysis of exposures, incidents and effectiveness of mitigating controls. Information in respect of the management of each of these risk categories follows in sections 2 to 7.

The management of concentration risk is critical across many of the significant risk categories. Information on the key concentration risks follows in section 8.

Section 1.7 Capital management indicates the group's ability to cover its regulatory capital requirements.

The board ensures that all business unit executives are responsible and are held accountable for risk management within all operations. Liberty's risk management system is functioning effectively and the group continues to be managed within risk appetite.

1.2 Risk strategy

Liberty's approach to risk management places consideration of risk as a focal point in its business activities. This enables the business to make informed risk-based decisions and manage expected returns by selecting the risks it is willing to assume. Liberty's risk strategy is integrally linked with its business strategy, with risk mitigating actions designed to improve the prospects of achieving the business goals.

1. Enterprise risk management (continued)

1.2 Risk strategy (continued)

Risk strategy	Business strategy link
Liberty's risk philosophy is to ensure the sustainable growth of its business, by encouraging profitable risk-taking and ensuring that it operates within risk appetite. Liberty's risk preferences are classified according to: • risks that the group actively seeks as a result of being in the business of underwriting and managing risks (i.e. insurance, market, credit and liquidity risks), all of which are viewed as value-enhancing; and • risks that are not actively sought but arise as a consequence of being in business and will be managed to an acceptable level to protect value (i.e. non-financial, strategic and business). All other risks are avoided as far as possible.	Liberty's strategy provides clear direction for management, with detailed objectives being constructed. Risk preferences are considered in the formulation of the strategy, objectives, and in any supporting operational capabilities that are built. Impacts of decisions taken during the formulation and execution of these objectives are considered against the planned risk profile, and form part of the broader feedback loop of business decision-making (with particular attention paid to the extent that a decision may shift the group outside risk appetite).

1.3 Risk appetite

Definition

Risk appetite is an expression of the amount or type of risk that Liberty is willing to take in pursuit of financial and strategic objectives, reflecting its capacity to sustain losses and continue to meet its obligations under both normal and a range of stress conditions.

The risk tolerance limit is defined as the maximum amount of risk Liberty is prepared to tolerate. The risk target range is defined as the amount of risk Liberty aims to take within which to optimise returns.

The risk target range is set at a level that allows for the achievement of long-term targeted returns and targeted enterprise value while keeping the possibility of risk tolerance breaches at acceptable levels.

Liberty's risk profile is monitored continuously with full bottom-up assessments being performed quarterly and reported to management and the board's risk oversight committees. Consideration is given to the risk profile relative to risk limits in determining whether specific management actions are required.

Determining risk appetite

The setting of the risk appetite levels is based on stakeholder input and fundamentally driven by the requirement to deliver very high levels of financial security for customers through appropriate maintenance of the group's ongoing solvency. The dual, and at times conflicting, objectives of creating shareholders' equity and minimising risks are controlled through these limits.

Consideration is also given to the strategic, working capital and regulatory capital requirements of the group.

Management is tasked with conducting Liberty's business at the targeted risk levels to ensure that the planned optimisation of returns is achieved. Insufficient risk taken, where value enhancing opportunities exist, is also considered to be undesirable.

Risk dimensions and measurement

The company's risk appetite statement is regularly reviewed to ensure its appropriateness to business objectives. Risk appetite is measured across the following risk dimensions:

- IFRS Accounting Standards headline earnings at risk: This is a measure of the fall in IFRS Accounting Standards headline earnings over the next year expected in a moderate stress event (i.e. '1 in 10' year event) relative to forecast IFRS Accounting Standards headline earnings over the next year.
- Regulatory capital coverage: This is a measure of the number of times the excess assets available on the regulatory basis covers the regulatory minimum capital requirement. This minimum multiple is determined using a risk-based approach and is reviewed for its continued appropriateness annually.
- Economic value at risk: This is an internal risk measure assessing the loss in the economic value of in-force business at a point in time as a result of an extreme stress event (i.e. '1 in 200' year event) expressed as a proportion of the current economic value of the company. On the economic basis, assets and liabilities are measured as the amounts for which they can be exchanged, transferred or settled between knowledgeable willing parties in an arm's length transaction

1. Enterprise risk management(continued)

1.3 Risk appetite (continued)

Liberty's risk profile is monitored continuously with full bottom-up assessments being performed quarterly and reported to management and to the Board. Consideration is given to the risk profile relative to risk limits in determining whether specific management actions are required.

1.4 Risk management framework

Effective application of the risk management framework is achieved through processes and operational requirements which have been translated into a comprehensive series of risk management policies, procedures and guidelines. These reflect the overall commitment to risk management, stipulating the required direction and the parties responsible for implementation. Risk identification, management approaches and controls are independently reviewed by the second line risk and compliance functions as well as third line internal audit function.

1.5 Governance of the risk management system

The board is ultimately accountable for the effective governance of risk management. It is the responsibility of the board to ensure that clearly defined risk management roles and responsibilities for the Liberty chief executive (supported by the operating subsidiary executive committees), sub-committees and key functions are in place. Liberty's governance structures and processes provide sound and prudent management and oversight of the group's businesses in the interest of clients, the shareholder, and other stakeholders. The structures and processes support and enhance the ability of those responsible for the governance of Liberty (the board, senior management and heads of control functions) to manage Liberty's business effectively.

1.6 Understanding and managing Liberty's risks

1.6.1 Risk identification and assessment process

Liberty has a clearly defined business strategy, making it possible to identify events that would hinder the business from achieving its objectives as well as identifying opportunities that might assist the business in advancing towards or achieving its objectives. Risks that could threaten the business model, strategy and sustainability are identified and assessed through a top-down risk identification and assessment process. In addition, risks identified through the business areas strategic planning processes and business management processes provide a bottom-up view.

1.6.2 Risk measurement process

To aid in the understanding of risk, various risk metrics are quantified on a regular basis and assessed against triggers, limits, risk target ranges and ultimately risk appetite. In addition, comprehensive scenario analysis is undertaken. A range of scenarios, covering different levels of severity and plausibility, are considered as part of the stress testing system. The scenarios are forward-looking over the same period as the business planning horizon and focus on both macro-economic and insurance-driven events.

1.6.3 Risk management process

Where Liberty accepts a risk within its strategy, it may still want to limit its exposure to an acceptable level via various mitigants such as underwriting, reinsurance, financial and non-financial controls, hedging and asset allocations.

Once the level of risk that Liberty is willing to take has been set by the board and the risks have been assessed, management is better able to determine the mitigation strategy deemed to be the most effective. The chief risk officer (CRO) considers risks both gross and net of risk mitigation in the oversight of the risk management system.

Mitigants used depend on the risk type. The mitigants are subject to oversight by the second line of defence, and controls are audited by the third line. Risk specific mitigation methods are covered in later sections

1.6.4 Liberty's top risks

The top risks process is a top-down risk identification and assessment process, which provides the business with another lens with which to identify the risks that could prevent the organisation from achieving its business objectives. Top risks are defined as elevated, material risks potentially materialising within a relatively short time frame and are currently on the minds of the board of directors and executives. This spans all risks faced across the business and may include strategic as well as operational risks.

1. Enterprise risk management (continued)

1.6 Understanding and managing Liberty's risks (continued)

1.6.4 Liberty's top risks (continued)

Top risks

Risk description	Management actions
Classification: • Strategic and business risk • Insurance risk	Management is focussing on: • enhancing the customer and adviser experience at points of delivery; • enhancing intermediary experience through servicing and tools; and.
Erosion of the Liberty brand Classification: • Strategic and business risk	• building loyalty and increasing customer confidence in our brand. • introducing new solutions and enhancing existing solutions to constantly meet the need of chosen market segments.
Long term insurance business sustainability and cost efficiency Classification: • Strategic and business risk	• Review target operating model to improve efficiency. • Replace legacy administration systems with modern, digital solutions. • Adjust product propositions to meet customer needs. • Increase premium income by optimising partnerships and distribution channels.
Poor investment performance relative to customer expectations Classification: • Strategic and business risk • Non-financial risk	• Liberty continues to enhance investment capabilities. • Investment propositions offered are being reviewed, simplified, and adapted to be more attractive to customers. • There is increased focus on having access to top investment professionals, ensuring that the right mandates are in place and in monitoring performance.
Substantial complexity arising from inadequate legacy management, inadequate control environment for new initiatives and an evolving regulatory landscape. Classification: • Strategic and business risk • Non-financial risk	Complexity reduction remains a key strategic consideration for all initiatives. Management has rationalised several products and systems in recent years, reducing associated operational complexity and risk. Liberty continues to develop strategic responses to new and emerging regulation, has adopted a full compliance policy, and encourages regulation to be applied in a fair and consistent manner.
Disruption to the insurance business model and inability to adapt in an agile manner Classification: • Strategic and business risk • Non-financial risk	Liberty continues to drive initiatives that will ensure it remains future fit and operates effectively in the evolving external operating environment.

1. Enterprise risk management (continued)

1.6 Understanding and managing Liberty's risks (continued)

1.6.4 Liberty's top risks (continued)

Top risks (continued)

Risk description	Management actions
Instability in the Kenya socio-political & economic environment by aggravated global uncertainties. Classification: • Insurance risk • Market risk • Credit risk • Non-financial risk	Liberty is managing its exposure to long-term Government debt and reviewed key investment products providing guarantees. Liberty maintains a strong capital position and manages its asset/liability matching position within risk limits. In addition, Liberty performed stress tests during the course of 2024 which included, upper end mortality outcomes, scenarios of negative economic impact in Kenya and distressed financial markets to ensure capital and business sustainability for the potential impacts on the business. A focus on advancing liquidity management has been introduced.
Data risk Classification: • Non-financial risk	Liberty has established a robust data and information management capability and continues to enhance governance in this regard.
Inadequate cyber security and resilience Classification: • Non-financial risk	Investment continued to enhance Liberty's cyber security and update plans based on changes to the threat landscape and technology enhancements.
Weaknesses in operational, IT, financial and accounting processes may lead to incorrect decision making and/or reporting Classification: • Non-financial risk	Simplification and automation initiatives as well as enhancements which increased the granularity of financial controls have contributed to mitigating this risk. Management has driven a number of initiatives in 2024 to enhance risk practices and risk culture by embedding risk management in business processes. Ongoing alignment to the broader Liberty Group IT architecture is underway.

1. Enterprise risk management (continued)

1.6 Understanding and managing Liberty's risks (continued)

1.6.4 Liberty's top risks (continued)

Emerging risks

The following emerging risks have been identified as relevant to Liberty's business and pose both risks and present opportunities:

- Multipolar world order: Geopolitical shifts towards a multipolar world order where China and India emerge as global superpowers alongside the United States and the European Union, giving rise to risks and opportunities;
- The rise of Artificial Intelligence (AI) and other innovative technologies: The unprecedented growth in AI and other innovative technologies presents significant risks and opportunities to businesses and society at large. The risks include job displacement, lack of transparency, security risks, ethical concerns (including bias, discrimination and manipulation), increased inequality, and potentially longer-term existential risks; and
- Breakdown of critical infrastructure: In many regions of the world, there is a chronic failure to adequately invest in, upgrade and secure infrastructure networks such as electricity provision, water supply, or transport infrastructure. The lack of capacity, or outages, has a negative impact on societies where Liberty operates. These risks are potentially exacerbated depending on the policy coherence and execution capacity of the government.
- Climate change: The direct physical impact of climate change as well as the second order impact of transitioning to a low carbon economy presents risks and opportunities to Liberty. Changing stakeholder demands, including ESG-related issues, are considered as part of a group-wide approach to managing climate change risk.

Emerging risks involve a high degree of uncertainty (i.e. timeframe and severity). The group continually investigates the potential risks to identify threats and opportunities associated with these risks to inform the appropriate actions.

1.7 Capital management

1.7.1 Capital management strategy

The capital management strategy seeks to ensure that the group is adequately capitalised to support the risks assumed by the group in accordance with the group's risk appetite. It further seeks to fund working capital and strategic requirements, thereby protecting policyholder and customer interests while optimising shareholder risk adjusted returns and delivering in accordance with the group's dividend policy.

Due to varying requirements of different stakeholders, the group reports and manages capital on several different bases. The capital management process ensures that the group's available capital exceeds the capital required both currently and going forward and to ensure that the group always has unfettered access to its capital to meet its requirements.

Company

The company's objective in capital management is to safeguard its ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the company may limit the amount of dividends paid to shareholders, issue new shares, raise loan funding or sell assets to reduce debt.

Liberty Kenya Holdings company activities are restricted to shareholder transactions and oversight of the operating subsidiaries. There is no regulatory required capital as such, but funding and liquidity requirements are managed through access to dividend flows in respect of excess capital generated through the operating subsidiaries as well as access to borrowing options under the directors' authority as required.

Group

The subsidiaries are regulated by the Kenyan Insurance Act, 1987; Companies Act, 2015; as well as regulations issued by the Kenya Retirement Benefit Authority and Insurance Regulatory Authority.

The objectives when managing capital are to:

- comply with the capital and solvency requirements as set out in the Kenyan Insurance Act, 1987.
- safeguard the companies' ability to continue as going concerns, so that they can meet policyholder commitments and benefits for other stakeholders; and
- provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

1. Enterprise risk management (continued)

1.7 Capital management (continued)

The Kenyan Insurance Act, 1987 requires general insurance companies to hold a minimum level of paid up capital of KShs 600 million from 30 June 2020 and maintain a minimum required solvency ratio of 200% from 31 December 2020.

Long-term insurance businesses in Kenya are required to hold minimum paid up capital of KShs 400 million from 30 June 2020 and to maintain a solvency ratio of 200% from 31 December 2020.

These requirements have been met by Liberty Life Assurance Kenya Limited and Heritage Insurance Kenya Limited. Kenya's sovereign risk has increased over the past two years. Sovereign developments and default risk are being monitored by the Board and Investment Committees.

Available capital is the amount by which the value of the assets exceeds the value of liabilities, both measured on a prescribed basis. The group ensures that available capital is of suitable quality and is accessible when required.

The capital buffer is the amount by which available capital exceeds the solvency capital requirement of the group. The capital buffer is managed to support risk target levels, strategic initiative requirements and the dividend policy of the group. The group's dividend policy takes cognisance of capital requirements at a group level. Similarly, all dividends sourced from regulated entities are only approved where they do not compromise capital adequacy at each legal entity level.

The group's capital position is reported quarterly to the board. The board considers reports from the head of the actuarial function and appointed statutory actuary before dividends are declared by Liberty Kenya Holdings Plc subsidiaries.

In 2024, both Kenyan subsidiary insurance companies received the highest possible credit rating of AA. This further reinforces the sound capital and liquidity management of the companies.

1.7.2 Available capital

The group is largely funded through ordinary share equity which is the highest quality of capital available to protect policyholders.

Available capital and solvency capital requirements

The following tables summarise the available capital (or "own funds") and the solvency capital requirements ("SCR") for the group's insurance licensed subsidiaries.

	Long-term business	
Liberty Life Assurance Kenya Limited	**2025**	**2024**
Available capital (or "own funds") (KShs m)	**3 301**	2 557
Solvency capital requirement (SCR) (KShs m)	**1 352**	1 294
SCR coverage ratio (times)	**2.44**	1.98
Target SCR coverage ratio (times)[1]	**2.25-3.00**	2.0-3.0

1 The target solvency range is set at a level, which once sustainably attained, the company will consider paying dividends.

	Short-term business	
Heritage Insurance Company Kenya Limited	**2025**	**2024**
Available capital (or "own funds") (KShs m)	**4 966**	5 539
Solvency capital requirement (SCR) (KShs m)	**1 053**	1 229
Solvency ratio (times)	**4.66**	4.51
Target SCR coverage ratio (times)	**2.25-3.00**	2.5-3.5

2. Strategic and business risk

2.1 Definition

Strategic and business risk is the risk of business plans and strategies being inadequate to prevent financial loss or protect Liberty's competitive position and shareholder value.

2.2 Approach to managing and monitoring of Strategic and business risks

Liberty strives to limit strategic and business risk by balancing its stakeholders needs and engaging in profitable risk taking and value enhancing activities as well as ensuring that it does the right business the right way and manages its financial resources responsibly and has the evidence to show this. The aggregated risk profile, which considers risks identified via the top-down and bottom-up processes, is monitored and reviewed by the various audit and risk committees with actions driven by management structures.

3. Insurance risk

3.1 Overview

Insurance risk arises due to uncertainty regarding the timing and amount of future cash flows from insurance contracts. This could be due to variations in mortality, morbidity, retrenchment, policyholder behaviour or expense experience in the case of life products, and claims incidence, claim severity or expense experience in the case of general insurance products.

These could have adverse impacts on earnings and capital if different from those assumed.

3.2 Ownership and accountability

The management and staff in all the group companies accepting insurance risk are responsible for the day-to-day identification, analysis, pricing, monitoring and management of insurance risk. It is also management's responsibility to report any material insurance risks, risk events and issues identified to senior management through pre-defined escalation procedures.

The statutory and appointed actuaries, where applicable, and heads of risk in the subsidiaries provide independent oversight of compliance with group's risk management policies and procedures and the effectiveness of the group's insurance risk management processes.

There are committees in place responsible for managing all aspects of insurance risk. These committees are:

- Group audit and risk committee;
- Subsidiary audit and risk committees; and
- Joint actuarial committee supporting the subsidiary audit and risk committees.

The functions of the various committees responsible for managing insurance risk include:

- recommending insurance risk related policies for approval and ensuring compliance therewith;
- ensuring that insurance risk is appropriately controlled by monitoring insurance risk triggers against agreed limits and /or procedures;
- gaining assurance that material insurance risks are being monitored and that the level of risk taken is in accordance with risk appetite at all times;
- considering any new insurance risks introduced through new product development or strategic development and how these risks should be managed;
- monitoring, ratifying and/or escalating to the respective company boards all material insurance risk-related breaches/excesses and highlighting the corrective action undertaken to resolve the issue;
- monitoring insurance risk capital requirements as they apply to the management of the group and its subsidiaries' balance sheets; and
- approving the reinsurance, underwriting and claim management strategies and overseeing the implementation of those strategies.

3. Insurance risk (continued)

3.2 Ownership and accountability (continued)

The statutory and appointed actuaries, provide oversight of the insurance risks undertaken by the insurance entities within the group in Kenya by:

- providing an opinion at least annually on the financial soundness for each entity;
- overseeing for each entity the setting of assumptions in accordance with the assumption setting policy;
- providing for each entity an opinion on the actuarial soundness of premium rates in use for new business, and on the profitability of the business, taking into consideration the reasonable benefit expectations of policyholders and the associated insurance and other risks;
- provide for each entity a financial condition report which is a regulatory report where they provide their opinion and recommendations on all aspects of risk and risk management in the entity; and
- reviewing for each entity the appropriateness of risk mitigation measures in place and proposed such as in the reinsurance arrangements, the investment strategy and in new products or product enhancements.

3.3 Risk identification, assessment, measurement and management

Risk management takes place prior to the acceptance of risks through the product development and pricing processes and at the point of sale. Risks continue to be managed through the measurement, monitoring and treatment of risks once the risks are contracted.

3.3.1 Insurance risk sensitivities

The group's earnings and available capital are exposed to insurance risks through its various insurance operations. Assumptions are made in respect of the insurance risks in the measurement of insurance contract liabilities.

Sensitivities indicating the impact of changes in key assumptions related to life insurance risks have been prepared by applying stresses at the financial position date. The life insurance sensitivities chosen have been calibrated to moderately severe (1-in-10 year) stresses.
For general insurance risks, a stress applied to the size of the liability for incurred claims (LIC) is provided in this section. The table in section 3.4.5 General insurance underwriting risk depicting the revenue by class of general insurance business, can inform the sensitivity of revenue for a chosen level stress by class.

Except where the impact of the sensitivity is not largely linear, single direction sensitivities have been supplied. Each of the presented sensitivities is applied in isolation with all other assumptions left unchanged.
The sensitivities are applied to contracts measured under IFRS 17 Insurance Contracts and do not apply to policyholder contracts measured under IFRS 9 Financial Instruments.

For long-dated contracts, the impact on the attributable profit calculation allows for the change in the fulfilment cash flows (including the risk adjustment) of the contracts under the stress net of the impact to the applicable CSM. The calculation differentiates between changes in long-term insurance assumptions which would be accounted for through the CSM, as opposed to stressed in-year cash flows, such as higher death payments in a mortality epidemic event, which would flow directly to attributable profit. For short-contract boundary life business, measured under the premium allocation approach (PAA), the impacted cash flows are stressed over the next 12 months. The sensitivities are applied as a level percentage change in future expectation in relation to the relevant variable.

The life insurance expense sensitivity is limited to directly attributable expenses used in best estimate cash flow modelling of insurance contracts and will not include the full recurring expense base of the business operations.

Separate life insurance sensitivities are provided where the stresses are applied over the contract term, as well as stresses applied only during the next 12 months.

The gross and net of reinsurance impacts on shareholder equity and attributable profit in the table have been presented after allowing for CSM adjustments. The impact on the CSM, increase or (decrease) is also included in the table to provide additional insight as to the CSM dynamics and the resultant effective deferral of the impact on attributable profit to future years.

3. Insurance risk (continued)

3.3 Risk identification, assessment, measurement and management (continued)

3.3.1 Insurance risk sensitivities (continued)

		2025		
		Impact on ordinary shareholders' equity and attributable profit after taxation		Impact on CSM
	Change in variable[1]	Gross of reinsurance	Net of reinsurance	(net of reinsurance and taxation)
Assumption description	**%**	**KShs m**	**KShs m**	**KShs m**
Insurance assumptions: Stress over contract term				
Mortality - insured lives	+2.5	**(5.9)**	**(3.6)**	**(22.8)**
Longevity - annuitants	+6.5 [2]	**(0.2)**	**(0.2)**	**(0.9)**
Morbidity	+4	**(4.8)**	**(0.3)**	**(12.7)**
Withdrawals	+4	**10.6**	**11.5**	**32.4**
	-4	**(8.0)**	**(8.9)**	**(28.5)**
Expense per policy	+5.5	**(59.5)**	**(59.5)**	**(36.4)**
Insurance assumptions: Stress the next 12 months only				
Mortality - insured lives	+11	**(56.2)**	**(46.1)**	**(28.3)**
Morbidity	+19	**(38.7)**	**(27.7)**	**(31.6)**
Withdrawals	+20	**(5.3)**	**(0.8)**	**15.0**

[1] Life insurance sensitivities reflect 1-in-10 year stresses.

[2] Annuitant life expectancy increases i.e. annuitant mortality reduces. Profits are expected under the longevity sensitivity due to the CSM absorption of the stress impact calculated at locked-in discount rates exceeding the stress impact calculated at current discount rates.

3. Insurance risk (continued)

3.3 Risk identification, assessment, measurement and management (continued)

3.3.1 Insurance risk sensitivities (continued)

	2024			
		Impact on ordinary shareholders' equity and attributable profit after taxation		Impact on CSM (net of reinsurance and taxation)
	Change in variable[1]	Gross of reinsurance	Net of reinsurance	
Assumption description	%	KShs m	KShs m	KShs m
Insurance assumptions: Stress over contract term				
Mortality - insured lives	**+4.5**	(35.3)	(31.5)	(17.1)
Longevity - annuitants	**+6.5** [2]	(0.3)	(0.3)	(1.6)
Morbidity	**+10**	(43.8)	(34.9)	(3.3)
Withdrawals	**+10**	(16.1)	(15.1)	3.3
	-10	46.0	45.6	(45.0)
Expense per policy	**+5.5**	(52.8)	(52.8)	(48.5)
Insurance assumptions: Stress the next 12 months only				
Mortality - insured lives	**+10**	(56.9)	(48.4)	(20.2)
Morbidity	**+19**	(82.4)	(65.6)	(3.4)
Withdrawals	**+21**	(5.5)	(4.8)	4.1

[1] Life insurance sensitivities reflect 1-in-10 year stresses.

[2] Annuitant life expectancy increases i.e. annuitant mortality reduces. Profits are expected under the longevity sensitivity due to the CSM absorption of the stress impact calculated at locked-in discount rates exceeding the stress impact calculated at current discount rates.

3. Insurance risk (continued)

3.3 Risk identification, assessment, measurement and management (continued)

3.3.1 Insurance risk sensitivities (continued)

The following table indicates the relative contribution for life insurance risks by reportable group to the aggregate of shareholder equity and CSM by sensitivity. If the impact is not applicable or very low for that reportable group the table has been left blank.

	Sensitivity				
Reportable Group	**Mortality**	**Longevity**	**Morbidity**	**Withdrawals**	**Expense per policy**
Life insurance contracts measured under GMM	High		High	High	High
Life insurance contracts measured under PAA	Medium		Medium	Low	Low
Life annuities measured under GMM		Low			Low
Life participating contracts measured under VFA				High	High

On reportable groups with short contract boundaries, particularly PAA contracts, the impact in respect of underwriting, withdrawal and expenses is lower for a given sum assured as the group is able to review prices in the short term. However, in the longer term, high retention rates and control of expenses on short boundary contracts are important for the continued viability of these products.

3. Insurance risk (continued)

3.3 Risk identification, assessment, measurement and management (continued)

3.3.2 Insurance exposure by reportable group

The following table provides a measure of insurance exposure by reportable group.

2025	Insurance revenue KShs m	Net of ceded insurance revenue[1] KShs m
Life insurance contracts measured under GMM	**495**	**480**
Life insurance contracts measured under PAA	**1 840**	**1 613**
General insurance non-medical measured under PAA	**5 034**	**3 326**
General insurance medical measured under PAA	**3 616**	**3 070**
Contracts with material insurance underwriting risk	**10 985**	**8 489**
Life participating contracts measured under VFA	**898**	**898**
Total insurance contracts	**11 883**	**9 387**
2024		
Life insurance contracts measured under GMM	306	297
Life insurance contracts measured under PAA	1 652	1 437
General insurance non-medical measured under PAA	4 932	3 523
General insurance medical measured under PAA	3 261	2 006
Life contracts with material insurance underwriting risk	10 151	7 263
Life participating contracts measured under VFA	799	799
Total insurance contracts	10 950	8 062

1 Insurance revenue less "Reinsurance expense before recoveries" as per note"Net expense from reinsurance contracts held".

3. Insurance risk (continued)

3.3 Risk identification, assessment, measurement and management (continued)

3.3.3 Approach to managing insurance risk

Within insurance product pricing and in the measurement of insurance and reinsurance contracts, assumptions are made on underwriting, policyholder behaviour and expenses in determining best-estimate cash flows. Risk adjustments are added to the best estimate liabilities to reflect the level of expected uncertainty in the best estimate assumptions and the required risk adjustment.

For pricing purposes, such risk adjustments are also added to the best estimate liabilities so that the new business value appropriately reflect the expected value to be generated after allowing for an appropriate level of compensation for the risks that are being borne.

The uncertainty in the insurance assumptions is also reflected in the regulatory capital requirements of the insurance entities.

Risk management through product development, pricing and at the point of sale

The product development and pricing process defines the terms and conditions on which the risks will be accepted. Once a policy has been sold, the risk is accepted for the duration of the contract and the terms and conditions of the policy cannot be unilaterally changed except where the policy allows for rate reviews. The product development and approval processes ensure that:

- clients' needs and expectations will be met by the product;
- risks inherent in new products are identified, assessed and measured and stress tests are performed to enhance understanding of the inherent risks and appropriateness of potential mitigating actions;
- pricing is adequate for the risks undertaken;
- product design and pricing takes account of all product features, terms and conditions;
- reinsurance is used to reduce exposures to some insurance risks;
- the controls required to manage each product in accordance with risk appetite are identified and established; and
- post-implementation reviews are performed to ensure that intended outcomes are realised and to determine if any further action is required.

Risk management post-implementation of products and of in-force policies

The management of insurance risk is effectively the management of deviations of actual experience from the assumed experience on which products were priced. The risk is that these earnings are less than expected due to adverse actual experience.

Experience investigations are conducted on insurance risks to ascertain the reason for deviations from assumptions and their financial impacts. Adjustments to assumptions are made if considered appropriate to better reflect expected future experience and are used to inform the product development and pricing process.

Insurance risk exposure is monitored against any limits set. Further, insurance risk stresses are assessed and reviewed against risk tolerance limits, risk appetite triggers and risk targets and are included in processes to assess current and future financial conditions. Mitigating actions are developed for any risks that fall outside of management’s assessment of risk appetite in order to reduce the level of risk to within the approved appetite limits. Key risk indicators are used to enhance the monitoring and mitigation of insurance risks and facilitate insurance risk reporting.

Although risk adjustments, capital requirement and risk appetite and tolerance limits are in place in recognition that the actual experience may differ from expectations, part of ongoing insurance risk management is implementing controls to help ensure the actual experience is financially favourably within the assumptions made.

This ongoing management of insurance risk, once the risk has been contracted, includes the management of costs; premium adjustments where permitted and appropriate; management strategies and training of sales staff to encourage customers to retain their policies; and appropriate claims management. The identification of emerging risk and threats to insurance risks also forms part of this ongoing management.

3. Insurance risk (continued)

3.3 Risk identification, assessment, measurement and management (continued)

3.3.3 Approach to managing insurance risk (continued)

Feedback from customers is regularly considered to ensure that sales processes are delivering the right results for customers, that the contracts remain appropriate for their needs in the years after sale and that those customers considering abandoning or surrendering their contracts are fully informed about the consequences of their choice.

Insurance risks are reported to business area executive committees and raised to relevant risk committees that convene quarterly for review and discussion. Major insurance risks identified are escalated to the relevant board or board-sub committees.

3.4 Underwriting risk

Adverse financial impact caused by future demographic or claims incidence experience exceeding the expected experience. Underwriting risks include, among others, mortality and morbidity risks, longevity risks and general insurance claims incidence and severity risks.

The primary purpose of underwriting is to ensure that an appropriate premium is charged for each risk and that cover is not offered to uninsurable risks.

Underwriting risks are risks that are core to the insurance business. The business continues to monitor and gain insight from its experience to drive appropriate management actions in underwriting, claims and pricing and to react timeously to ensure appropriate risk selection.

The business uses its specialist skills (with assistance from reinsurers when considered necessary) to enhance risk selection for the assessment, pricing and management of these risks to generate appropriate shareholder returns. These risks are diversified by exposure across many different lives, geographies, and product types and will generally be retained if they are within risk appetite.

There is a risk that risk selection capabilities fall behind those of competitors. The business continues to maintain specialist skills and to actively drive specific risk selection initiatives to counteract this risk.

The following processes and procedures are in place to manage underwriting risk:

3.4.1 Pricing

Premium rates are differentiated by factors which have been determined to have a significant impact on underwriting claim experience taking into account current market dynamics. Premium rates and product designs are updated when required.

Prior to taking on individual risk policies, appropriate underwriting processes are conducted which influence pricing on the policy prior to acceptance.

Actual claims experience is monitored regularly so that deteriorating experience can be timeously identified. Product pricing and the measurement of insurance contract liabilities are changed if the deteriorating experience is expected to continue and cannot be mitigated. Detailed underwriting risk investigations are conducted at least annually for key products.

Developing insights to improve risk selection will continue so as to manage new business experience appropriately within pricing and long-term expectations where relevant.

3.4.2 Claims management

For mortality, claims are validated against policy terms and conditions.

For morbidity and retrenchment, experienced claims assessors determine the merits of the claim in relation to the policy terms and conditions.

For annuities, claims management ensures that annuitants are still due payment by verifying that annuitants are still alive. In the case of income disability annuitants, claim management ensures the continued eligibility for monthly income and includes interventions that may result in the full or partial medical recovery of the claimant. The actual disability experience is highly dependent on the quality of the claims management.

3. Insurance risk (continued)

3.4 Underwriting risk (continued)

For general insurance claims, experienced claim assessors are used to assess the validity of claims and claim amounts payable in relation to the policy terms and conditions.

3.4.3 Reinsurance

Reinsurance is used to reduce underwriting risk exposure to: a particular line of business; a particular individual; a single event; and to benefit from the risk management support services and technical expertise offered by reinsurers. Existing life reinsurance arrangements include proportional reinsurance (quota share and surplus type arrangements) on both a treaty and facultative basis and catastrophe reinsurance which is renewed annually. Catastrophe reinsurance excludes certain events such as epidemics, pandemics and radioactive contamination. Capital is held for these risks. For general insurance both proportional and non-proportional arrangements are used with retention levels and catastrophe cover levels varying by line of business.

Regular reviews, which consider risk appetite, are conducted on reinsurance arrangements for new business. On insurance risks measured under GMM, given that the proportion of reinsurance is fixed for life at inception of the policy, the overall reinsurance result is heavily influenced by historic reinsurance arrangements. Conversely, on insurance risks measured under PAA where underlying policyholder benefits are typically annually renewable, reinsurance is annually renewable and the reinsurance result reflects the performance of recent arrangements.

Reinsurance credit risk arises where a portion of risk is ceded to another insurer or reinsurer. The management of reinsurance credit risk forms part of broader credit risk management.

3.4.4 Life underwriting risk

Pricing and underwriting revisions are regularly made to reflect the latest outlook in relation to life risks to optimise profitability and maintain competitiveness.

The following classes of life underwriting are covered:

- Mortality risk

Adverse financial impact due to actual mortality (death) claims being higher than expected.

There is a risk that mortality increases in the long-term from a multitude of factors (e.g., deteriorating health trends, deteriorating health care, climate-change related excess deaths, increasing frequency of disease). However, to the extent that the emergence of this risk can be identified early, part of this risk can be mitigated by revising underwriting and pricing terms on new business and through exercising the premium review options available in policy terms and conditions to mitigate losses on in-force business.

- Morbidity risk

Adverse financial impact due to policyholder health related (disablement and dread disease) claims being higher than expected.

In the event of the risk of long-term morbidity worsening, as in the case of mortality risk, premiums can be reviewed in line with policy terms and conditions.

- Retrenchment risk

Adverse financial impact due to retrenchment related claims exceeding expectation.

This risk arises from benefits that provide income or premium waivers on formal retrenchment and on more general loss of income on some product ranges. The benefit is payable for a limited fixed period or until re-employment, if earlier. The exposure to retrenchment business in aggregate is relatively small.

The aggregate level of retrenchment claims has been quite volatile over the years given the correlation of retrenchment levels with the state of the economy.

3. Insurance risk (continued)

3.4 Underwriting risk (continued)

3.4.4 Life underwriting risk (continued)

- Longevity risk

Adverse financial impact due to the actual mortality on life annuitants, and actual mortality and recovery on income disability annuitants in payment, being lower than expected, leading to annuity benefits being payable for longer than expected.

In the longer term, the risk of adverse financial impacts arising from longevity improvements higher than expectations remains. Such improvements typically arise from better living standards and from medical advances. There is significant uncertainty as to whether the improvements in life expectancy that have been experienced historically will continue in future, with a general slowing down of improvements particularly for the last decade in much of the developed world.

3.4.5 General insurance underwriting risk

Liberty has one subsidiary, namely Heritage Insurance Kenya, which conduct general insurance business in Kenya, including medical expense cover. Heritage Tanzania subsidiary was disposed in 2026.

The following classes of general insurance business are covered:

Class of business definition

Medical expense	Cover for personal medical expenses.
Property	Cover against loss or damage to property due to fire, explosion, storm, flood, business interruption and other occurrences customarily included.
Motor	Cover for losses arising out of the use of motor vehicles, inclusive of third-party risks but exclusive of transit risks.
Personal liability	Provides indemnity for actual or alleged breaches of professional duty arising out of the insured's activities, indemnifies directors and officers of a company against court compensation and legal defence costs, provides indemnity for the insured against damages consequent to a personal injury or property damage.
Personal accident	Provides financial compensation for the insured person sustaining bodily injury, solely and directly caused by accidental, violent, visible and external means, and which shall within 12 calendar months result in death, disablement or the incurring of medical expenses.
Other	Classes of business not included under those listed above. These include engineering, workmen's compensation, marine and aviation, theft, agriculture, bonds, goods in transit and glass.

3. Insurance risk (continued)

3.4 Underwriting risk (continued)

3.4.5 General insurance underwriting risk (continued)

The following table splits the insurance revenue and net of reinsurance insurance revenue for the main classes of general insurance business as reported in the table in 3.3.2.

General insurance risks measured under PAA - by class of insurance business	Insurance revenue KShs m	Net of ceded insurance revenue[1] KShs m
2025		
Medical expense	**3 616**	**3 070**
Property	**1 214**	**318**
Motor	**2 004**	**1 928**
Personal liability and personal accident	**1 394**	**921**
Other	**422**	**159**
Total	**8 650**	**6 396**
2024		
Medical expense	3 261	1 660
Property	1 265	326
Motor	1 929	1 837
Personal liability and personal accident	1 299	857
Other	439	170
Total	8 193	4 850

1 Insurance revenue less "Reinsurance expense before recoveries" as per note"Net expense from reinsurance contracts held"..

• Underwriting risks associated with short-term insurance

The risks under any one insurance contract are the frequency with which the insured event occurs and the uncertainty of the amount of the resulting claim. For a pool of insurance contracts, the principal risks are that the actual claims and benefit payments exceed the premiums charged for the risks assumed and that the reserve set aside for policyholders' liabilities proves to be insufficient.

• Pricing risk

Pricing risk is managed by carefully establishing criteria by which each potential customer is allocated to the appropriate risk category, applying the underwriting rules, and by establishing prices appropriate to each risk category. Underwriting performance is measured by monitoring the claims loss ratio which is the ratio of claims to premiums.

• Reserving risk

For claims that have been reported by the financial position date, expert assessors estimate the expected cost of final settlement. For expected claims that have not been reported by the financial position date an incurred but not reported (IBNR) provision is calculated using appropriate techniques. Consideration is also given to any stipulated minimum IBNR prescribed by regulations.

Using the experience of a range of specialist claims assessors, provisions are reviewed at least annually to ensure they are sufficient.

3. Insurance risk (continued)

3.4 Underwriting risk (continued)

3.4.5 General insurance underwriting risk (continued)

• Reinsurance risk

Reinsurance is used to manage insurance risk and consequently the Group is exposed to the credit risk of the reinsurers. The Group acknowledges the existence of reinsurance domestication/ localisation laws in Kenya whereby local reinsurers must be used and exhausted first with international reinsurers only being used subject to obtaining regulatory exemption for special risks that cannot be reinsured locally. In Kenya there are minimum regulatory compulsory cessions to named local reinsurers. These requirements to an extent restrict the Group to use only the approved reinsurers in these markets to the extent required by the regulations. The Group complies with all these reinsurance laws and regulations.

A detailed credit analysis is conducted prior to the appointment of reinsurers. Cognisance is also taken of the potential future claims on reinsurers in the assessment process. Financial strength, performance, track record, relative size, ranking within the industry and credit ratings of reinsurers are considered when determining the allocation of business to reinsurers. In addition, efforts are made to appropriately diversify exposure by using several reinsurers. A review of these reinsurers is done at least annually.

3. Insurance risk (continued)

3.4 Underwriting risk (continued)

3.4.5 General insurance underwriting risk (continued)

- Catastrophic risk

Catastrophic risk has the potential to cause significant loss or impact on current year earnings and capital through a single event or a number of correlated events.

Reinsurance and the diversification of types of short-term insurance offered are used to reduce the risks from single catastrophic events or accumulations of risk. Various reinsurance arrangements are in place, with retention levels and catastrophic cover levels varying by line of business. The aggregate risk exposure to medical expenses is managed through claim limits by loss event within the terms of each policy.

3.5 Policyholder behaviour risk

Adverse financial impact caused by actual policyholders' behaviour deviating from expectation

The primary policyholder behaviour risk is termination risk. This generally arises when policyholders surrender or lapse their policies, or discontinue or reduce contributions, at a rate that is not in line with expectations. This could be due to regulatory and law changes (including taxation), changes in economic conditions, changes in policyholders' circumstances and perceptions, policy conditions and practices, selling practices, advisor behaviour, and competitor behaviour.

Policyholder behaviour risk, in particular surrender and lapse risk, remains significant with the experience being volatile and linked in part to the economic cycle. The risk is significant particularly for life risk measured under GMM and participating contracts which are valued on longer-term contract boundaries. However, since it is usually costlier to acquire new annually renewable business than retaining it, the expected renewal experience is considered in product pricing as this affects such business's long-term viability.

The policyholder behaviour risk is managed through frequent monitoring of experience and actively driving targeted retention initiatives. Focusing on being customer centric, including listening to customers to understand the drivers of the experience, enables appropriate actions to be taken.

An increase in terminations generally gives rise to a loss. However, with certain products this general principle does not always apply. For example, for level premium risk products at certain durations an earnings strain results if actual terminations are lower than assumed.

Due to the highly intermediated nature of the insurance and investment markets, experiences, perceptions and behaviour of financial advisors are key determinants of policyholder behaviour. The termination experience of each financial advisor's business is monitored, and appropriate action is taken when required. In addition, opportunities to switch to new generation products are periodically made available to existing policyholders.

Liberty Kenya has entered into reinsurance contracts expected to cover in part the losses incurred under certain catastrophic termination events (i.e. a severe termination event that occurs over a period of 12 months) in respect of life insurance termination risk. These arrangements reduce exposures to catastrophic termination events and are a useful tool in managing capital more optimally.

3.6 Expense risk

Adverse financial impact due to the timing and/or amount of expenses incurred, differing from those assumed in the calculation of expected financial outcomes (i.e. the actual cost per policy differs from that assumed in the pricing or valuation bases).

Management of expense risk is core to the insurance business. The expenses expected to be incurred on policies are allowed for in product pricing. If such expenses are considerably higher than those of insurers with competing products, the ability to sell business on a profitable basis will be restricted. This does not only have capital implications but can also affect the ability to function as a going concern in the long-term.

Expense risk is managed by:

- regularly monitoring actual expenses against budgeted expenses;
- regularly monitoring new business volumes and mix;
- regularly monitoring withdrawal rates including lapses; and
- implementing cost control measures in the event of expenses exceeding budget or of significant unplanned reductions in the number of in-force policies.

3. Insurance risk (continued)

3.7 New business risks

New business risk is the risk of the new business value deviating from that expected in calculating expected financial outcomes.

This can arise from actual volume, mix and/or quality of new business deviating from that expected.

3.8 Assessment of Liberty's exposure to concentration risks

Liberty's exposure to life insurance risk is geographically spread across Kenya, broadly linked to the economic activity and employed population demographics. Sum assureds more than selected retention limits are reinsured which limits exposure to events leading to large claim sizes. Catastrophe cover limits Liberty's exposure to single events leading to multiple claims which in aggregate exceed Liberty's chosen event retention limit (except where exclusions apply).

The table below provides separate comments on the four life insurance risks included in the sensitivity table in section 3.3.1. Liberty has substantial exposure across each risk category specified.

Risk category	Age profile	Catastrophe cover in place	Management of exposure per life
Mortality	Spread across age bands	Yes, for sudden events but with pandemic and nuclear exclusions	A combination of quota share and surplus reinsurance is in place that limits sum assured at risk per policy
Life annuity - Longevity	Spread across ages over 55	No	Liberty is exposed to longevity increases in excess of those provided for
Morbidity	Spread across age bands	Yes, for sudden events but with pandemic and nuclear exclusions	A combination of quota share and surplus reinsurance is in place that limits sum assured at risk per policy
Withdrawals	Spread across age bands	Yes	N/A

Exposure to general insurance risk is diversified across Kenya and reflects the distribution of economic activity and insured assets within the country. The group is exposed to risks arising from perils such as fire, flood, storm, and other accidental losses. Reinsurance of risks in excess of defined limits help in mitigating the impacts of large and single event losses.

4. Market risk

4.1 Definition

Market risk is the risk of adverse financial impact resulting, directly or indirectly, from fluctuations in equity prices, interest rates, foreign currency exchange rates, property values and inflation as well as any changes in the implied volatility assumptions associated with these variables.

4.2 Ownership and accountability

The group's market risk policy establishes a set of governing principles for the identification, measurement, monitoring, management and reporting of market risk across the group. It supports the overarching risk management framework with respect to market risk.

The investment committees, which are sub-committees of the boards, are charged with ensuring that market risk remains within approved risk limits.

External asset managers are responsible for managing investment asset portfolios and must manage investment risks within their mandates. Oversight of investment performance risk is provided by the investment committees through the monitoring of asset managers and the setting of appropriate policyholder fund mandates.

The Head of Risk provides independent oversight of the adequacy and effectiveness of market risk management processes across the group and reports material risks to the respective ARCs.

4.3 Risk identification, assessment and measurement

Identification of market risk is fundamental to the group's approach to managing market risk.

In the case of market risks which arise from an insurance/ investment product, identification and measurement requires an evaluation of the product's design, whether it is an existing product or a new product proposal, to ensure a thorough understanding of the market risk implications of the product.

In the case of market risks which arise from shareholders' equity, the risk may be identified and measured by considering the market risks that apply to the assets in which these funds have been invested.

Once identified and measured, an assessment of the risk is performed. Risk assessment considers:

- The extent to which the group wishes to maintain the market risk exposure on a long-term strategic basis. This includes market risks arising from assets supporting the shareholder capital;
- The extent to which the group does not wish to maintain exposure on a long-term strategic basis (as the risk is not expected to provide an adequate return on capital over time) and the extent to which the risk may be mitigated (either through improved product design or through open market activity); and
- The extent to which the group does not wish to maintain the exposure but, due to the nature of the risk, is unable to adequately and/or economically mitigate these risks through hedging. Whilst these risks cannot necessarily be hedged, they are identified, measured, monitored and managed as far as possible.

4.4 Market risk management for insurance entities

The group offers a range of risk, savings and investment products, undertaken within the regulations of the Kenya Insurance Act of 1987. These products (issued under policyholder contracts) result in market risk exposures due to certain fee revenue being based on values of investment components, underlying investment guarantees granted to policyholders that are embedded within these products, activities of acquiring assets to match benefits in certain contracts, as well as interest rate risk associated with long-dated contracted cashflows.

Under the company's board-approved balance sheet management framework, certain market risk exposures are retained. This is to aid regulatory capital coverage ratio stability whilst limiting earnings volatility. These exposures are in addition to other assets exposures held on the company's balance sheet for strategic reasons.

The company manages the underlying market risk associated with investment guarantees, matching asset requirements and long-dated cashflows within a comprehensive risk management framework as part of the Asset Liability Management (ALM) Portfolio.

4. Market risk (continued)

4.4 Market risk management for insurance entities (continued)

Liberty's market exposures are split between the shareholder portfolio and the policyholder portfolio

Liberty's shareholder portfolio consists of:

• The shareholder portfolio where shareholder assets equal to the board-approved multiple of the solvency capital requirement amount is largely invested in cash instruments in line with the in-country investment regulations for insurance companies and the board's risk appetite.

• Assets to fund other working capital requirements of the company other than to meet policyholder liabilities.

Liberty's Policyholder Portfolio consists of:

• Assets that back policyholder liabilities. The assets include cash, equities and debt instruments and are regularly rebalanced to manage the underlying market risk and aimed at minimising earnings volatility. During the time when premiums are not yet received, the policyholder liability raised against such policies is typically deemed to be backed by the premium debtors until the premium payment is received.

Net financing return in profit and loss

The following profit and loss items in the group statement of comprehensive income will in aggregate closely reflect the market return outcome of the management of the shareholder portfolio and the policyholder portfolio. All the financial assets, investment properties and financial liabilities in the company are measured at fair value to allow for the best commercial performance evaluation.

Key drivers of the result include:

- Return on strategic shareholder assets within the Shareholder Portfolio.
- Impact of market returns (mostly interest rate risk) on retained market risk held within the Shareholder Portfolio. In regard to participating contracts measured under IFRS 17, most of the market risk retained with respect to fees charged on underlying investment portfolios is less volatile in profit or loss, due to the impact of the measurement model absorbing or deferring the volatility into the CSM.
- Residual mismatch outcomes on asset liability matching on policyholder investment-linked asset portfolios and working capital, which are managed to a minimum.

Items extracted from profit or loss in the table below reflect the net result of these investing activities.

4. Market risk (continued)

4.4 Market risk management for insurance entities (continued)

Summary of net return (pre taxation) on shareholder portfolio and net exposures from asset / liability matching (excluding discontinued operations)

KShs m		Group 2025	Group 2024
Investment income	**25**	**31**	11
Interest income on financial assets using the effective interest method	**26**	**808**	1 074
Fair value adjustment to assets held at fair value through profit or loss	**27**	**5 205**	5 962
Fair value adjustment to financial liabilities under investment contracts	**13**	**(2 024)**	(2 154)
Bancassurance obligations	**28**	**(186)**	(212)
Net finance expenses from insurance contracts issued	**29**	**(2 423)**	(2 806)
Net finance income from reinsurance contracts held	**30**	**53**	55
Finance costs	**16**	**(8)**	(8)
		1 456	1 922
Adjustments			
Items that do not relate to shareholder investment portfolio and net exposures:			
Interest paid on lease liabilities at amortised cost	**16**	**8**	8
Total net return before taxation		**1 464**	1 930

4. Market risk (continued)

4.5 Group market risk sensitivities

Sensitivities indicating the impact of changes in key assumptions have been prepared by applying stresses at the financial position date. These sensitivities have been calibrated to moderately severe (1-in-10 year) stresses. Each of the presented sensitivities is applied in isolation with all other assumptions left unchanged.

Aligned to market exposures being managed through an overall balance sheet approach that aggregates market positions and manages these exposures within overall group risk appetite limits and specific mandates, the sensitivities disclosed have been applied to all financial instruments (IFRS 9), insurance contracts (IFRS 17) and investment properties (IAS 40) where applicable. The sensitivities are presented in totality including applicable taxation to reflect the net impact to ordinary shareholder equity.

For long-dated policyholder contracts, the calculation allows for the change in the fulfilment cash flows (including the risk adjustment) of the contracts under the stress as well as how much of this impact adjusts the CSM. This is applicable to contracts measured under the variable fee approach. Consistent with the required mechanics of the CSM, the calculation is performed at a CSM group level and considers the impact of risk mitigation under market risk stresses in line with the group's balance sheet management strategy.

For investment contracts, measured under IFRS 9, the expected service fees less expenses over the next 12 months are stressed under each of the applicable stresses. Other than the impact to the one-year future fees charged, there are no other significant impacts from the market risk sensitivities as it is the group’s adopted risk mitigation action to mirror (i.e. acquire) actual investments that link closely to the contractually defined referenced assets in the policy. This is to minimise mismatch risk.

In some cases, for example due to embedded options in insurance contracts, changes to certain economic assumptions do not result in linear impacts to policyholder contract liabilities and ordinary shareholders’ equity. Sensitivities are therefore generally provided showing both an increase and decrease in the parameters, where the impacts may not be symmetrical.

Instantaneous stresses are applied to both liabilities and assets and their values recalculated due to the change in the market prices. For interest rate yield curve sensitivities, the assumptions used in the measurement of policyholder contract values that are dependent on interest rate curves are also updated. All the assets held by the group, and not just assets backing the policyholder contract values, are stressed to arrive at the expected impact on ordinary shareholder's equity. Given hedging is typically performed based on net market risk exposures aggregated across the life insurance business, it is not practical, and it is not considered relevant or useful, to disaggregate this information into IFRS 17 defined reportable groups or any other product segmentation.

The net of reinsurance impacts on shareholder equity and attributable profit in the table have been presented after allowing for CSM absorption. Due to the impact of market risks on reinsurance contracts being immaterial, the table only shows the net of reinsurance impacts on attributable profit. The impact on the CSM, increase or (decrease) is also included in the table to provide additional insights as to the CSM dynamics and the resultant effective deferral of the impact on attributable profit to future years.

4. Market risk (continued)

4.5 Group market risk sensitivities (continued)

	2025			2024		
	Change in variable[1,2]	Impact on ordinary shareholders' equity and attributable profit (net of reinsurance and taxation)	Impact on CSM (net of reinsurance and taxation)	Change in variable [1,2]	Impact on ordinary shareholders' equity and attributable profit (net of reinsurance and taxation)	Impact on CSM (net of reinsurance and taxation)
Assumption description	%	KShs m	KShs m	%	KShs m	KShs m
Market assumptions						
Interest rate yield curve	**+1** [3]	**6**	**4**	+1 [3]	132	17
	-1	**(13)**	**(6)**	-1	(164)	(17)
Property prices	**+5**	**20**	**5**	+14	46	6
	-5	**(20)**	**(5)**	-14	(46)	(6)
Equity prices	**+25** [4]	**70**	**56**	+25 [4]	22	19
	-25	**(70)**	**(56)**	-25	(22)	(19)
KShs exchange rates	**+21** [5]	**N/A**	**N/A**	+21 [5]	N/A	N/A
	-19 [6]	**N/A**	**N/A**	-19 [6]	N/A	N/A

1 The sensitivities reflect 1-in-10 year stresses

2 All changes in variables are applied as a relative stress percentage, except for the yield curve stresses which are 1% up or down absolute stresses.

3 The 1% absolute yield curve stresses are less severe than the earnings-at-risk stresses which vary by term on the yield curve. The provided parallel stresses are expected to be more useful to users of the sensitivities

4 Increase in local and global equity prices.

5 Weakening of the KShs

6 Strengthening of the KShs.

4. Market risk (continued)

4.6 Property market risk

The group's direct exposure to property holdings at 31 December is as follows:

KShs m	Group 2025	2024
Investment and owner-occupied properties	**1 216**	1 216
Gross direct exposure	**1 216**	1 216
Net exposure	**1 216**	1 216
Concentration use risk within directly held properties is summarised below:		
Office buildings	**1 216**	1 216
Gross direct exposure	**1 216**	1 216

Directly held properties have been classified according to their main value in use.

4.7 Aggregate financial instrument exposure

Information in this section does not distinguish between whether policyholders or Liberty's shareholder is bearing the market risk inherent within the financial instruments. For insight into the shareholder market risk profile refer to section 4.4 and 4.5. The amounts shown here do however reconcile to the statement of financial position.

4.7.1 Financial instruments with interest rate exposure

The table below show financial instrument assets and liabilities directly and primarily exposed to interest rate risk.

Accounts receivable and accounts payable are not included in the analysis below as settlement is generally expected within 90 days. The effect of interest rate risk on these balances is considered insignificant given the short-term duration of the underlying cash flows.

Financial instrument assets by term to maturity and type of interest

(Debt instruments and short-term deposits)

	Group	
Amount by maturity date	**2025**	**2024**
KShs m	**Fixed**	**Fixed**
Within 1 year	**14 550**	16 563
1 – 5 years	**18 558**	14 865
6 – 10 years	**4 673**	1 665
11 – 20 years	**891**	326
Over 20 years	**–**	2
Total	**38 672**	**33 421**

The assets of KShs 14 550 million included within 1 year are repriced weekly or monthly as they are invested in call deposits and short term instruments.

4. Market risk (continued)

4.7 Aggregate financial instrument exposure(continued)

4.7.2 Financial instruments with currency exposure

The majority of the group's assets and liabilities are Kenya shilling denominated. The following table shows a breakdown of Liberty's foreign assets and liabilities by currency.

Foreign currency exposure	**Group**	
KShs m	**2025**	**2024**
Assets		
United States Dollar	**294**	306
Tanzanian Shilling	–	5 334
Total financial and reinsurance assets by currency	**294**	**5 640**
Liabilities		
Tanzanian Shilling	–	4 480
Total financial and insurance liabilities by currency	–	4 480

4.8 Diversification benefits

The group's risk profile, and hence its capital requirements, benefits from the fact that various risks are not 100% correlated and as a result, it is unlikely that they crystallise simultaneously. In measuring and monitoring the risk profile, and associated capital requirements, allowance is made for this diversification benefits. Risk preferences may be adjusted from time-to-time to optimise the diversification benefit. Despite this, individual risks and the appropriateness of various models employed continue to be carefully monitored in recognition of the fact that correlations tend to converge to 100% in times of significant stress,

5. Credit risk

5.1 Definition

Credit risk refers to the risk of loss or of adverse change in the financial position resulting, directly or indirectly, from fluctuations in the credit standing of counterparties and any debtors to which shareholders and policyholders are exposed. Credit risk is measured as a function of probability of default (PD), exposure at default (EAD) and the recovery rates (RR) post a default.

5.2 Taking of credit risk

Liberty has a strong credit risk sanctioning and monitoring capability. This capability enables Liberty to accept the risks inherent in the credit book. These credit risks are partially a function of Liberty's core business activities, but also as part of a deliberate decision by Liberty to add credit risk exposures to diversify the risks on the balance sheet and to generate attractive risk-adjusted returns for shareholders.Looking forward, the economic uncertainty in Kenya as well as globally has increased the possibility of credit losses.

5.3 Management and measurement

The board has delegated credit risk management to the subsidiary investment committees.

Day-to-day management of credit risk is internally managed in Tanzania and has been mandated to external asset managers in Kenya. The investment committees are made up of professionals with experience from the banking sector as well as representatives from Liberty in order to ensure a robust credit process and independent decision-making.

Credit risk is subject to a robust credit analysis, review and approval process. After origination, exposures are closely monitored and steps taken to mitigate risks if a deterioration becomes evident. The investment committees exercise oversight on the activities of the asset managers managing credit risk for Liberty under mandate. Regardless of whether the credit risk taken is for the risk and reward of the shareholders or policyholders, Liberty recognises the need for credit to be originated and managed within a prudent and disciplined risk management framework. Where credit risk is for the risk and reward of policyholders, Liberty is still exposed to indirect consequences of the credit loss such as possible reputational damage, legal disputes and portfolio outflows.

The risk function is responsible for oversight of all material credit risk. It establishes and defines the overall framework for the consistent governance, identification, measurement, monitoring, management and reporting of credit risk. Risk also tracks concentrations and trends that may arise in the credit portfolio.

Significant shareholder and policyholder credit exposures are reported to the respective subsidiary boards.

5.4 Characteristics of credit risk exposures

Through the investment activities of mandated asset managers, Liberty largely constrains its credit risk exposures to more liquid credit instruments, with considerable bias to sovereign debt instruments. Overall, the credit risk exposures at 31 December 2025 remains heavily weighted towards Kenyan counterparties including government and top tier Kenyan banks.

5. Credit risk (continued)

5.5 Rating methodology

For the purposes of this report, standard rating classifications used by external ratings agencies have been applied.

Rating scale

Where applicable, internal ratings are mapped to equivalent external rating agencies' (Moody's and Standard and Poor's) rating scales. These external, globally recognised rating categories are defined below.

Investment grade

A–and above	Strong to extremely strong capacity to meet financial commitments.
BBB	Adequate capacity to meet financial commitments, but vulnerable to severe adverse economic conditions.

Non-investment grade

BB	Less vulnerable in the near-term but faces major ongoing uncertainties to adverse business, financial and economic conditions.
Below BB	Vulnerable to adverse business, financial and economic conditions.

The above ratings may be modified by the addition of a plus or minus sign to show relative standing within the major rating categories.

Not rated

The group is not restricted to investing purely in rated instruments, or where counterparties are rated, and accordingly invests in assets that offer appropriate returns after an internal assessment of credit risk. For most material investments in unrated instruments, or through unrated counterparties, internal ratings were undertaken. However, at any one time there will always be some unrated exposures, generally entered into through asset managers, where the internal ratings methodology has not been applied. This does not imply that the potential default risk is higher or lower than for rated assets.

Exposure to prepayments and other receivables is predominantly classified as "not rated" as the large number of counterparties and the short period of credit exposure make the determination of credit ratings impracticable. This credit exposure is managed by business areas.

5. Credit risk (continued)

5.6 Credit exposure

The table reflects the carrying amounts of credit risk exposure categorised by credit ratings (if available) at 31 December. The carrying amounts represent the maximum exposure to credit risk at 31 December.

	Group							
KShs m	**A- and above**	**BBB+**	**BBB**	**BB+**	**BB**	**BB- and below**	**Not rated**	**Total**
2025								
Debt instruments	**29 152**	**-**	**-**	**-**	**-**	**-**	**526**	**29 678**
Listed government bonds	**25 315**	**-**	**-**	**-**	**-**	**-**	**-**	**25 315**
Treasury bills	**3 837**	**-**	**-**	**-**	**-**	**-**	**-**	**3 837**
Fixed deposits	**-**	**-**	**-**	**-**	**-**	**-**	**88**	**88**
Staff loans receivable	**-**	**-**	**-**	**-**	**-**	**-**	**438**	**438**
Reinsurance contract assets	**239**	**-**	**-**	**1 185**	**-**	**-**	**-**	**1 424**
Prepayments and other receivables	**-**	**-**	**-**	**-**	**-**	**-**	**546**	**546**
Cash and cash equivalents	**985**	**7 288**	**-**	**-**	**-**	**-**	**-**	**8 273**
Total assets bearing credit risk	**30 376**	**7 288**	**-**	**1 185**	**-**	**-**	**1 072**	**39 921**
Local	**30 376**	**6 993**	**-**	**1 185**	**-**	**-**	**1 072**	**39 626**
Foreign	**-**	**295**	**-**	**-**	**-**	**-**	**-**	**295**
2024								
Debt instruments	27 601	-	-	-	-	-	625	28 226
Listed government bonds	25 467	-	-	-	-	-	-	25 467
Treasury bills	2 134	-	-	-	-	-	-	2 134
Fixed deposits	-	-	-	-	-	-	83	83
Staff loans receivable	-	-	-	-	-	-	542	542
Reinsurance contract assets	245	-	-	1 639	-	-	-	1 884
Prepayments and other receivables	-	-	-	-	-	-	746	746
Cash and cash equivalents	932	8 177	-	-	-	-	-	9 109
Total assets bearing credit risk	28 778	8 177	-	1 639	-	-	1 371	39 965
Local	28 778	8 177	-	1 333	-	-	1 371	39 659
Foreign	-	-	-	306	-	-	-	306

	Company	
KShs m	**A- and above**	**Total**
2025		
Cash and cash equivalents	**15**	**15**
Total assets bearing credit risk	**15**	**15**
Local	**15**	**15**
2024		
Cash and cash equivalents	3	3
Total assets bearing credit risk	3	3
Local	3	3

5. Credit risk (continued)

Main party exposed to the credit risk

	Group	
KShs m	**2025**	**2024**
Policyholders with investment-linked policies, where Liberty holds matching assets	**9 418**	8 686
Shareholder - other credit risk exposure	**30 503**	31 279
Total assets bearing credit risk	**39 921**	39 965

Other than investments in subsidiaries and intragroup balances, there are no significant assets or liabilities in the holding company.

5.7 Reinsurance assets

Reinsurance is used to manage insurance risk and consequently the group is exposed to the credit risk of the reinsurers.

Liberty acknowledges the existence of reinsurance domestication / localisation laws in Kenya and Tanzania whereby local reinsurers must be used and exhausted first with international reinsurers only being used subject to obtaining regulatory exemption for special risks that cannot be reinsured locally. In both Kenya and Tanzania there are minimum regulatory compulsory cessions to named local reinsurers as well as the per policy cession requirement in Tanzania. These requirements to an extent restrict the Group to use only the approved reinsurers in these markets to the extent required by the regulations. The Group complies with all these reinsurance laws and regulations.

A detailed credit analysis is conducted prior to the appointment of reinsurers. Cognisance is also taken of the potential future claims on reinsurers in the assessment process. Financial strength, performance, track record, relative size, ranking within the industry and credit ratings of reinsurers are considered when determining the allocation of business to reinsurers. In addition, efforts are made to appropriately diversify exposure by using several reinsurers. A review of these reinsurers is done at least annually.

6. Liquidity risk

6.1 Definition

Liquidity risk is the risk that a legal entity cannot maintain, or generate, sufficient cash resources to meet its payment obligations, in full, as they fall due or can only do so at an unsustainable cost or at materially disadvantageous terms.

The group is exposed to liquidity risk in the event of heightened benefit withdrawals and risk claims where backing assets cannot be readily converted into cash.

6.2 Ownership and accountability

Liberty's liquidity risk policy establishes common principles of managing liquidity risk across the group and is approved by the respective boards. The policy, including requirements in respect of risk metrics and contingency planning, is implemented under the oversight of the group liquidity risk function.

6.3 Risk identification, assessment and measurement

Liberty's approach to measuring liquidity risk is aligned to international best practice standards. Risk identification applies to liquidity requirements that are known in advance as well as to unknown liquidity requirements that are typically contingent on the occurrence of another event.

The identification of contingent liquidity requirements necessitates an assessment of relevant liabilities as well as new and existing product designs. Assurance functions at group and in-country are actively involved in reviewing new product designs to ensure a thorough understanding of the liquidity risk implications of each product.

The liquidity assessment at 31 December 2025 indicates a healthy surplus of sources of liquidity available to meet stressed outflows across the Liberty balance sheet.

6.4 Risk management

The investment committees manage the material liquidity risks in accordance with applicable regulations and the Liquidity Risk Strategy, as approved by the subsidiary boards. The risk is managed within approved risk limits and with oversight from assurance functions both at group and in-country.

Liquidity risk arising from contractual agreements and policyholder behaviour is primarily managed by matching liabilities with backing assets that are of similar maturity, cash flow profile and risk nature. A variety of tools are available to manage remaining cash flow mismatches. These tools enable non-cash liquid assets, held in the liquid asset buffer, to be easily converted into cash.

Where the group purchases backing assets that have predictable cash flow profiles, but which give rise to structural liquidity mismatches between projected cash inflows and outflows, the liquidity position is actively managed to prevent any undue future liquidity strains.

6. Liquidity risk (continued)

6.5 Liquidity profile of assets

The majority of Liberty's assets match its liabilities from a liquidity perspective, including both investment-linked business and investment guarantees.

For certain long-term liabilities, such as life annuities, Liberty has consciously invested in less liquid assets, which aim to match the duration of the underlying liability's expected cash flow profile, in order to enhance returns and achieve diversification benefits.

Liberty's investments in subsidiaries are treated as illiquid assets given the strategic nature of these investments.

	Group			
	2025		2024	
Financial and property asset liquidity	**%**	**KShs m**	**%**	**KShs m**
Liquid assets (realisable within one month e.g. cash, listed equities, term deposits)	**89**	**41 421**	78	37 323
Medium assets (realisable within six months e.g. unlisted equities, certain unlisted term deposits)	**4**	**1 955**	16	7 826
Illiquid assets (realisable in excess of six months e.g. investment properties,including properties held for sale)	**7**	**2 930**	6	3 000
Total financial and property assets	**100**	**46 306**	100	48 149

	Company			
	2025		2024	
Financial and property asset liquidity	**%**	**KShs m**	%	KShs m
Liquid assets (realisable within one month e.g. cash, listed equities, term deposits)	**1**	**46**	1	21
Illiquid assets (realisable in excess of six months e.g. investment in subsidiaries)	**99**	**3 302**	99	2 702
Total financial and property assets	**100**	**3 348**	100	2 723

6.6 Liquidity profile of liabilities

Liberty projects both expected and stressed cash flow profiles of its liabilities and ensures that sufficient high-quality liquid assets are held to meet its liquidity requirements.

Liquidity risk arises mainly as a result of changes to expected lapse, mortality and longevity experience relative to assumptions and client disinvestment from investment portfolios.

Policy terms and conditions generally limit the extent of Liberty's liquidity exposure by applying notice periods for large disinvestments and/or restricting claims to the value at which assets are realised in the event of sale.

6. Liquidity risk (continued)

6.6 Liquidity profile of liabilities (continued)

6.6.1 Maturity profiles of financial instrument liabilities

The table below summarises the maturity profile of the financial instrument liabilities of the group based on the remaining undiscounted contractual obligations. Cash flows are allocated to the earliest period in which Liberty can be required to pay. These figures will be higher than amounts disclosed in the statement of financial position (where the effect of discounting is taken into account) except for short duration liabilities. The expected cash flows arising from insurance contracts are shown in risk section 6.6.2.

	Group					
	Contractual cash flows (excluding IFRS 17 insurance contract balances)					
KShs m	**0 – 3 months[1]**	**3 – 12 months**	**1 – 5 years**	**5 – 10 years**	**Variable**	**Total**
2025						
Other payables	**1 516**	**-**	**-**	**-**	**-**	**1 516**
Financial liabilities under investment contracts	**-**	**12 441**	**-**	**-**	**-**	**12 441**
Financial liabilities	**15**	**-**	**105**	**-**	**-**	**120**
Lease liabilities[2]	**-**	**25**	**35**	**-**	**-**	**60**
Employee benefits	**-**	**210**	**–**	**-**	**-**	**210**
Total	**1 531**	**12 676**	**140**			**14 347**
Percentage portion (%)	**11 %**	**88 %**	**1%**	**%**	**%**	**100%**
2024						
Other payables	1 566	-	-	-	-	1 566
Financial liabilities under investment contracts	128	10 893	-	-	-	11 021
Financial liabilities	211	-	14	-	-	225
Lease liabilities[2]	4	33	30	-	-	67
Employee benefits	–	207	–	–	–	207
Total	**1 909**	**11 133**	**44**			**13 086**
Percentage portion (%)	15 %	85 %	%	%	%	100%

1 0 – 3 months are either due within the time frame or are payable on demand.

2 The amounts are the undiscounted expected cash flows.

6. Liquidity risk (continued)

6.6 Liquidity profile of liabilities (continued)

6.6.2 Expected cash flows from insurance business

The table below gives an indication of liquidity needs in respect of cash flows required to meet obligations arising from insurance contracts.

The table shows the best estimate liability cash flows modelled until the contract boundary. Cash flows allow for future premiums (excluding future non-contractual premium increases), growth, benefit payments and expected policyholder behaviour. Undiscounted cash flows are shown and the effect of discounting is taken into account to reconcile to total liabilities.

An amount payable on demand is disclosed for portfolios of contracts where the policyholder can choose to terminate their contract and receive an immediate payment from Liberty. LIC components have been excluded from amounts presented as payable on demand.

For insurance contracts measured under the premium allocation approach and for the liability for incurred claims the cash flows are largely reflected as within one year except in respect of specific liabilities where the cash flows are modelled for the duration of the claim such as disability income annuities in payment. Whilst future contract renewals are anticipated in periods beyond one year the approach reflects the short coverage nature of the underlying business lines.

6. Liquidity risk (continued)

6.6 Liquidity profile of liabilities (continued)

6.6.2 Expected cash flows from insurance business(continued)

	Group						
Expected cash flows (KShs m)	**Life insurance contracts measured under GMM**	**Life insurance contracts measured under PAA**	**Life participating contracts measured under VFA**	**Investment contracts with DPF**	**General insurance measured under PAA**	**Re-insurance contracts held**	**Total**
2025							
Within 1 year	**(649)**	**937**	**517**	**-**	**5 207**	**(1 075)**	**4 937**
1 – 2 years	**(614)**	**8**	**716**	**-**	**464**	**(116)**	**458**
2 – 3 years	**(626)**	**7**	**732**	**-**	**230**	**(58)**	**285**
3 – 4 years	**(460)**	**15**	**1 027**	**-**	**150**	**(38)**	**694**
4 – 5 years	**(480)**	**35**	**1 047**	**-**	**114**	**(29)**	**687**
Over 5 years	**18 542**	**335**	**8 744**	**-**	**342**	**(86)**	**27 877**
Effect of discounting cash flows	**(13 693)**	**(39)**	**(2 618)**	**-**	**(322)**	**57**	**(16 615)**
Net policyholder best estimate liabilities / (assets) and LIC	**2 020**	**1 298**	**10 165**	**-**	**6 185**	**(1 345)**	**18 323**
Amount payable on demand	**1 585**	**364**	**9 560**	**–**	**–**	**–**	**11 509**
2024							
Within 1 year	(359)	993	925	-	5 152	(1 555)	5 156
1 – 2 years	(220)	3	1 013	-	444	(140)	1 100
2 – 3 years	(135)	3	698	-	219	(69)	716
3 – 4 years	(55)	6	1 048	-	104	(33)	1 070
4 – 5 years	54	11	1 947	-	87	(28)	2 071
Over 5 years	9 178	193	8 224	-	305	(97)	17 803
Effect of discounting cash flows	(7 173)	(28)	(4 321)	-	(328)	64	(11 786)
Net policyholder best estimate liabilities / (assets) and LIC	1 290	1 181	9 534	-	5 983	(1 858)	16 130
Amount payable on demand	1 387	–	8 876	–	–	–	10 263

7. Non-financial risk (NFR)

7.1 *Definition*

Non-financial risk (NFR) refers to the risk of loss suffered as a result of the inadequacy of, or failure in, internal processes, people and/or systems or from external events. NFRs are considered inherent in the operation of a business, evolve rapidly and are difficult to anticipate, oversee, measure and monitor. They cannot always be measured in financial terms and can lead to reputational damage.

7.2 *Approach to managing NFR*

NFR is managed by adopting the principles for sound management of operational risk. The approach to managing NFR recognises that it is neither possible nor commercially viable to eliminate all NFR and hence applies fit-for-purpose mitigation practices to achieve an optimal NFR profile. Management seeks as far as possible to limit any negative financial, reputational, customer, staff or regulatory impact arising from NFR.

The management of NFR is guided by a number of risk type specific policies including, amongst others, the operational risk policy which is aligned to Liberty's risk management framework and sets out minimum requirements for identification, assessment, management, monitoring and reporting of the NFR. This is achieved through developing a robust understanding of the risks by conducting self-assessments, measuring and monitoring key indicators, managing NFR events (including near misses) and taking appropriate actions to proactively identify and mitigate risks.

Management of NFR is the responsibility of every business area and first-line team. They are guided and supported by various risk specialists that are part of the NFR function at the group. The NFR function at the group is independent from business area management and is part of the second line of defence reporting to the Liberty CRO.

7.3 *Key NFRs*

People risk

People risk is defined as the risk of undesirable impact on business objectives due to the inability to attract, develop, manage and retain the required talent. It encompasses consequences due to the impact of decisions of people inside and outside of the organisation, the risk of breaching employment legislation and mismanaging employee relations.

Liberty continues to place significant focus on its people, including on enhancing policies and practices to ensure that suitable people are attached to roles and there is sufficient support for them to remain engaged, perform and grow. Liberty strives to be a competitive employer for suitably skilled and qualified individuals. Liberty has initiatives in place to continue building the skills base internally by ensuring robust development plans and opportunities for individuals, mitigating the risks around capacity and resourcing.

Information risk

Liberty defines information risk as the risk of accidental or intentional unauthorised use, access, modification, disclosure or destruction of information resources, which would compromise the confidentiality, integrity or availability of information.which would potentially harm the business.

With information risk being topical globally and an increasing regulatory compliance requirement, Liberty continues to work towards improved maturity within the governance, information management practices and culture.

Cyber risk

Cyber risk is the potential of an attacker infiltrating the group’s systems, attacks on internet facing services, or infection by malicious code / malware for financial gain.

The global cyber risk threat is dynamic and continuously changing.

Liberty’s information security teams continuously monitor cyber threats, amongst others, through a well-equipped security operations centre. There is continuous engagement and collaboration between the information security team and the NFR team to ensure risks are considered more broadly than only from a technology perspective.

The group information technology committee (GITC) and risk and compliance functions monitor and provide oversight on risks related to technology and information assets, including cyber security, ensuring integration into the group’s broader risk management system.

7. Non-financial risk (NFR) (continued)

7.3 Key NFRs (continued)

Liberty follows a risk-based approach to cybersecurity, being proactive whilst also ensuring a robust response capability.

Information Technology risk

Information Technology risk refers to the risk associated with systems (including hardware, software and networks) failure and/or outage, as well as failures in technology ownership, operation, adoption, IT practices, partner delivery and execution of IT changes, which have the potential for operational loss, reputational damage, regulatory sanctions and reduced competitiveness.

Liberty has transitioned to additional cloud-based environments to ensure high quality of operations and customer service. This has heightened focus on key governance, risk and compliance requirements to ensure the associated risks continue to be managed appropriately. Increasing legal and regulatory compliance requirements, and the importance of IT in enabling such compliance, heightens the importance of managing technology operations within an acceptable risk profile. This continues to be monitored through regular assessments conducted by first and second line assurance teams.

Risks are effectively managed through a robust combined assurance model with the three lines of defence approach, with appropriately skilled functions. Liberty continuously invests in its systems and processes. Actions to reduce the likelihood of risks materialising are identified and accountabilities for remediation are driven by management.

Liberty continues to innovate and remain resilient through the emergence of new and often disruptive technology advancements. The adoption of Artificial Intelligence (AI) has further necessitated that robust risk governance processes are implemented to ensure risks associated are adequately assessed and managed. In addition, the IT disaster recovery capability for the organisation, which is rigorously tested on a regular basis, remains resilient and robust to support the increasing technology capability.

Third party risk

Third party risk is defined as the potential harm or negative impact to an organisation as a result of the actions or practices of external parties in its ecosystem and supply chain. As organisations globally become more connected and dependent, and as value chains are transformed, some third party risks increase. Therefore, managing third party relationships and dependencies has become more critical. These third-parties include, amongst others, business and technology partners, suppliers, outsourcing partners, managed services vendors and other related business partners.

Liberty continues to apply appropriate focus on third party risk through the ongoing monitoring of the robustness of contracting and onboarding processes, continuous relationship management, monitoring and oversight processes. Third-party risk management practices, processes and tools continue to be enhanced.

Transactions processing risk

Transaction processing risk is defined as the incorrect or incomplete processing of a transaction across the transaction lifecycle as a result of failed internal/external processes leading to financial losses, customer dissatisfaction, or reputational damage to the group.

Transaction processing risk, specifically in operational transaction processes that may impact service to customers and advisors, remains an area of key focus and is monitored closely through various risk and control practices.

Financial control risk

This is defined as the risk of inadequate or ineffective financial and accounting processes/controls, management and oversight resulting in a loss or incorrect decision making and reporting.

Liberty has well established financial, actuarial and tax controls together with balance sheet reconciliation and substantiation processes to mitigate this risk.The adequacy and effectiveness of these controls are reviewed by the IAM internal financial control function, the head of the actuarial control function as well as internal audit.

Liberty continues to invest in its financial control infrastructure to mitigate this risk. The recent transition to IFRS17 was a material focus for the group to ensure that financial controls remain robust and continue to present the position of the business accurately.

Conduct risk

Liberty defines business conduct risk as the risk that detriment is caused to clients, markets or the group, because of inappropriate execution of business activities.

7. Non-financial risk (NFR) (continued)

7.3 Key NFRs(continued)

Liberty places the customer at the heart of everything it does and operates in a manner where fair play and ethical behaviour underpin all business activities and relationships. In the current climate it is important to ensure that sound decision-making principles continue to be followed and that Liberty focuses on getting principles right, as failure to do so could lead to poor outcomes for customers (and the business) in the short- and long-term. Great strides have been made towards the digitisation of the advice journey which is a key mitigant in ensuring appropriate customer outcomes.

Compliance risk

Compliance risk is defined as the risk of legal or regulatory sanction, financial loss or damage to reputation that the group may suffer as a result of its failure to comply with laws, regulations, codes of conduct, internal policies and standards of good practice applicable to its financial services activities.

Accountability for adherence to Liberty's statutory, supervisory and regulatory obligations rests with management. The Group Compliance function provides independent oversight and assurance to both management and the board on the status of compliance within the organisation. With support from the Compliance and Legal functions, Liberty keeps abreast of all current and impending legislative requirements.

Liberty seeks positive and constructive engagement with its regulators and policymakers, both directly and through appropriate participation in industry forums, to partner with them in ensuring optimal regulatory outcomes for the industry and all its stakeholders.

Financial crime risk

This is defined as the risk of products or services being utilised in a manner that leads to money laundering, terrorist financing, sanction violation, bribery and corruption, facilitation of tax evasion or perpetration of fraud.

Financial crime risk is managed through a combination of specialist group-wide forensics and compliance capabilities and by strengthening the risk culture to pro-actively mitigate risks and manage incidents. Focus is placed on ensuring robust prevention and detection controls are in place and are continuously enhanced, based on internal and external trends. Regular engagements with both regulatory bodies and industry partners take place to ensure that current trends, applicable threats and operational methods are shared.

8. Concentration risk

8.1 Introduction

Concentration risk is the risk that the group is exposed to financial loss which, if incurred, would be significant due to the aggregate (concentration) exposure the group has to a particular asset, counterparty, customer or service provider. In addition to concentration risks detailed in previous sections, the group has identified the risks detailed below.

8.2 Asset manager allocation

The group engages the services of the following asset managers who manage assets on its behalf.

	Group	
KShs m	**2025**	**2024**
Sanlam East Africa Limited	**16 409**	10 114
ICEA Lion Asset Managers Limited	**20 521**	23 057
Total financial assets	**36 930**	33 171
Total assets	**46 306**	48 149
Externally managed assets (%)	**80 %**	69 %

Risks associated with asset managers are:

- poor fund performance resulting in the reduced ability of the group to retain and sell investment-linked products;
- adoption of poor credit policies exposing the group to undue credit risk;
- inadequate ability to manage the relationship between the return on risk capital for the risk being taken at a granular level; and
- illiquidity of instruments invested in which could result in value destruction should these investments need to be realised in the short-term.

These aspects are considered and monitored by the investment committees

8.3 Kenyan Sovereign

The group was founded in Kenya over 50 years ago and has, during this time, concentrated mainly on providing life and general insurance products to Kenyan customers. A subsidiary was established in Tanzania and has been operating for the last 25 years with focus only on short-term insurance products, however the Tanzanian subsidiary was sold in 2025. Consequently, both the group's asset base and liabilities contain significant Kenyan sovereign risk.

Annexures to annual financial statements

Annexure A – Material accounting policies

The accounting policies summarise those policies, and the potential impacts of new IFRS Accounting Standards or interpretations, which are useful to users of these financial statements. These should be read in conjunction with 'Accounting principles (including accounting policy elections)' and 'Key judgements in applying assumptions on application of accounting policies'. Accounting policies for which no choice is permitted in terms of IFRS Accounting Standards have been included only if management concluded that the disclosure would assist users in understanding the financial statements as a whole, taking into account the materiality of the item being discussed. Accounting policies which are not applicable from time to time have been removed but will be included if the type of transaction occurs in future. The accounting policies are consistent with those reported in the previous year. There were certain amendments to standards that were effective for the current reporting period but which did not currently impact the group - these are briefly detailed below. The group did not early adopt any standards or amendments to standards during the year. Where the term 'group' is used below, this refers to group and company, unless otherwise stated.

1. New standards or amendments

1.1 The following new standard, which is not yet effective, will significantly impact the group and company results or disclosures once adopted.

IFRS 18 *Presentation and Disclosure in Financial Statements* (IFRS 18) - effective on or after 1 January 2027, with retrospective application.

In April 2024, the IASB issued IFRS 18 to improve the reporting of financial performance by requiring specific presentation in the statement of profit or loss including specific totals and subtotals, requiring disclosure about management-defined performance measures and adding new principles for location, aggregation and disaggregation of information. IFRS 18 replaces IAS 1 *Presentation of Financial Statements.* Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

Narrow-scope amendments have been made to IAS 7 *Statement of Cash Flows*, which include changing the starting point for determining cash flows from operations under the indirect method, from ‘profit or loss’ to ‘operating profit or loss’ and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

At this stage, Liberty is not planning on early adopting the new standard. The group is in the planning phase of determining the impact on the group and company’s annual financial statements.

1.2 The following new standards or amendments are not yet effective and are not expected to significantly impact the group and company results or disclosures once adopted

IFRS 9 Financial Instruments: Amendments to the Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7 - effective on or after 1 January 2026.

The IASB issued amendments to the classification and measurement requirements of financial instruments in response to feedback received as part of the post implementation review of IFRS 9. The amendments include a new requirement to permit an entity to deem a financial liability that is settled using an electronic payment system to be discharged before the settlement date if specified criteria are met; and provide clarifications regarding assessing contractual cash flow characteristics of financial assets, including those with ESG-linked features, financial assets with non-recourse features and investments in contractually linked instruments. The IASB also amended the disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and added disclosure requirements for financial instruments with contingent features that do not relate directly to basic lending risks and costs. The amendments will be applied prospectively. The impact on the annual financial statements is currently being assessed and is not expected to have a material impact on the group and company’s results.

IFRS 10 and IAS 28 *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture* (amendments) - effective date for these amendments has been deferred indefinitely.

The amendments address an inconsistency between the requirements in IFRS 10 and those in IAS 28, in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The main consequence of the amendments is that a full gain or loss is recognised when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognised when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary.

Amendments to the Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7 - effective on or after 1 January 2026

Narrow scope amendments to address diversity in accounting practice by making the classification and measurement requirements of IFRS 9 more understandable and consistent, by clarifying the classification of financial assets with ESG and similar features

IFRS 19 *Subsidiaries without Public Accountability: Disclosure* - effective on or after 1 January 2027

In May 2024, the IASB issued IFRS 19 that permits eligible subsidiaries to use IFRS Accounting Standards with reduced disclosures. Applying IFRS 19 will reduce the costs of preparing subsidiaries' financial statements while maintaining the usefulness of the information for users of their financial statements. When a parent company prepares consolidated financial statements that comply with IFRS Accounting Standards, its subsidiaries are required to report to the parent using IFRS Accounting Standards. However, for their own financial statements, subsidiaries are permitted to use IFRS Accounting Standards, the IFRS for SMEs Accounting Standard or national accounting standards.

Subsidiaries are eligible to apply IFRS 19 if they do not have public accountability and their parent company applies IFRS Accounting Standards in their consolidated financial statements. A subsidiary does not have public accountability if it does not have equities or debt listed on a stock exchange and does not hold assets in a fiduciary capacity for a broad group of outsiders. The group is in the planning phase of determining the impact on the annual financial statements of its qualifying subsidiaries. IFRS 19 will however, not be applicable to the consolidated or company's annual financial statements.

1. New standards or amendments (continued)

1.2 The following new standards or amendments are not yet effective and are not expected to significantly impact the group and company results or disclosures once adopted (continued)

Amendments to IFRS 9 and IFRS 7 - Contracts Referencing Nature-dependent Electricity - effective 1 January 2026

The amendments include clarifying the application of the 'own-use' requirements, permitting hedge accounting if these contracts are used as hedging instruments and adding new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows This is not currently applicable to the company.

Annual Improvements to IFRS Accounting Standards - Volume 11 - effective on or after 1 January 2026

The IASB issued various amendments and clarifications to existing IFRS as part of the Annual Improvements to IFRS Accounting Standards Volume 11 (effective 1 January 2026), none of which are expected to have a material impact on the group's annual financial statements.

1.3 The following new standards or amendments were effective for the year ended 31 December 2025 but had no material impact on the group and company results or disclosures

- **IAS 21 Exchange Rates (amendments)** The amendments on 'Lack of Exchangeability' require an entity to apply a consistent approach to assessing whether a currency is exchangeable into another currency and, when it is not, to determining the exchange rate to use and the disclosures to provide. These amendments will assist companies and investors by addressing a matter not previously covered in the accounting requirements for the effects of changes in foreign exchange rates. This amendment has no current impact on the group.

2. IFRS 17 Insurance Contracts (IFRS 17)

The effective date of IFRS 17 was for years commencing 1 January 2023. IFRS 17 provides the basis of measurement for defined insurance contracts, including reinsurance contracts held, as well as investment contracts with discretionary participation features (DPF), which are scoped into IFRS 17 measurement from IFRS 9 *Financial Instruments.* All references to 'insurance contracts' in the accounting policies include insurance contract liabilities or assets and reinsurance contract assets or liabilities, unless specifically stated otherwise.

IFRS defines insurance risk as 'risk, other than financial risk, transferred from the holder of a contract to the issuer'.

Initial recognition

An assessment of insurance risk or investment contracts with DPF is made only once, being at contract inception. If a contract is deemed to be within the scope of IFRS 17, it remains a contract measured under IFRS 17 until all rights and obligations are extinguished (i.e. discharged, cancelled or expired) or until the contract is derecognised because of a qualifying contract modification.

A singular insurance contract or a group of insurance contracts are initially recognised from the earliest of the following:

a. the beginning of the coverage period of the contract/ group of contracts (the period during which the group provides services in respect of any premiums within the boundary of the contract);

b. the date when the first payment from the policyholder in the group becomes due (or when it is actually received, if there is no due date); and

c. when the group determines that a contract /group of contracts becomes onerous.

The date of initial recognition for most insurance risk business is when the coverage period starts (for example, contracts where the group is on risk from the inception date even when no premium has been received yet). The coverage period is the period during which the group provides coverage benefits for insured events.

For investment with DPF contracts (that are in scope under IFRS 17) initial recognition is the date when the group becomes a party to the contract, and is obliged to provide investment services, which is usually when the first premium is received.

For a group of reinsurance contracts held that cover the losses of separate insurance contracts on a proportionate basis, the initial recognition is recognised at the later of:

a. the beginning of the coverage period of the group of reinsurance contracts held; or

b. the initial recognition of any underlying insurance contract.

For a group of reinsurance contracts held that covers aggregate losses from underlying contracts in excess of a specified amount (non-proportionate reinsurance contracts, such as excess of loss reinsurance), the initial recognition is the earlier of the date of the beginning of the coverage period of that group of reinsurance contracts held and the date that the group recognises an onerous group of underlying insurance contracts.

Contract modification and derecognition

Where the terms of an insurance contract or investment contracts with DPF are modified significantly, the group derecognises the original contract and recognises a new contract, applying IFRS 17 or any other applicable standard. Typically, the modification will require policyholder acceptance. If the change in terms does not meet the modification criteria, any changes on the cash flows caused by any changed terms to the existing contract are treated as changes in estimates of fulfilment cash flows, and potentially a change to the contract boundary or coverage period.

An insurance or investment contract with DPF is derecognised when and only when, it meets the modification criteria as above, or it is extinguished, that is the obligation specified in the contract expires, is discharged or is cancelled.

On derecognition of a contract, from within a group of contracts not measured under the PAA, the group eliminates the present value of fulfilment cash flows (fulfilment cash flows being defined as: "an explicit, unbiased and probability-weighted estimate (i.e. expected value) of the present value of the future cash outflows minus the present value of the future cash inflows that will arise as the entity fulfils insurance contracts, including a risk adjustment for non-financial risk") related to the rights and obligations of the insurance contract being derecognised and adjusts any remaining contractual service margin (if applicable). The number of coverage units are also consequently adjusted in the remaining group to ensure the correct future revenue release.

On derecognition of a contract, from within a group of contracts measured under the PAA, the difference in fulfilment cash flows accounted for, to any net additional cash flows on derecognition, is recognised in profit or loss.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Scope and definition

The below outlines the scope and definition of contracts issued by the group that are measured under IFRS 17.

Insurance contracts	**Reinsurance contracts**	**Investment and insurance contracts with discretionary participation features (DPF)**
Each individual insurance contract the group issues is a contract under which the group accepts significant insurance risk, from the policyholder by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder. The group determines insurance risk as significant if, and only if, an insured event could cause the group to pay benefit amounts that are significant in any single plausible scenario (even if the probability of the scenario is small), excluding scenarios that have no commercial substance. The possibility of a loss is determined by representing the estimated future cash flows on a present value basis. In some cases, management applies judgement as to whether there are significant insurance risks under the contracts it issues. The group considers its substantive rights and obligations, whether they arise from a contract, law or regulation.	Reinsurance contracts are insurance contracts issued by a licensed reinsurer to compensate the group for the contracted portion of the claims arising from one or more insurance contracts issued by the group. The group enters into reinsurance contracts whereby it cedes portions of insurance risk, e.g. mortality and morbidity risks, to the reinsurer. As the benefit payable under the reinsurance contract is contingent on an uncertain future event that adversely affects the group's contracted policyholder, the group is ceding insurance risk to the reinsurer.	The group issues investment contracts that provides (in addition to any other benefits) the policyholder with the right to receive benefit amounts that are contractually based on investment returns on a specified pool of assets. These benefit awards are at the discretion of the group. If these benefits are a significant portion of the overall benefits of an investment contract scoped under IFRS 9, then IFRS requires them to be measured using IFRS 17 guidance. The terms and conditions or practice relating to these contracts are in accordance with the group's published Principles and Practices of Financial Management (PPFM). The PPFM stipulates the principles that the group uses in managing the contractual arrangements including the basis of the discretionary participation awards. The group also issues insurance contracts that contain insurance risk but also have components of discretionary investment benefits. The group however, does not currently issue or have any material legacy portfolios of contracts that have significant insurance risk and discretionary participation features that would be required to be measured under the General Measurement Model. All the group issued insurance contracts with DPF are therefore measured under the Variable Fee Approach.

Separating components of insurance and reinsurance contracts
While distinct investment components are contained in certain insurance contracts issued by the group, they are deemed to be closely related to the host insurance contract as the distinct investment component and host insurance contracts are interdependent that they cannot be measured separately from the host insurance contract. The group also does not provide distinct goods or services other than insurance contract services that need to be separated from the host contract and accounted for under other standards and therefore no separation of components for measurement purposes is required.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Separating investment components for disclosure
Some group issued insurance contracts include cash flows or benefits that meet the definition of a 'non-distinct investment component' (NDIC) under IFRS 17. The NDIC is the amount that an insurance contract requires the group to repay to a policyholder in all circumstances, regardless of whether an insured event occurs. The NDIC has been determined as amounts accumulated to the policyholder through deposits (and any associated investment benefits) that are repaid to the policyholder in all circumstances, either on lapse or maturity of the contract. The NDIC is included in the measurement of insurance contracts on the statement of financial position but is excluded from insurance revenue and insurance service expenses in the statement of comprehensive income, as they do not relate to the provision of insurance services. The group does not have any non-distinct investment components on its reinsurance contracts.
Separating fixed fee service components
Where the IFRS 17 conditions are met, the group's accounting policy choice (which is irrevocable) is to apply IFRS 17 to fixed fee service contracts.The group will not unbundle services provided for a fee in terms of IFRS 15, but will include the fixed fee in the IFRS 17 recognition and measurement principles for each contract. The accounting policy choice is applied on a contract-by-contract basis.

Portfolio determination and level of aggregation of contracts

Contracts are allocated to portfolios, which, for the purposes of measurement and disclosure, are then further subdivided into groups of insurance contracts based on the expected profitability of the contract, and the date of initial recognition.

Portfolios

The group has identified several separate portfolios of insurance contracts and investment contracts with DPF. These portfolios represent those contracts that are subject to similar risks and services and are managed together. The group has generally defined the portfolios by product type.

For reinsurance contracts, one reinsurance treaty may cover a range of risks and /or benefits. Although the legal form is one contract, the components can be separated and therefore they are measured at benefit level. Reinsurance contracts within a product line have similar risks and are managed together and hence the portfolio for reinsurance is generally aligned to the underlying product lines.

Groups and subgroups

For the purposes of the measurement of insurance contracts and investment contracts with DPF (for all measurement approaches), these portfolios referred to above are divided into a potential of three subgroups, as follows:

- contracts that are all onerous on initial recognition, if any;
- contracts that at initial recognition have no significant possibility of becoming onerous subsequently, if any; and,
- remaining contracts in the portfolio, if any.

Subgroups of contracts are established at initial recognition and are not reassessed once all contracts have been added to the group. Each subgroup is not permitted to include contracts issued more than one year apart and consequently; the group has elected to combine contracts recognised in the same annual calendar year (January to December).

For contracts measured under the PAA, the group has assumed, in line with what is permitted by IFRS 17, that no contracts are onerous at inception, unless facts and circumstances indicated otherwise. If at inception of a contract, the PAA contract is considered onerous, a loss will be recognised in profit or loss and increase the LRC.

For reinsurance contracts, the references to onerous contracts are replaced with references to contracts on which there is a net gain on initial recognition.

IFRS 17 introduces the loss recovery component for reinsurance contracts, which brings an allowable offset or adjustment through the statement of comprehensive income at initial recognition of the onerous underlying contracts (group) loss recognition in profit or loss and the reinsurance amount measured on those onerous groups. If at inception, the applicable reinsurance best estimate fulfilment cash flows plus the loss recovery component is negative, the reinsurance contract is a net gain to profit or loss or if it is positive, then the reinsurance amount is a further net loss to profit or loss.

Measurement requirements are applied to these established subgroups of contracts.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Contract boundary

Cash flows used to measure the contract/groups are those established within the boundary of a contract which is the period in which the group can compel the policyholder to pay the premiums or has a substantive obligation to provide the policyholder with contract services.

For insurance contracts, a substantive obligation ends when the group has the practical ability to reprice the risks of the particular policyholder; or change the level of benefits so that the price fully reflects those risks; or the group has the practical ability to reprice the contract or a portfolio of contracts so that the price fully reflects the reassessed risk or investment services of that portfolio; and the pricing of premiums for coverage up to the date when risks are reassessed does not reflect the risks related to periods beyond that reassessment date.

For contracts where premiums before the reassessment date are calculated to fund risks beyond the reassessment date, the boundary on these contracts extends beyond the reassessment date. Thus, for contracts where premiums early in the contract period are designed to be higher relative to the risk while premiums later are lower relative to the risk, (e.g. for level premium payment patterns) even if premiums are reviewed at a reassessment date, the contract will not end at that point but rather extend beyond the reassessment date.

In assessing the contract boundary for investment contracts with discretionary participation features, cash flows are within the contract boundary if they result from a substantive obligation of the group to deliver cash at a present or future date. The substantive obligation ends when the group reprices the contract so that the new price fully reflects the promise to deliver cash in the future and the related cost risks.

With the exclusion of embedded bancassurance credit risk cover and corporate group risk benefits mainly to members of employer sponsored retirement funds, most of the contracts sold by the group and the corresponding reinsurance entered have long contract boundaries (i.e. greater than 12 months).

The group does not recognise a liability or an asset for any amounts relating to expected premiums or expected claims outside the boundary of the insurance contract as these amounts relate to future insurance contracts.

For reinsurance contracts held, cash flows are within the contract boundary if they arise from substantive rights and obligations of the group that exist during the period in which the group is compelled to pay amounts to the reinsurer or in which the group has a substantive right to receive insurance contract services from the reinsurer. A substantive right to receive services from the reinsurer ends when the reinsurer has the practical ability to reassess the risks transferred to the reinsurer and can set a price or level of benefits for the contract to fully reflect the reassessed risk.

The contract boundary for reinsurance also considers the group's substantive right to cease writing new business with the reinsurer or for the reinsurer to accept business; and the period over which the substantive right to receive services and the substantive obligation to pay amounts to the reinsurer for each underlying policy sold exist. Most of the group’s reinsurance contracts have a contract boundary of three months, being the notice period for new business, and have a longer coverage period, which is typically in line with that of the underlying contracts issued.

Measurement approaches for IFRS 17

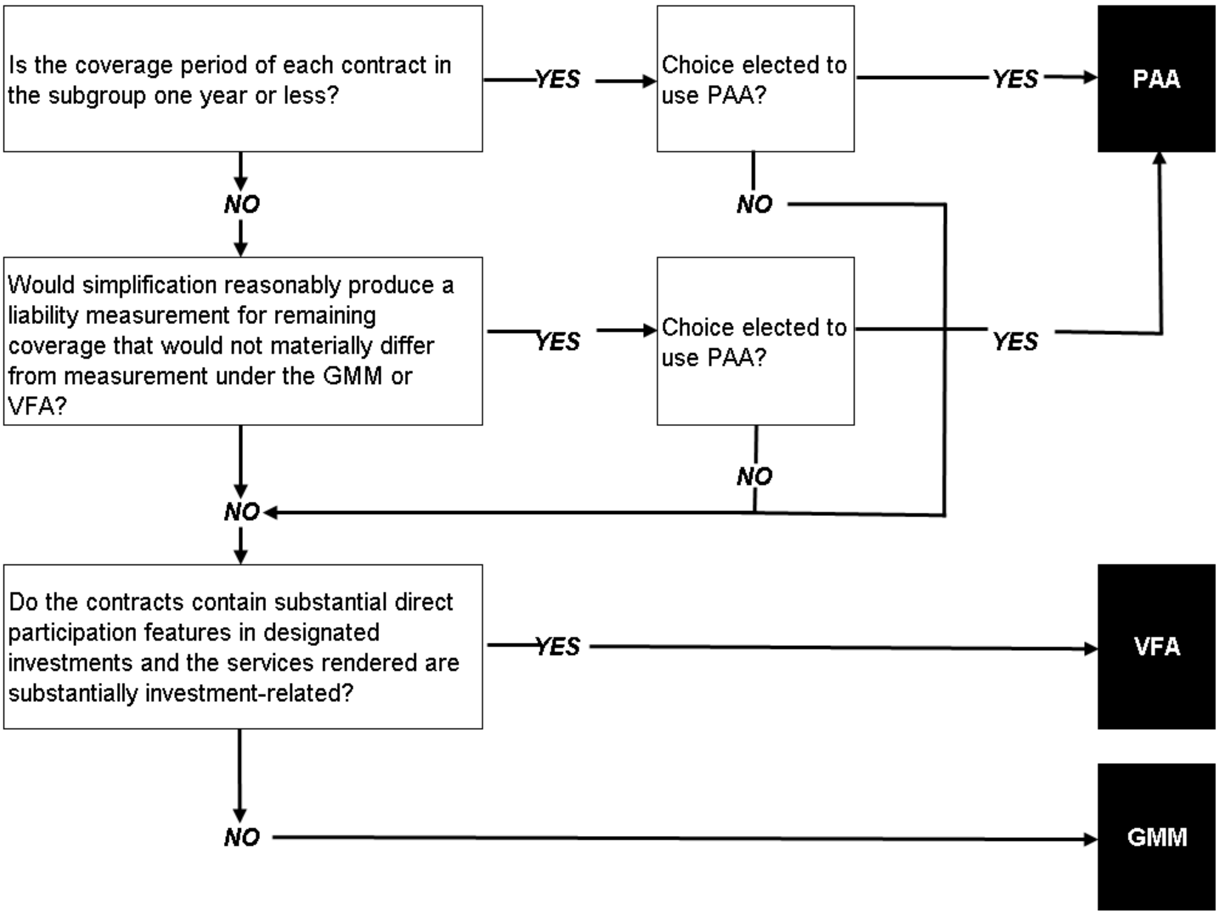
IFRS 17 provides guidance on three measurement approaches to be applied to applicable contracts/subgroups, all of which have been applied by the group. The measurement approaches that have been used have been determined considering the terms and conditions and the characteristics of the applicable contracts.

The IFRS 17 measurement approaches are:

- General Measurement Model (GMM);
- the Premium Allocation Approach (PAA); and
- the Variable Fee Approach (VFA)

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

The decision tree below provides a high-level overview of when a particular approach is used:



Once determined, the measurement approach may not change for the duration of the contracts or subgroup of contracts. Consistent assumptions are used to measure the estimates used in measuring the subgroups of reinsurance contracts held with those estimates used to measuring the related subgroups of the underlying insurance contracts.

For all measurement approaches, the total insurance contract asset or liability is the sum of:

- The Liability for remaining coverage (LRC), being the group's estimated current value of fulfilment cash flows (FCF) to meet the obligation to investigate and pay valid insurance claims for insured events that have not yet occurred (i.e. the obligation that relates to the unexpired portion of the insurance coverage) or provide future investment services. The FCF includes a non-financial risk adjustment (RA) to reflect the possibility of estimated future cash flows being worse than anticipated. Where applicable, the LRC includes a contractual service margin (CSM) representing the estimated profit on the contract or subgroup of contracts that is deferred and released over the remaining contract coverage period.

- The Liability for incurred claims (LIC), which is the current value of the estimated or determined group's obligation to pay valid claims for insured events that have already occurred, including events that have occurred but have not been reported. A RA for adverse claim settlement risk and an estimate for future directly attributable insurance expenses related to future claims processing are also included.

- The asset for deferred insurance acquisition cash flows, which is the portion of directly attributable acquisition costs incurred in establishing product lines incurred by the group prior to a group of insurance contracts being recognised, that relates to future contract periods.

- All components of the LRC are grouped together in the applicable contract/subgroups for initial and subsequent recognition.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

- For all reinsurance contracts. the total reinsurance contract asset or liability is the sum of:
  - The asset for remaining coverage (ARC), if the contract is still in the coverage period; and
  - The asset for reinsurance incurred claims (ARIC), if the insured event has occurred.

The table below describes the commonalties and key differences between each approach:

Approach	Detail
GMM	The GMM is the methodology prescribed by IFRS 17 for insurance contracts which are not substantially investment-related service contracts i.e. predominantly risk-type contracts (examples of these include contracts providing benefits on death or disability and guaranteed annuities until death). This methodology is also used to measure reinsurance contracts. As described below, the PAA measurement category is a simplified version of the GMM that can be elected to be used for risk contracts if certain criteria are met. On initial recognition, applying the GMM, a group of insurance contracts are measured as the total of: (a) The FCF which comprises: • Estimates of future cash flows; • An adjustment to reflect the time value of money and the financial risks related to the future cash flows, to the extent that the financial risks are not included in the estimates of the future cash flows; and • A risk adjustment for non-financial risk; and (b) The CSM. A CSM is recognised (where appropriate), which is essentially a provision for unearned profit (where the contract is assessed as profitable) measured on contract inception at a group of contracts level, and which is released over the contract term in line with the level of service provided by the group. The discount rates determined at the date of initial recognition of a group of contracts is termed the 'locked-in' rate as it is the rate that is locked-in for accreting the CSM. In order to determine the discount rates at the date of initial recognition of a group of contracts, the group has used a weighted-average discount rate over the period that contracts in the group are issued. All other probability-weighted estimates of cash flows contained in the measurement of insurance assets or liabilities are measured at current discount rates. The discount rate applied in the future FCF reflects the time value of money, the characteristics of the cash flows and the liquidity characteristics of the insurance contracts, is consistent with observable current market price (if any) for financial instruments with cash flows whose characteristics are consistent with those of the insurance contracts, and excludes the effects of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts. GMM contracts can also be described as those insurance contracts without any significant direct participation features.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Approach	Detail
VFA	The VFA applies only to insurance contracts with direct participating features and investment contracts with DPF and is not applicable for the measurement of reinsurance contracts. The approach is used for contracts that are substantially investment-related service contracts but are measured under IFRS 17 as they include an integral insurance benefit. For example, a retirement annuity that may include a product benefit payable on death, before contract maturity, of the higher of the investment value or the aggregate contributions (premiums) paid to date. An insurance or investment contract with DPF is considered to be a direct participating contract when the contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying investments and the entity expects to pay the policyholder an amount equal to a substantial share of the fair value returns of these pooled investments. Insurance and investment with DPF contracts with direct participation features normally include a variable fee which compensates the insurer for investment services provided. The variable fee is normally referenced to pooled investment values and consequently the effective amount of the group’s share of the fair value of the underlying items can be determined. The VFA approach also includes the total fulfilment cash flows (FCF), plus a CSM. The main difference between the VFA and the GMM is how the CSM is impacted over time. The group’s share of the fair value returns on the underlying items is included in the CSM, and the CSM is updated using current estimates (in other words, the ‘locked in’ discount rates used under the GMM are not applicable). The group is required to justify the classification into VFA through demonstrating a substantial portion of the insurer revenue is based on the policyholder participation in the investment returns benefits versus the total expected benefits included in the relevant contracts.
PAA	The PAA is a simplification of the GMM approach. Profit for the period under the PAA approach is mainly determined with reference to the amount of expected premium receipts less expenses in the period. The key difference therefore is how the LRC is measured. This approach avoids the complexities associated with updating a CSM (as there is no CSM) and estimating future claims. Revenue recognition for PAA measured contracts reflects the recognition of the insurer charges that is commiserate to the transfer of the contract services in the reporting period. Once a contract is eligible for the PAA, it is the group’s choice whether to elect it or not (an accounting policy election at inception of the contract). Although the calculation of the LRC is different from that used for those contracts measured under the GMM measurement approach, the LIC approach is the same for both measurement models.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

GMM and VFA LRC

Initial recognition

The diagram below depicts the component parts that make up the LRC on contracts at initial recognition:

LRC component parts for GMM and VFA at initial recognition

Deferred acquisition cash flows

+ or −

Discounted estimated future cash flows

−

Risk adjustment

=

Net carrying value sub total

If the subtotal is a net-debit, then a contra credit entry is required to establish a **contractual service margin (CSM)**

If the subtotal is a net-credit, then a debit side is required which will be taken to profit or loss as an **onerous contract(s) loss** on initial recognition

−

Any applicable investment account

=

Total LRC

Contract acquisition cash flows

Contract acquisition cash flows are defined as cash flows that arise from selling, underwriting and starting a group of insurance contracts, issued or expected to be issued, and that are directly and incremental in the establishment of a contract or a new subgroup of contracts within the applicable portfolio of insurance or investment with DPF contracts. Directly attributable cost allocations to the applicable groups of contracts are performed on a systematic and rational basis. These costs are recognised as insurance acquisition cash flow assets (deferred costs) during the formation or future formation of the related subgroup of insurance contracts. Any deferred acquisition cost asset (DAC) is subsequently derecognised when the performance conditions are met regarding the underlying contracts. The remaining DAC is recognised as part of the measurement of the LRC. When the DAC is allocated to a subgroup of contracts, it is subsequently amortised to insurance expenses as the contract service obligations are provided. Insurance acquisition cash flow assets recognised and not yet allocated to any specific groups are assessed for recoverability and may be impaired if it is not probable that they will be recovered from insurance revenue or related future contracts sold. Reversals of such impairments are permitted, to the extent that the impairment conditions are no longer met.

Estimated future cash flows for insurance contracts and investment contracts with DPF

The current estimate of future cash flows expected during the contract term for the specific contracts comprise expected future revenue (premiums), claims (benefits) and directly attributable service expenses. The estimates are based on a probability-weighted mean of the full range of possible outcomes, determined from the perspective of the group, provided that where applicable, they are consistent with observable market data. The estimates are continually updated and discounted utilising current applicable discount rates at measurement dates. The service future cash flows include an allocation (performed on a systematic and rational basis) to the portfolio and subgroup to which the contract belongs of claims handling costs, policy administration costs, an allocation of fixed and variable overheads directly attributable to fulfilling insurance contracts and transaction-based taxes.

Cash flows from intermediaries

Premiums receivable from intermediaries are not accounted for as future cash flows within the boundary of an insurance contract but are treated as a separate financial asset. Refer to accounting policy on Financial instruments.

Discount rate applied

The discount rate applied to reflect the time value of money for the future cash flows reflects the characteristics of the cash flows and the liquidity characteristics of the insurance contracts. The discount rate applied by the group is consistent with observable current market prices, if any, for financial instruments with cash flows whose characteristics are consistent with those of the insurance contract in terms of, for example, timing, currency and liquidity. IFRS 17 provides two methods to determine discount rates for cash flows of insurance contracts that do not vary based on the returns of the underlying items. The bottom-up approach determines discount rates by adjusting a liquid risk-free yield curve to elect the differences between the liquidity characteristics of the financial instruments that underlie the rates observed in the market and the liquidity characteristic of the insurance contracts. The top-down approach determines the appropriate discount rates for insurance contracts based on a yield curve that reflects the current market rates of return implicit in a fair value measurement for a reference portfolio of assets. Liberty Kenya group applies the bottom-up approach.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Reinsurance contracts held – future cash flows

The measurement of cash flows for reinsurance contracts follows the same principles as for insurance contracts, with the standard requiring consistent assumptions to measure the estimates of the present value of the future cash flows for the group of reinsurance contracts held and the estimates of the present value of the future cash flows for the group(s) of underlying insurance contracts. The reinsurance FCF includes reinsurance premiums, including premium discounts, rebates, reinsurance claims, profit sharing and reinsurance expenses related to administering the contract.

Risk adjustment

The RA for insurance contracts and investment contracts with DPF is an explicit, current adjustment to compensate the group for bearing non-financial risk. Effectively this is a deferral of margin to cover the risk of negative (loss) variation to the estimated cash flows. The risk adjustment is released over the contract duration in line with reduction of the identified risks. Generally the group has applied the cost of capital approach to determine the amount of the RA. Due to higher uncertainty of long-dated cash flow estimates, longer duration contracts are normally considered to be more risky than shorter contracts. For long dated contracts the RA is generally modelled on a net exposure basis and then grossed up to determine the split between insurance and the underlying reinsurance contract.

More detail regarding the risk adjustment is included in note 11.

For reinsurance contracts held, the RA for non-financial risk represents the amount of adverse risk inherent in the estimated future cash flows that have been transferred to the reinsurer. The reinsurance RA is expected to include substantial negative (asset) outcomes as the reinsurer will be removing some of the non-financial underwriting risk of the insurer that is included in the RA for insurance contracts. The RA includes the risk of non-performance by the reinsurer, where applicable.

Contractual service margin or tracked loss components related to GMM and VFA measured contracts

The CSM at initial recognition is the component of the insurance contract representing the unearned profit that the group expects to release to insurance revenue over the period that it provides insurance cover. The CSM is created to avoid any profit recognition on the inception of the contract/ subgroup of contracts.

If, at inception of a contract, the total FCF and RA result in an expected net cash outflow to the insurer, the contract is then considered onerous and the present value of the future net cash outflow plus the required set up of the RA is immediately recognised in profit or loss. Similar onerous contracts are grouped in a subgroup and an aggregate recognised loss component is derived. The loss component is created to track and ensure the correct presentation of insurance revenue and expenses as these losses are realised. The loss component is also important to monitor subsequent changes to estimates and consequential accounting for these in profit or loss. The onerous subgroup may over time become less or more onerous than initially estimated. Should at any time the onerous subgroup subsequently become profitable, then in addition to the cumulative reversal or prior period onerous losses in profit or loss, a CSM will be established to the extent that the subgroup is now profitable. In this case, the newly created CSM will be treated the same way as other CSMs that link to profitable subgroups.

When a loss component exists, the group allocates aspects of the LRC between the loss component subgroup and the other applicable profitable subgroups in the respective portfolio.

The recognised loss component in profit or loss is reclassified (amortised) over time between insurance revenue and insurance service expenses as the contract(s) is/are fulfilled, to accurately present the component parts of revenue and expense.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

CSM or tracked loss components – reinsurance

For groups of reinsurance contracts held, applicable to GMM measured reinsurance contracts, a CSM is raised regardless of whether it results in a positive or negative value. The CSM represents a net gain or cost that the group will recognise as a reinsurance expense as it receives insurance contract services from the reinsurer in the future. Reinsurance contracts cannot be onerous, which is a key difference between measuring reinsurance and the underlying contracts. The reinsurance CSM is the total of the reinsurance future cash flows and reinsurance RA at initial recognition adjusted for any income recognised in profit or loss because of the onerous contracts recognised at that date.

If any net cost on purchasing reinsurance coverage relates to insured events that occurred before the recognition of the subgroup, then the group recognises the cost immediately in profit or loss as an expense.

Subsequent measurement – GMM and VFA

After initial recognition, the carrying value of insurance and investment contracts with DPF is the total of the LRC and LIC (as applicable).

The carrying value of the LRC for GMM and VFA contracts consists of:

- The updated measurement of the future cash flows;
- The remaining RA for non-financial risk (that is, per groups of contracts, the amount of the RA that has not yet been released over the contact duration in line with reduction of the estimated risk);
- Any remaining CSM, if applicable; and
- Any remaining deferred acquisition cash flow asset.

The future cash flows are updated for current assumptions at the end of each reporting period, utilising the current market observable interest environment to derive updated discount rates. Changes in estimates related to past service are reflected in profit or loss in the statement of comprehensive income, whereas any changes related to future service are adjusted to the CSM or the loss component, as applicable. Noting that changes to the loss component are reflected in profit or loss until the loss component reduces to nil. Should a previously profitable group of contracts become onerous from these updated assumptions during the reporting period, the group recognises the derived net loss in profit or loss immediately and creates a loss component for future accounting.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

CSM subsequent measurement – GMM and VFA contract subgroups

The diagram below and the accompanying explanations depict the subsequent remeasurement items to each subgroup CSM established on initial recognition.

Remeasurement changes to the CSM	GMM	VFA	Profit or loss impact
Aggregate opening CSM (all applicable subgroups)	**b/f bal***	**b/f bal***	
Release of CSM to insurance revenue based on services provided, referenced to utilisation of coverage units	↓	↓	Insurance revenue
Profitable new business recognised (creation of new subgroups)	↑	↑	No impact
Non-financial assumption changes to future cash flows and RA	↓↑	↓↑	No impact
Any investment component variances (GMM only)	↓↑	**N/A**	No impact
Any consequential changes to the entities share of the fair value of the underlying investment portfolios from actual experience being different to previously assumed	**N/A**	↓↑	No impact
Unwind of opening locked in discount rates (interest accretion)	↑	**N/A**	Insurance finance expenses
Unwind of opening discount rates (interest accretion)	**N/A**	↑	Insurance finance expenses
Changes in current rate curves used for discounting	**N/A**	↓↑	Insurance finance expenses
Closing aggregate CSM - must be a credit balance or nil for each subgroup - any net debit balances immediately taken to profit or loss as an onerous subgroup loss	**c/f bal***	**c/f bal***	No impact

*In this diagram, b/f bal means the balance brought forward into the current financial year and c/f bal means the balance carried forward into the next financial year.

For contracts measured under the GMM, the CSM (or loss component) is adjusted for:
- Experience adjustments arising from premiums received in the period that relate to future service, and related adjustments to future modelled cash flows such as insurance acquisition cash flows and premium-based taxes;
- Changes in estimates of the present value of the future estimated premium (service charges), claim and directly attributable expense cash flows in the LRC, except for changes related to the time value of money and the effect o; financial risk and changes in financial risk (the latter which do not result in the CSM being adjusted);
- Differences between any investment components expected to become payable in the period and the actual investment component payable in the period;
- Changes in the risk adjustment for non-financial risk that is related to future service; and
- Release of applicable CSM for services rendered, measured through proportional ratio of utilised coverage units to remaining coverage units.

The CSM is always measured at a ’locked-in’ rate, for GMM measured contracts, which is the prevailing discount rate at the inception of the contract and not updated for current discount rates, whereas the measurement of the FCF uses a current discount rate.

The RA comprises the RA at initial recognition/beginning of period, less the release of risk adjustment, plus interest accreted on RA, plus/minus change in estimates, plus/minus change in discount rates.

These adjustments are similar for contracts measured under the VFA, with additional requirements that any fair value changes in the amount of the group’s share on the returns of underlying investments and changes in the FCF that do not vary based on the returns of the underlying items are also treated as adjustments that relate to future cash flows and therefore included in the CSM. This effectively means that both in-year variances and future modelled cash flow variations related to the group's share of underlying investments are deferred and recognised over the remaining contract periods (unless the group of contracts has a loss component). This means that in-year and future fee adjustments linked to the current investment returns are effectively smoothed to reduce the volatility of recognising annual asset based fees.

The effect of any related foreign currency translation differences are also adjusted to the CSM.

Coverage units

IFRS 17 introduces the concept of coverage units, which determines how an insurer allocates the expected profit (insurance revenue) for providing insurance contract services over the relevant reporting periods. The total number of coverage units is the calculated base of the full services expected, based on how a coverage unit is defined. As services are delivered the proportional reduction in coverage units determines the CSM release to insurance revenue.

Subsequent measurement of GMM reinsurance contracts held

On subsequent recognition of reinsurance contracts held, under GMM, the total reinsurance contract comprises the ARC and the ARIC, where the ARIC relates to past service.

Subsequent changes to reinsurance contracts follow the same principles as those for insurance contracts issued. As with the underlying insurance contracts subgroup CSMs, the reinsurance CSM also applies locked-in discount rates. Changes in the FCF that result from changes in the risk of non-performance by the issuer of a reinsurance contract held do not adjust the CSM as they do not relate to future service.

The reinsurance RA comprises the RA at initial recognition/beginning of period, less the release of risk adjustment, plus interest accreted on RA, plus/minus change in estimates, plus/minus change in discount rates.
Where the group has established a loss-recovery component, that component is adjusted to reflect changes in the loss component of the onerous group of underlying contracts on a consistent basis, so that the loss-recovery component can never exceed the portion of the carrying amount of the loss component on the underlying contracts.

PAA measured contracts

Initial recognition

The initial recognition of the LRC for PAA consists of:
- Premiums received at initial recognition (to be amortised as insurance and related services are provided), if any;
- Less any deferred insurance acquisition cash flows at that date; and
- Plus or minus any amount arising from derecognition at that date of the asset or liability recognised for insurance acquisition cash flows that the group pays before the group of insurance contracts is recognised.
- To the extent any contract is considered onerous then the expected loss will immediately be taken to profit or loss.

In line with GMM and VFA measured contracts, up to three profitability subgroups are created as described previously, however, in line with the standard, no contracts are considered onerous at inception unless facts and circumstances indicate otherwise. Any subgroup loss components are also tracked to ensure that changes in aggregate subgroup estimated losses are immediately taken to profit or loss.

Subsequent measurement

Deferred premiums and acquisition costs are amortised to profit and loss as the related contract services are provided. The LRC reflects the remaining deferred premium and deferred acquisition costs related to future service. Included in subsequent measurement is the creation of a LIC as applicable. This therefore derives the revenue recognition reflective of services provided in the period. Any variation to past service recognition is also taken in full to the profit or loss.

There is no creation of a CSM or LRC RA for PAA measured contracts. A RA and claims handling expense reserve are created to reflect the potential adverse risk of final settlement amounts being higher than the claims accrued estimate and the expected future direct costs required to finalise any claims accrued respectively. The group has elected not to discount PAA estimated cash flows to the extent they are less than twelve months and has also elected to amortise applicable acquisition cash flows over the related term of the contract.
If any PAA measured profitable contract/subgroup subsequently becomes onerous, a loss (to the extent estimated to be onerous) will be immediately recognised in profit or loss.

Reinsurance applicable to PAA measured contracts

For reinsurance contracts measured under the PAA approach, the group uses the same principles as applied for the PAA for insurance contracts issued, however adapted to reflect the features of reinsurance contracts held that may differ from the referenced insurance contracts issued.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

LIC Incurred but not reported (IBNR) components (all measurement approaches)

The LIC for all measurement approaches includes the modelling of a claims IBNR reserve, where applicable. The group's preferred methods to measure IBNR claims are the Bornhuetter Ferguson Method and Chain Ladder Method.

The group has elected not to discount LIC estimated cash flows to the extent they are less than twelve months.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Insurance revenue

For contracts measured under GMM and VFA, insurance revenue is recognised to reflect the charges (pricing) by the group to the policyholder as compensation for the fulfilment of contacted obligations or services delivered during the reporting period. Contract services that the group provides to a policyholder are generally either: coverage for an insured event; provision of guaranteed outcomes and/or the generation of an investment return through the management of underlying investment items on behalf of the policyholder.

Insurance revenue includes

- the release of the CSM (including amortisation of loss components) and the RA, for service rendered and risk expired, during the period;
- the release of expected claims, service cash flows and the amortisation of deferred insurance acquisition cash flow expenses;
- variances to expected risk premiums; and
- Income taxes chargeable to the policyholder.

These amounts exclude the financing effect for the time value of money which is included in insurance finance income or expenses.

For VFA measured contracts, the allocation of the CSM is modified to recognise the CSM over the duration of the group of contracts in a systematic way that reflects the transfer of investment services under the contract.

For contracts measured under the PAA, the revenue earned is the allocation of expected premium receipts based on the passage of time, unless there was judgement applied and the assessment was that the expected pattern of release of risk during the coverage period differs significantly from the passage of time, in which case it will then be based on the expected timing of incurred insurance service expenses. The group generally measures revenue earned over the passage of time.

Insurance service expenses

Insurance service expenses include the following:

- incurred claims and benefits excluding investment components;
- other incurred directly attributable insurance service expenses;
- amortisation of insurance acquisition cash flows;
- any losses in respect of onerous contracts on initial recognition;
- changes that relate to past service
- changes that relate to future service in relation to onerous contract(s)/ subgroups;
- any insurance acquisition cash flow assets impairment; and
- amortisation of loss components.

For contracts not measured under the PAA, the amortisation of insurance acquisition cash flows and loss components that is reflected in insurance service expenses have a contra amount reflected in insurance revenue as described above.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

For contracts measured under the PAA, amortisation of insurance acquisition cash flows is based on the passage of time.

Other expenses not meeting the above categories are included in other operating expenses in the consolidated or company statement of comprehensive income. For insurance contracts issued, the portion of the risk adjustment for non-financial risk relating to the LIC is recognised in insurance service expenses.

Net income or expenses from reinsurance contracts held

The group has elected to present the income or expenses from a group of reinsurance contracts held, other than insurance finance income or expenses, as a single amount on the face of the statement of comprehensive income. The details of reinsurance expenses and any recoveries are provided in a note to the statement of comprehensive income.

Reinsurance expenses are recognised on a similar basis to insurance revenue, accounting for the different nature of the contracts, depicting the transfer of received insurance contract services at an amount that reflects the portion of ceding premiums that the group expects to pay in exchange for those services. Expenses for GMM include the release of the CSM and RA as services are rendered and risk declines, expected recoveries and directly attributable expenses, any amortisation of loss recovery components and any premium variance. Expenses for PAA include the cost of coverage, including any adjustment in respect of loss components. These PAA expenses are recognised over the passage of time over the coverage period of the contracts.

Reinsurance income from reinsurance contracts measured under GMM and PAA comprises incurred claims recovery (excluding any investment components), expected income from onerous insurance contracts recognition and changes that relate to past service as well as any effects of changes in the risk of reinsurer’s non-performance.

Insurance finance income and expenses (IFIE)

Insurance finance income and expenses comprise the change in the carrying value of the group of insurance contracts, for the LRC and the LIC, arising from the passage of time in respect of the time value of money and the impact of observed changes in the time value of money. In addition, IFIE includes the policyholder beneficial share in non-distinct investment components arising from the fair value of referenced underlying assets on participating contacts.

For all contracts measured, IFIE arises from interest accretion, where applicable, on the LRC (FCF and CSM) and LIC, noting that for GMM the CSM is accreted at the locked-in inception rate. For all the measurement models the effect of changes in interest rates relevant to future periods (applied in discounting estimated future cash flows) and their impact to applicable LRC (FCF, RA, CSM) and LIC are also included in IFIE (noting again that the GMM CSM is not adjusted as is measured at locked-in rates). IFIE also includes the impact of foreign exchange differences, if applicable.

The group has elected, for all contract portfolios, to include all insurance finance income or expenses for all measurement approaches, in the reporting period in profit or loss. No components are accounted for as other comprehensive income.

Presentation and disclosure

Statement of financial position

The insurance contract and investment with DPF liabilities or assets, and reinsurance contract assets or liabilities are recognised on the face of the statement of financial position. The details of movements to these assets or liabilities are disaggregated in the notes to the financial statements to provide more detail. Balances and movements are apportioned between the liability for remaining coverage (LRC) or reinsurance asset for remaining coverage (ARC) and the liability for incurred claims (LIC) or reinsurance asset recoverable on incurred claims (ARIC). To determine whether an asset or liability is recognised in the statement of financial position, the level of aggregation is referenced to the portfolio of insurance contracts. Portfolios that are in an asset position are presented separately from those in a liability position for both insurance and reinsurance.

2. IFRS 17 Insurance Contracts (IFRS 17) (continued)

Statement of comprehensive income

The group recognises insurance revenue as it provides insurance and investment services under the respective insurance and investment with DPF contracts. Line items presented on the face of the statement of comprehensive income include the component parts of the insurance service result (before reinsurance contracts net revenue or expenses), which is the separate recognition of insurance and investment services revenue (that excludes the receipt of any investment component) and insurance service and investment expenses (that excludes the repayment of any investment components).

Net income or expenses from reinsurance contracts held on underlying insurance contracts as well as insurance finance income or expenses are separately presented on the face of the statement of comprehensive income.

Reportable groups

Disclosures are further disaggregated to more granular levels if the information provided is too aggregated to be considered useful to the users of the information. The group has defined this level of disclosure as its 'reportable groups'. Refer to the key judgements section for further details.

Notional deferred acquisition costs (NDAC) - presentation

Insurance acquisition cash flows are treated in the same way as other cash flows incurred in fulfilling insurance contracts and are reflected in the CSM or loss component for a group of insurance contracts on initial recognition. In line with the standard, the group has created an off-balance sheet notional deferred acquisition cost amount, which is used for presentation purposes to allocate the portion of premiums that relate to the recovery of acquisition cash flows to each reporting period, i.e. increasing insurance revenue and increasing insurance service expenses. On initial recognition, the NDAC is based on the present value of all expected future acquisition cash flows net of expected intermediary future clawbacks on acquisition expenses.

The NDAC is amortised based on the passage of time, but the standard is not prescriptive on the methodology to achieve this. For long boundary contracts measured under GMM and VFA, the group has adopted an approach to release the notional DAC by applying the same rate of allocation as is applied for the amortisation of the CSM or loss component which is derived from proportional adjustments to coverage units.

Consequently, for GMM measured contracts, the release of the NDAC will be adjusted by the 'locked-in' rate when 'adjusting for the financing effect' over the lifetime of the contract. For contracts with direct participation features, since interest is accreted on the NDAC using current interest rates, the insurance revenue over the lifetime of the contract must be discounted using current interest rates and must be
equal to the discounted value of the entity's share of the underlying.

The roll-forward of the expected NDAC is determined at the CSM group level except for the determination of experience variances. The experience variances on the NDAC arising from differences between expected acquisition costs and actual acquisition costs is determined at the reportable group level of aggregations and is disaggregated to groups in proportion to the CSM coverage units for each group relative to the total coverage units at the reportable group level.

3. Basis consolidation

The group financial statements consolidate the annual financial statements of the company and its subsidiaries.

3.1 Interest in subsidiaries

Interest in subsidiaries comprises interests in subsidiary companies.

Subsidiaries are defined as entities that are controlled by the group. In order for control to exist, the group must have power over the investee, exposure or rights to variable returns from involvement with the investee, and the ability to use power over the investee to affect the amount of the group's returns. The group must possess all three elements to conclude that it controls an investee.

Subsidiaries are consolidated from the date on which control is transferred to the group (effective date of acquisition) and are no longer consolidated from the date that control ceases (effective date of disposal). Gains and losses on disposal of subsidiaries are included in profit or loss. The accounting policies for subsidiaries are consistent, in all material respects, with the policies adopted by the group. Intragroup transactions, balances and unrealised gains and losses are eliminated on consolidation.

Separate financial statements

Interests in subsidiary companies in the company financial statements comprise shares, which are measured at cost less any required impairment. Acquisition costs are recorded as an expense in the period in which they are incurred, except for the costs to issue debt or equity securities, which are part of the consideration transferred. The carrying amounts of these investments are reviewed annually for impairment indicators and, where an indicator of impairment exists, are impaired to the higher of the investment's fair value less costs to sell or value in use. Intragroup balances with subsidiaries are measured at amortised cost. These are subject to the expected credit loss

3.2 Business combinations

The group uses the acquisition method of accounting to account for the acquisition of subsidiaries. The cost of an acquisition is measured as the sum of the fair value of the assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. The cost of an investment in a subsidiary is adjusted to reflect changes in consideration arising from contingent consideration amendments. Transaction costs are recognised within profit or loss as and when they are incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-controlling interest. The excess of the consideration transferred, being the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired, is recorded as goodwill.

The group elects to measure non-controlling interests on the acquisition date at either fair value or at the non-controlling interest's proportionate share of the subsidiary's identifiable net assets on an acquisition-by-acquisition basis.

If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the Statement of Comprehensive Income.

3.3 Interest in associates

An associate is an entity over which the group has the ability to exercise significant influence, but not control or joint control, through participation in the financial and operating policy decisions of the investment. Judgement is applied in assessing which entities the group has the ability to significantly influence. In the case of voting rights, it is generally demonstrated by the group holding 20% or more of the voting power of the investee.

Interests in associates are accounted for at cost less any impairment in the company financial statements. The carrying amounts are reviewed annually for impairment.

3.4 Transactions with non-controlling interests

The group applies a policy of treating transactions, including partial disposals with non-controlling interests that do not result in the gain or loss of control, as transactions with equity owners of the group. For purchases of additional interests from non-controlling interests, the excess of the purchase consideration over the group's proportionate share of the subsidiary's additional net asset value acquired is accounted for directly in equity. Profits or losses on the partial disposal of the group's interest in a subsidiary to non-controlling interests are also accounted for directly in equity.

4. Foreign currencies

The group's presentation currency is Kenya Shillings (KShs). All amounts are shown in KShs millions unless otherwise indicated. The functional currency of the group's operations is the currency of the primary economic environment where each operation physically has its main activities.

Transactions and balances

Transactions in foreign currencies are translated into the functional currency at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies that differ to the functional currency at the statement of financial position date are translated into the functional currency at the ruling rate at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of transaction, and those measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Foreign exchange gains or losses are recognised as part of fair value adjustments on financial instruments in profit or loss.

Group foreign operations

Assets and liabilities of group foreign operations whose functional currency is different from the presentation currency are translated from their respective functional currency into the group's presentation currency at closing rates ruling at statement of financial position date. The income and expenditure and equity movements are translated into the group's presentation currency at rates approximating the foreign exchange rates ruling at the date of the various transactions. All resulting translation differences arising from the consolidation and translation of foreign operations are recognised in other comprehensive income and accumulated in equity as a foreign currency translation reserve. When a foreign operation is partially disposed of or sold, the cumulative amount of the exchange differences in the foreign currency translation reserve relating to that foreign operation is reclassified from the reserve to profit or loss when the gain or loss on disposal is recognised. Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

5. Equipment

The group's equipment provides it with the necessary infrastructure to operate effectively. Equipment principally comprises computer equipment and fixtures and fittings. The cost of these assets is recognised in the statement of comprehensive income over time as a depreciation charge. Where purchased software is an integral part of the related hardware, it is accounted for as equipment, however, where that software is not integral to the related hardware, it is accounted for as an intangible asset.

Depreciation period (years) as follows:

Computer equipment	3-5 years
Fixtures, furniture and fittings	5 -15 years
Office equipment	5 - 8 years
Motor vehicles	5 years

6. Properties

6.1 Investment properties

Investment properties include property that is being constructed or developed for future use as investment property. They are held to earn rental income and capital appreciation.

If the fair value of investment property under construction or development cannot be measured reliably, it is measured at cost until such time as construction is complete or fair value can be reliably measured. The open-market fair value is determined annually by independent professional valuators. The fair value adjustments on investment properties are included in profit or loss as fair value adjustments to assets held at fair value through profit or loss in the period in which the gains or losses arise and are adjusted for any double counting arising from the recognition of lease income on the straight-line basis compared to the accrual basis normally assumed in the fair value determination.

6.2 Owner-occupied properties

Owner-occupied properties are held by the group for the use in the supply of services or for own administration purposes. Certain owner-occupied properties may also be used to back policyholder obligations.

Owner-occupied properties, that are not linked to policyholder liabilities, are stated at revalued amounts, being fair value at the date of valuation less subsequent accumulated depreciation for buildings and accumulated impairment losses. If the open-market valuation information cannot be reliably determined, the group uses alternative valuation methods such as discounted cash flow projections or recent prices on active markets. The fair value adjustments on owner-occupied properties are recognised in OCI and accumulated in a revaluation reserve in equity to the extent that the accumulated adjustment is a surplus. Any accumulated deficits are recorded in profit or loss. On disposal or transfer (change in use) of owner-occupied properties to investment properties, the amounts included in the revaluation reserve are transferred directly to retained surplus. The deemed cost for any reclassification (between investment properties and owner-occupied properties) is at fair value, at the date of reclassification. Where the group issues groups of insurance contracts with direct participation features and holds the underlying items, which include owner-occupied properties, the group has elected to measure these owner-occupied properties at fair value through profit or loss as permitted by IAS 16. These properties are presented as a separate class within property and equipment.

Depreciation is recognised in profit or loss within operating expenses at rates appropriate to the expected useful lives of owner-occupied buildings and any significant component part. Land is not depreciated. Depreciation is calculated on the opening open-market fair value less any expected residual value. If the expected residual value is greater than or equal to the carrying value, no depreciation is provided for. On the date of the revaluation, any accumulated depreciation is eliminated against the gross carrying amount of the property and the net amount restated to the revalued amount. Subsequent depreciation charges are adjusted based on the revalued amount for each property. Any difference between the depreciation charge on the revalued amount and that which would have been charged under historic cost is directly transferred net of any related deferred taxation, between the revaluation reserve and retained earnings as the property is utilised.

7. Leases

At inception of a contract, the group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Lessee accounting

All leases are accounted for by recognising a right-of-use asset and a lease liability except for leases of low value assets and leases with a duration of twelve months or less. All leases that meet the criteria as either a lease of a low value asset or a short-term lease are accounted for on a straight-line basis over the lease term and are included in operating expenses.

Lease liabilities

Lease liabilities are initially measured at the present value of the contractual payments due to the lessor over the lease term, with the discount rate determined by reference to the rate implicit in the lease unless (as is typically the case for the group) this is not readily determinable, in which case the group’s incremental borrowing(rate of interest that the group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment) on commencement of the lease is used. The group’s internal funding rate is the base on which the incremental borrowing rate is calculated. Variable lease payments are only included in the measurement of the lease liability if they depend on an index or rate. In such cases, the initial measurement of the lease liability assumes the variable element will remain unchanged throughout the lease term. Other variable lease payments are expensed in the period to which they relate. On initial recognition, the carrying value of the lease liability also includes amounts expected to be payable under any residual value guarantee, the exercise price of any purchase option granted in favour of the group, should it be reasonably certain that this option will be exercised and any penalties payable for terminating the lease, should the term of the lease be estimated based on this termination option being exercised.

Subsequent to initial measurement, lease liabilities increase as a result of interest charged at a constant rate on the balance outstanding and are reduced for lease payments made.

A lease finance cost, determined with reference to the interest rate implicit in the lease or the group’s incremental borrowing rate, is recognised as interest expense over the lease period.

7. Leases (continued)

Right-of-use assets

Initially measured at the amount of the lease liability, reduced for any lease incentives received, and increased for lease payments made at or before commencement of the lease; initial direct costs incurred; and the amount of any provision recognised where the group is contractually required to dismantle, remove or restore the leased asset.

The group applies the cost model subsequent to the initial measurement of the right-of-use assets.

Subsequent to initial measurement, the right of use assets are depreciated on a straight line basis over the remaining term of the lease or over the remaining economic life of the asset should this term be shorter than the lease term unless ownership of the underlying asset transfers to the group at the end of the lease term, whereby the right of use assets are depreciated on a straight-line basis over the remaining economic life of the asset. This depreciation is recognised as part of operating expenses. The accounting treatment for impairment of right-of-use assets is the same as that for tangible assets.

Termination of leases

When the group or lessor terminates or cancels a lease, the right of use asset and lease liability are derecognised. On derecognition of the right of use asset and lease liability, any difference is recognised as a derecognition gain or loss in profit or loss.

Reassessment of lease terms and lease modifications that are not accounted for as a separate lease

When the group reassesses the terms of any lease (i.e. it reassesses the probability of exercising an extension or termination option) or modifies the terms of a lease without increasing the scope of the lease or where the increased scope is not commensurate with the stand-alone price, it adjusts the carrying amount of the lease liability to reflect the payments to be made over the revised term, which are discounted at the applicable rate at the date of reassessment or modification. The carrying amount of lease liability is similarly revised when the variable element of future lease payments dependent on a rate or index is revised.

For reassessments to the lease terms, an equivalent adjustment is made to the carrying amount of the right of use asset, with the revised carrying amount being depreciated over the revised lease term. However, if the carrying amount of the right of use asset is reduced to zero any further reduction in the measurement of the lease liability is recognised in profit or loss.

For lease modifications that are not accounted for as a separate lease, an equivalent adjustment is made to the carrying amount of the right of use asset, with the revised carrying amount being depreciated over the revised lease term. However, for lease modifications that decrease the scope of the lease the carrying amount of the right of use asset is decreased to reflect the partial or full termination of the lease, with any resulting difference being recognised in profit or loss as a gain or loss relating to the partial or full termination of the lease.

Lease modifications that are accounted for as a separate lease

The group modifies the terms of a lease resulting in an increase in scope and the consideration for the lease increases by an amount commensurate with a stand-alone price for the increase in scope, the group accounts for these modifications as a separate new lease. This accounting treatment equally applies to leases which the group elected the short-term lease exemption and the lease term is subsequently modified.

8. Intangible assets

8.1 Computer software development costs

Costs associated with maintaining computer software programs are recognised as an expense as incurred. However, costs that are clearly associated with an identifiable system, which will be controlled by the group and has a probable benefit exceeding the cost beyond one year, are recognised as an asset. These costs comprise all directly attributable costs necessary to create, produce and prepare the asset for its intended use.

Development costs are recognised as an intangible asset when the following criteria are met:

- the group is able to demonstrate its intention and ability to complete and use the software;
- the technical feasibility of the development can be demonstrated;
- the availability of resources to complete the development can be demonstrated;
- it can be demonstrated how the development will generate probable future economic benefits; and
- the ability to reliably measure costs relating to the development.

Computer software development costs recognised as assets are amortised in profit or loss on a straight-line basis at rates appropriate to the expected useful life of the asset. Amortisation commences from the date the software is available and brought into use. As the software is proprietary and specific to the group operations, no residual value is estimated.

Other intangibles recognised by the company and the amortisation period (years) are as follows:

Computer software - internally generated	Up to 10 years
Computer software- purchased	Up to 5 years

9. Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss immediately when incurred for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value-in-use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

10. Financial instruments

Initial recognition and measurement

Financial instruments at fair value through profit or loss are initially recognised at fair value and the transaction costs are immediately recognised in profit or loss. All other financial instruments are measured initially at fair value plus directly attributable transaction costs and fees. Financial instruments are recognised (derecognised) on the date the company commits to purchase (sell) the instruments (trade date accounting).

10.1 Financial assets

Financial assets include financial investments, receivables that are not measured under IFRS 17, cash and cash equivalents and intercompany balances. Other receivables comprise premiums related to certain IFRS 17 contracts where intermediaries act as agents for the group and collect premiums on behalf of the group from the policyholders. Where these amounts are still owing to the group at reporting date, they are disclosed as amounts receivable in terms of IFRS 9.

Financial assets are classified based on the business model and nature of cash flows associated with the instrument.

10. Financial instruments (continued)

10.1 Financial assets (continued)

Nature	
Amortised cost	A debt instrument that meets both of the following conditions (other than those designated at fair value through profit or loss): • Held within a business model whose objective is to hold the debt instrument (financial asset) in order to collect contractual cash flows; and • The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. This assessment includes determining the objective of holding the asset and whether the contractual cash flows are consistent with a basic lending arrangement.
Held-for-trading	Those financial assets acquired principally for the purpose of selling in the near term and those that form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking.
Designated at fair value through profit or loss	Financial assets are designated to be measured at fair value to eliminate or significantly through profit or loss reduce an accounting mismatch that would otherwise arise.
Fair value through profit or loss (default)	Financial assets that are not classified into one of the above mentioned financial asset categories; and/ or where the business model is that performance is assessed on a fair value basis.

10. Financial instruments (continued)

10.1 Financial assets (continued)

Subsequent measurement

Subsequent to initial measurement, financial assets are classified, according to the business model assessment, in their respective categories and measured at either amortised cost or fair value as follows:

Amortised cost	Amortised cost using the effective interest method with interest recognised in interest income, less any expected credit impairment losses which are recognised as part of credit impairment charges. Directly attributable transaction costs and fees received are capitalised and amortised through interest income as part of the effective interest rate. Interest income is shown as a separate line on the face of the income statement.
Held-for-trading	Fair value, with gains and losses arising from changes in fair value recognised in fair value adjustments.
Designated at fair value through profit or loss	Fair value gains and losses (including interest and dividends) on financial assets are recognised in the income statement as part of fair value gains or losses on financial instruments.
Fair value through profit or loss (default)	Fair value gains and losses on financial assets are recognised in the income statement as part of fair value gains or losses on financial instruments.

Impairment

Expected credit losses (ECL) are recognised on debt financial assets classified as at either amortised cost (including intra-company financial assets).

The measurement basis of the ECL of a financial asset includes assessing whether there has been a significant increase in credit risk (SICR) at the reporting date which includes forward-looking information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. A significant change in credit risk is when there is a material change in the probability of default, since origination. Credit risk of exposures which are overdue for more than 30 days are also considered to have increased significantly. The measurement basis of the ECL, which is set out in the table that follows, is measured as the unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and forward-looking information.

10. Financial instruments (continued)

10.1 Financial assets (continued)

Stage 1	A 12-month ECL is calculated for financial assets which are neither credit-impaired on origination nor for which there has been a SICR.
Stage 2	A lifetime ECL allowance is calculated for financial assets that are assessed to have displayed a SICR since origination and are not considered low credit risk.
Stage 3 (credit impaired assets)	A lifetime ECL is calculated for financial assets that are assessed to be credit impaired. The following criteria are used in determining whether the financial asset is impaired: • Default: A financial asset is considered to be in default when there is objective evidence of impairment. Exposures which are overdue for more than 90 days are also considered to be in default. • Significant financial difficulty of borrower and/or modification. • Probability of bankruptcy or financial reorganisation. • Disappearance of an active market due to financial difficulties.

ECLs are recognised as a deduction from the gross carrying amount of the asset. Therefore, financial assets subject to ECLs are disclosed on a net basis in the statement of financial position. The gross ECL disclosures are disclosed in the note.

Financial assets are written off when there is no reasonable expectation of recovery. Financial assets which are written off may still be subject to enforcement activities.

Cash and cash equivalents

Cash and cash equivalents comprise:

- balances with banks;
- highly liquid short-term funds on deposit; and
- cash on hand.

Instruments included in this category are those with an initial term of three months or less from the acquisition date. It does not include money market securities held for investment. Cash and cash equivalents are classified according to the business model assessment, either at fair value through profit or loss (default), or at amortised cost. Due to the short-term nature of cash and cash equivalents, the amortised cost approximates the fair value.

Prepayments and other receivables

Other receivables includes premiums related to certain IFRS 17 contracts where intermediaries act as agents for the group and collect premiums on behalf of the group from the policyholders. Where these amounts are still owing to the group at reporting date, they are disclosed as amounts receivable in terms of IFRS 9 and presented in other receivables. Other receivables are initially measured at fair value through profit or loss, with subsequent measurement at fair value through profit or loss (default) or at amortised cost. Those balances at amortised cost are subject to ECL impairment testing. The group elected to apply the simplified approach for trade receivables that do not contain a significant financing component, (i.e. contract assets). This means that the entity assesses lifetime losses on day one and does not have to do the three-stage testing as per the general ECL calculation. Prepayments are not financial instruments as defined.

Reclassification

Reclassifications of financial assets are permitted when, and only when, the company changes its business model for managing financial assets, in which case all affected financial assets are reclassified.

Derecognition

Financial assets are derecognised when the contractual rights to receive cash flows from the investments have expired or on trade date when they have been transferred and the company has also transferred substantially all risks and rewards of ownership.

10. Financial instruments (continued)

10.2 Financial liabilities

Financial liabilities include financial liabilities under investment contracts and other payables.

Financial liabilities

Nature

Held-for-trading	Those financial liabilities incurred principally for the purpose of repurchasing in the near term (including all derivative financial liabilities) and those that form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking.
Designated at fair value through profit or loss	Financial liabilities are designated to be measured at fair value if in doing so it would eliminate or significantly reduce an accounting mismatch that would otherwise arise where the financial liabilities are managed, and their performance evaluated and reported on a fair value basis.
Amortised cost	All other financial liabilities not included in the above categories.

Subsequent measurement

Held-for-trading	Fair value, with gains and losses arising from changes in fair value recognised in fair value adjustments on financial instruments.
Designated at fair value through profit or loss	Fair value, with gains and losses arising from changes in fair value (including finance costs but excluding fair value gains and losses attributable to own credit risk) recognised in the fair value adjustments on financial instruments.
	Fair value gains and losses attributable to changes in own credit risk are recognised within OCI, unless this would create or enlarge an accounting mismatch in which case the own credit risk changes are recognised within profit or loss.
Amortised cost	Amortised cost using the effective interest method recognised in interest expense.

Other payables

Included in Other payables are balances associated with certain outstanding claims and benefits. This mainly relates to demand liabilities for policyholder investment contracts where the contracts have matured and are regarded as out-of-force contracts.

Other payables are initially measured at fair value through profit or loss, with subsequent measurement either at fair value through profit or loss (default) or at amortised cost, depending on the business model assessment.

Reclassification – a financial liability may not be reclassified.

Derecognition – financial liabilities are derecognised when they are extinguished, that is when the obligation is discharged, cancelled or expires.

Inter-company loans (assets and liabilities)

Based on an assessment of the business model and contractual cash flows, in the company financial statements, inter-company loans (being financial instruments) are classified at amortised cost. Refer to the impairment section above for subsequent measurement related to inter-company assets.

10. Financial instruments (continued)

10.3 Fair value

Fair value is applied as defined in IFRS 13. It is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The group holds a number of financial instruments that are classified as held for trading or held for hedging and designated at fair value through profit or loss.

For financial instruments, where the fair value of the financial instrument differs from the transaction price, the difference is commonly referred to as day one profit or loss. Day one profit or loss is recognised in profit or loss immediately where the fair value of the financial instrument is either evidenced by comparison with other observable current market transactions in the same instrument or is determined using valuation models with only observable market data as inputs. Day one profit or loss is deferred where the fair value of the financial instrument is not able to be evidenced by comparison with other observable current market transactions in the same instrument or determined using valuation models that utilise non-observable market data as inputs.

Subsequent to initial recognition, fair value is measured based on quoted market prices or dealer price quotations for assets and liabilities that are traded in active markets and where those quoted prices represent fair value at the measurement date. If the market for an asset or liability is not active or the instrument is unlisted, the fair value is determined using other applicable valuation techniques. These include the use of recent arm's-length transactions, discounted cash flow analyses, net asset values, pricing models and other valuation techniques commonly used by market participants.

IFRS 13 requires disclosure of fair value measurements by level according to the following fair value hierarchies:

- Level 1 – Values are determined using readily and regularly available quoted prices in an active market for identical assets or liabilities. These prices would primarily originate from the Nairobi Securities Exchange (NSE), the Bond Exchange of Kenya or an international stock or bond exchange.

10. Financial instruments (continued)

10.3 Fair value (continued)

- Level 2 – Values are determined using valuation techniques or models, based on assumptions supported by observable market prices or rates either directly (that is, as prices) or indirectly (that is, derived from prices) prevailing at the financial position date. The valuation techniques or models are periodically reviewed, and the outputs validated.
- Level 3 – Values are estimated indirectly using valuation techniques or models for which one or more of the significant inputs are reasonable assumptions (that is unobservable inputs), based on market conditions.

Realised and unrealised gains or losses arising from changes in the fair value of these financial assets are recognised in profit or loss within net fair value gains on financial assets at fair value in the period in which they arise. The fair value of financial assets with standard terms and conditions and traded on active liquid markets is determined by reference to regulated exchange quoted ruling market prices at the close of business on the last trading day on or before the statement of financial position date. If quoted market prices are not available, reference is also made to readily and regularly available broker or dealer price quotations.

If a market for a financial asset is not active, the group establishes fair value by using various valuation techniques detailed in the fair value hierarchy note to the Annual Financial Statements. These include the use of recent arm's length transactions, reference to the current market value of other instruments that are substantially the same, discounted cash flow analysis and option pricing models making maximum use of market inputs and relying as little as possible on entity-specific inputs.

Where the fair value of financial instruments is determined using discounted cash flow techniques, estimated future cash flows are based on management's best estimates and the discount rate used is a market-related rate for a similar instrument. Certain financial instruments are valued using pricing models that consider, among other factors, contractual and market prices, correlation, time value of money, credit risk, yield curve volatility factors and prepayment rates of the underlying positions. The use of different pricing models and assumptions could produce materially different estimates of fair values.

Fair value adjustments for unquoted instruments are included in fair value adjustments to assets held at fair value through profit or loss and are determined as follows:

- **Fixed and variable rate bonds and inflation-linked bonds**

Bonds are fair valued using a discounted cash flow (DCF) model. Cash flows are projected by using either the applicable fixed coupon, or by extrapolating the future variable coupon using an applicable market implied curve. These coupons are then valued using a discount curve which allows for the credit risk of the particular issuer, where the credit spread is derived from instruments which display similar credit risk characteristics.

10. Financial instruments (continued)

10.3 Fair value (continued)

- **Unlisted equities**

Valuations are determined by applying a DCF model using appropriate valuation techniques such as DCF analysis or recent arm's-length market transactions in respect of the equity instrument.

- **Fixed deposits and negotiable certificates of deposit**

Fixed deposits and negotiable certificates of deposit are fair valued by using the present value of the nominal value (being the fair value) and DCF model. The NCD cash flows are projected either by using the applicable fixed coupon, or by extrapolating the future variable coupon using an applicable market implied curve. These coupons are then valued using a market implied swap discount curve adjusted for the probability of default.

11. Offsetting

Assets and liabilities are offset, and the net amount reported in the statement of financial position when:

- there is a current legally enforceable right to offset the recognised amounts; and
- there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the company or the counterparty.

12. Equity

Equity shares

Shares are classified as equity when there is no obligation to transfer cash or other assets to the holder. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds. Incremental costs directly attributable to the issue of equity instruments as consideration for the acquisition of a business reduce the proceeds from the equity issue.

13. IFRS 9 investment contract classification

Policyholder investment contracts are those contracts that transfer financial risk with no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other measurable variable.

Policyholder investment contracts are classified depending on the duration of or the type of investment benefit, as follows:

- long-term investment with discretionary participation features (DPF); and
- long-term investment without DPF

Long-term investment contracts with DPF are scoped into IFRS 17, as detailed in Section 2 IFRS 17 Insurance Contracts.

13.1 Policyholder investment contracts under IFRS 9

Measurement

The group issues investment contracts without fixed benefits (unit-linked and structured products) and investment contracts with fixed and guaranteed benefits (term certain annuity). This category also includes certain pension fund investments, retirement annuities and endowments which are scoped into IFRS 9. Investment contracts without fixed benefits are financial liabilities whose fair value is dependent on the fair value of the underlying financial assets, derivatives and/or investment property and are designated at inception as at fair value through profit or loss. The best evidence of the fair value at initial recognition is the transaction price (i.e. the fair value of the consideration received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets.

The group’s valuation methodologies incorporate all factors that market participants would consider and are based on observable market data. The fair value of a unit-linked financial liability is determined using the current unit price that reflects the fair values of the financial assets contained within the group’s unitised investment funds linked to the financial liability, multiplied by the number of units attributed to the policyholder at the statement of financial position date. If an investment contract is subject to a put or surrender option exercisable at the reporting date, the fair value of the financial liability is never less than the amount payable on the put or surrender option. For investment contracts with fixed and guaranteed terms, future benefit payments and premium receipts are discounted using market-related rates at the relevant statement of financial position date. No initial profit is recognised immediately as any profit on initial recognition is amortised over the life of the contract.

Service fees on investment management contracts

Service fee income on investment management contracts is recognised on an accrual basis as and when the services are rendered.

Amounts received and claims incurred on investment management contracts

Amounts received under investment contracts, such as premiums, are recorded as deposits to investment contract liabilities, whereas claims incurred are recorded as deductions from investment contract liabilities.

Deferred acquisition costs (DAC) (accounted for under IFRS 15 Revenue from Contracts with Customers) in respect of investment contracts

Commissions paid and other incremental acquisition costs are incurred when new investment contracts are obtained or existing investment contracts are renewed.

13. IFRS 9 investment contract classification (continued)

13.1 Policyholder investment contracts under IFRS 9 (continued)

These costs are expensed when incurred, unless specifically attributable to an investment contract with an investment management service element. Such costs are deferred and amortised over the expected life of the contract, taking into account all decrements, on a straight-line basis, as they represent the right to receive future management fees.

Amortisation periods are as follows:

- Linked annuities – 10 – 16 years
- Corporate investment business –1 year
- Other investment contracts – 5 years

A DAC asset is recognised for all applicable policies with the amortisation being calculated on a portfolio basis.

An impairment test is conducted annually at reporting date on the DAC balance to ensure that the amount will be recovered from future revenue generated by the applicable remaining investment management contracts.

14. Revenue recognition

14.1 Investment income (for financial instruments recognised under IFRS 9 and for rental income under IFRS 16)

Dividends are recognised when the right to receive payment is established. Dividends are included in the fair value adjustments to financial assets at fair value through profit or loss.

Interest income and expenses for all interest-bearing financial instruments:

- For financial instruments measured at fair value through profit or loss, recognised within fair value adjustments under IFRS 9 in profit or loss.
- For financial assets held at amortised cost, recognised as interest income on financial assets at amortised cost and financial assets classified at fair value through other comprehensive income; using the effective interest method.

14.2 Revenue recognised from contracts with customers

Revenue from contracts with customers arises from transactions not associated with financial instruments, insurance contracts or investment properties.

Revenue is recognised either when the performance obligation has been satisfied (‘point in time’) or as control of the goods or service is transferred to the customer (‘over time’). This requires an assessment of the group's performance obligations and of when control is transferred to the customer. Where revenue is recognised over time, this is in general due to the group’s performing and the customer simultaneously receiving and consuming the benefits over the life of the contract as services are rendered. For each performance obligation over time, the group apply's a revenue recognition method that faithfully depicts the group’s performance in transferring control of the service to the customer. Due to the nature of the group’s business, the majority of its revenue from contacts with customers is considered to be recognised 'over time'. If performance obligations in a contract do not meet the over time criteria, the group recognises revenue at a point in time.

Revenue is measured based on the consideration specified in contracts with customers, excluding amounts collected on behalf of third parties and, including an assessment of any variable consideration dependent on the achievement of agreed key performance indicators. Such amounts are only included based on the expected value or most likely outcome method, and only to the extent that it is highly probable that no significant revenue reversal will occur. In assessing whether a significant reversal will occur, the group considers both the likelihood and the magnitude of the potential revenue reversal.

Payment terms and conditions included in customer contracts are typically due in full within 30 days. As at the reporting date, there are no outstanding assets recognised in the statement of financial position.

Fee income on placement of reinsurance

Fee income earned from reinsurers on placement of short-term and long term reinsurance contracts is recognised over the term of the contract.

14.2.1 Fee revenue

Includes management fees on assets under management and service fee income from investment contracts.

Fees are recognised over the period for which the services are rendered, in accordance with the substance of the relevant agreements.

14. Revenue recognition (continued)

14.3 Deferred revenue (accounted for under IFRS 15 Revenue from Contracts with Customers)

Upfront fees received on long-term investment contracts are recognised as a prepayment. These amounts are non-refundable and released to income as the services are rendered over the expected duration of the contract on a straight-line basis.

15. Employee benefits

15.1 Leave pay provision

The company recognises a liability for the amount of accumulated leave if the company has a present or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

15.2 Incentive scheme

Incentive scheme bonuses are short-term bonuses which are recognised as an expense as incurred when the company has a present or constructive obligation, and the amount can be reliably measured.

15.3 Long-term employee benefits

Other long-term employee benefits which are cash-settled are recognised as an expense as incurred when the company has a present or constructive obligation, and the amount can be reliably measured.

15.4 Pension obligations

The group operates a defined contribution retirement benefit scheme for its employees. A defined contribution plan is a pension plan under which the group companies pay fixed contributions into a separate entity. The group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the group and employees. The group and all its employees also contribute to the appropriate National Social Security Fund, which is also a defined contribution scheme. The group's contributions to the defined contribution schemes are charged to profit or loss in the year to which they relate.

For defined contribution plans, the group pays contributions to privately administered pension insurance plans on a mandatory, contractual or voluntary basis. The group has no further payment obligations once the contributions have been paid. The contributions are recognised as an employee benefit expense when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

16. Taxation

Income taxation on the profit or loss for the periods presented comprises current and deferred taxation.

16.1 Current taxation

Current taxation is the expected taxation payable, using taxation rates enacted at the reporting date, including any prior year under or over provisions.

The group is subject to income tax in Kenya under the provisions of the Kenyan Income Tax Act. There may be transactions and calculations for which the ultimate tax determination has an element of uncertainty during the ordinary course of business. The group recognises liabilities based on objective estimates of the quantum of taxes that may be due. Where the final tax determination is different from amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

16.2 Deferred taxation

Deferred taxation is provided in full using the liability method. Provision is made for deferred taxation attributable to temporary differences in the accounting and taxation treatment of items in the financial statements. A deferred taxation liability is recognised for all temporary differences, at enacted or substantially enacted rates of taxation at the statement of financial position date, except for differences:

- Relating to goodwill;
- Arising from initial recognition of assets or liabilities which affect neither accounting nor taxable profits or losses; and
- Relating to investments in subsidiaries and joint arrangements (excluding mutual funds) where the company controls the timing of the reversal of temporary differences and it is probable that these differences will not reverse in the foreseeable future.

In respect of temporary differences arising on fair value adjustments on investment properties, deferred taxation is provided at the use rate if the property is considered to be a long-term strategic investment or at the capital gains effective rate if recovery is anticipated to be mainly through disposal

A deferred taxation asset is recognised for the carry forward of unused taxation losses, unused taxation credits and deductible temporary differences to the extent that it is probable that future taxable profit will be available against which they can be utilised.

Deferred taxation assets are assessed for probable recoverability based on applicable estimated future business performance and related taxable projected income.

The major categories of assets and liabilities giving rise to a deferred taxation balance are unrealised investment and property gains and losses, policyholder liability differences between the tax and accounting basis, policyholder fund transfers and provisions.

17. Provisions

Provisions are recognised when the company has a present legal or constructive obligation of uncertain timing or amount, as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are discounted using a pre-tax discount rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

18. Disposal groups held for sale

Non-current assets, or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale or distribution to owners rather than continuing use, are classified as held for sale or for distribution and are accounted for as follows:

Non-current assets held as investments for the benefit of policyholders as part of the group's investment management and life insurance activities are not classified as held for sale as ongoing investment management implies regular purchases and sales in the ordinary course of business.

- Immediately before classification as held for sale or for distribution, the assets (or components of a disposal group) are remeasured in accordance with the company's accounting policies and tested for impairment. Thereafter, the assets are measured at the lower of their carrying amount and fair value less costs to sell. Impairment losses on initial classification as held for sale or for distribution as well as subsequent gains and losses on remeasurement of these assets or disposal groups are recognised in profit or loss.
- Assets (or components of a disposal group) are presented separately in the statement of financial position.
- Property and equipment and intangible assets once classified as held for sale, are not depreciated or amortised.

In presenting the company's non-current assets and liabilities as held for sale, intercompany balances are eliminated in full.

Annexure B – Abbreviations and definitions

ABBREVIATIONS

AGM	Annual General Meeting
AI	Artificial Intelligence
ALM	Asset Liability Management
ARC	Asset for Remaining Coverage/Audit and Risk Committee
ARIC	Asset Recoverable on Incurred Claims
BA	Bachelor of Arts
BSC	Bachelor of Science
CAGR	Cumulative Annual Growth Rate
CGU	Cash Generating Unit
CMA	Capital Markets Authority
CoC	Cost of Capital
CODM	Chief Operating and Decision Maker
CPA	Certified Public Accountant
CPS	Certified Public Secretary
CRO	Chief Risk Officer
CSM	Contractual Service Margin
DAC	Deferred Acquisition Cost
DAE	Directly Attributable Expenses
DCF	Discounted Cash Flows
DPF	Discretionary Participation Features
DRL	Deferred Revenue Liability
EAD	Exposure at Default
ECL	Expected Credit Losses
ERM	Enterprise Risk Management
ESG	Environmental, Social, and Governance
FCF	Fulfilment Cash Flows
FCTR	Foreign Currency Translation Reserve
GDP	Gross Domestic Product
GHA	General Hedge Accounting
GITC	Group Information Technology Committee
GMM	General Measurement Model
HQLA	High-Quality Liquid Assets
IAM	Insurance and Asset Management
IAS	International Accounting Standards
IASB	International Accounting Standards Board
IBNR	Incurred But Not Reported
IESBA	International Ethics Standards Board for Accountants
IFIE	Insurance Finance Income and Expenses

IFRS	International Financial Reporting Standards
IPP	Income Protection Plan
ISAs	International Standards on Auditing
ISK	Institution of Surveyors of Kenya
IT	Information Technology
KCB	Kenya Commercial Bank
KRA	Kenya Revenue Authority
KShs	Kenya Shillings
LC	Loss Component
LHL	Liberty Holdings Limited
LIC	Liability for Incurred Claims
LKH	Liberty Kenya Holdings Plc
LLK	Liberty Life Assurance Kenya Limited
LLP	Limited Liability Partnership
LRC	Liability for Remaining Coverage
NDAC	Notional Deferred Acquisition Cost
NDIC	Non-Distinct Investment Component
NFR	Non-Financial Risk
NSE	Nairobi Securities Exchange
OCI	Other Comprehensive Income
OTC	Over the Counter
PAA	Premium Allocation Approach
PAYE	Pay as You Earn
PD	Probability of Default
PHICF	Policyholder Insurance Compensation Fund
PPFM	Principles and Practices of Financial Management
RA	Risk Adjustment
RBS	Risk-Based Supervision
RDR	Risk Discount Rate
RMO	Risk Mitigation Option
ROE	Return on Equity
RR	Recovery Rate
SAM	Solvency Assessment and Management
SCR	Solvency Capital Requirements
SICR	Significant Increase in Credit Risk
SME	Small and Medium Enterprises
TAT	Tax Appeal Tribunal

Annexure B – Abbreviations and definitions

UFAA	Unclaimed Financial Assets Authority
VFA	Variable Fee Approach

Annexure B – Abbreviations and definitions

DEFINITIONS

Annuity	A financial contract between an insurer and a customer under which the insurer promises to make a series of periodic benefit payments to an agreed beneficiary in exchange for the payment of a premium or series of premiums to the insurer.
Asset/liability matching (ALM)	The process whereby an insurer invests in assets expected to generate inward cash flows of the same amounts and at the same times as the outward cash flows that are expected in order to meet benefit payments
Board	Liberty Kenya Holdings Plc board of directors.
Cost of capital	Measures the opportunity cost incurred by a company for holding the level of required capital
Contractual service margin (CSM)	The CSM represents the unearned profit the insurer will recognise as it provides services in the future under insurance contracts.
Coverage units	A proxy for the amount of insurance benefits provided by an insurance contract. It is used to determine how to allocate the CSM for a group of insurance contracts to each reporting period.
Current estimate of future cash flows	The discounted present value of the unbiased, probability weighted estimate of future cash flows. It is a component of the carrying amount of the asset or liability for a group of insurance contracts. This is commonly referred to as the 'best estimate liability' or BEL.
Deferred acquisition costs (DAC)	The direct and indirect costs incurred during the financial period arising from acquiring of investment contracts without discretionary participation features (DPF). These costs are deferred to the extent that they are recoverable out of future charges.
Deferred revenue liability (DRL)	Initial and other upfront fees received for the rendering of future investment services on investment contracts without DPF, which are deferred and recognised as revenue when the related services are rendered.
Discretionary participation features (DPF)	A contractual right given to a policyholder to receive, as a supplement to guaranteed benefits, additional benefits: • that are likely to be a significant portion of the total contractual benefits; • whose amount or timing is contractually at the discretion of the issuer; and • that are contractually based on the: • performance of a specified pool of contracts or a specified type of contract; • realised and or unrealised invested returns on a specified pool of assets held by the issuer; or • profit or loss of the company, fund or other entity that issues the contract.
Fair value through profit or loss (FVPL)	Financial assets that are classified as fair value through profit or loss (default) includes those that are mandatorily measured at fair value through profit or loss, as well as those that meet the business model assessment for fair value through profit or loss under IFRS 9.

Annexure B – Abbreviations and definitions

Fulfilment cash flows (FCF)	Fulfilment cash flows which comprise: • Estimates of expected future cash flows (inflows and outflows) over the life of the contract. The cash flows include insurance acquisition cash flows, • An adjustment to reflect the time value of money - i.e. discounting - and the financial risks related to the expected cash flows, and • An explicit risk adjustment that reflects the compensation that the entity requires for bearing the uncertainty about the amount and timing of cash flows that arise from non-financial risk. This is also referred to as a risk adjustment.
In-force	A policy is in-force from its start date until the date it is derecognised. In-force business refers to policies which are active, i.e., where the benefits are still payable or potentially payable to the policyholder at some future date.
Insurance contract	A contract under which one party (the insurer) accepts significant insurance risk from another party (policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder
Investment contract	A contract, which contains significant financial risk and may also contain insignificant insurance risk, but does not meet the definition of an insurance contract.
Investment component	The amount that an insurance contract requires the insurer to repay to a policyholder in all circumstances, regardless of whether an insured event occurs.
Investment guarantee	An undertaking to give a minimum investment return for a period up to an agreed future date or dates provided within a contract of insurance or investment.
Investment-linked policy	A policy where benefits are dependent on the investment return on a portfolio of assets.
Liberty	Liberty Kenya Holdings Plc and its subsidiaries.
Life insurance	An arrangement where an insurer, in return for one or more premiums, undertakes to pay a benefit or benefits on the happening of a life, health, disability or death event. A health event is an event giving rise to a change in the insured's health status and does not cover medical expenses incurred, which are covered by medical expense cover in general insurance. This term is used interchangeably with "Long-term insurance" .
Long-term insurance	Refer to the definition of "Life insurance".
Loss component	A negative CSM is not allowed for insurance contracts. The loss component determines the amounts that are presented in profit or loss as reversals of losses on onerous groups and are consequently excluded from the determination of insurance revenue.
Non-life insurance	Refer to the definition of "General insurance".
Persistency	Persistency measures the proportion of policies that are not surrendered, transferred or lapsed. It is an important measure of an insurer's retention of its business.
Policyholder contracts	Includes both IFRS 17 insurance contracts and IFRS 9 policyholder investment contracts.
Reinsurance	Insurance or investment risk that is ceded to another insurer (reinsurer) by an insurer in return for premiums. The obligation to the policyholder remains with the entity which issued the original insurance contract.

Annexure B – Abbreviations and definitions

Risk adjustment for non-financial risk	This reflects the compensation that the insurer requires for bearing the uncertainty about the amount and timing of cash flows that arise from non-financial risk.
Retail life insurance	Products aimed at individuals that provide wealth creation, particularly through retirement savings, and wealth protection through health, life and disability insurance.
Solvency Capital Requirement	The amount of available capital an insurer should hold, calculated on a basis prescribed in the Insurance Act, 2017, to ensure the security of the insurer's obligation to its policyholders.
Standard Bank	Standard Bank Group Limited and its subsidiaries
Surrender value	The surrender value of a policy is the cash value, if any, which is payable in respect of that policy upon cancellation before the end of the policy's term.
Value of in-force covered business	The present value of the projected stream of after-tax profits for all business in-force at the reporting date. The present value is calculated using a risk adjusted discount
Value of new business	The present value, at point of sale, of the projected stream of after-tax profits for new business issued, net of the cost of required capital. The present value is calculated
Term deposits	Interest bearing debt investments (such as bank deposits, debentures, notes and bonds).

Annexure C - Shareholder information

Shares distribution statistics as at 31 December 2025

Distribution of shareholding	Number of shareholders	Number of shares held	Percentage shareholding
1 to 500	3 830	546 599	0.10 %
501 to 1 000	681	519 246	0.10 %
1 001 to 5 000	1 107	2 443 279	0.46 %
5 001 to 10 000	396	2 969 328	0.55 %
10 001 to 50 000	280	5 559 440	1.04 %
50 001 to 100 000	38	2 767 131	0.52 %
100 001 to 500 000	33	7 094 351	1.32 %
500 001 to 1 000 000	1	928 000	0.17 %
1 000 001 to 2 000 000	14	512 880 125	95.74 %
	6 380	535 707 499	100.00 %

Top 10 shareholders as at 31 December 2025

Names		Number of shares held	Percentage shareholding
1	LIBERTY HOLDINGS LTD	393 569 465	73.47 %
2	PATEL RAMABEN SUMANTRAI PURSOTTAM	48 387 200	9.03 %
3	GENGHIS NOMINEE A/C 029	27 000 000	5.04 %
4	PARMAR ATUL	10 975 600	2.05 %
5	SHAH MAHENDRA KUMAR KHETSHI	10 931 397	2.04 %
6	THE NATIONAL TREASURY AND ECONOMIC PLANNING	4 602 008	0.86 %
7	KIBE JOEL KAMAU	3 068 894	0.57 %
8	MWANGI PETER KINGORI	3 062 052	0.57 %
9	PATEL MANESHKUMAR V R; PATEL CHETNA MANESHKUMAR	2 400 000	0.45 %
10	MUNGAI MARY WAMBUI	2 347 300	0.44 %
		506 343 916	94.52 %

The other shareholders hold 29,363,583 shares, which are 5.48% of the total shares.